

Balkrishna Industries Ltd. (BALKRISIND)

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Call: Feb 2023

Balkrishna Industries Ltd.

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BIL/SE/2022-2023 18th February, 2023

To,
BSE Limited, National Stock Exchange of India Ltd,
Phiroze Jeejeebhoy Towers, 5th Floor, Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001. Bandra (E), Mumbai 400 051.

Scrip Code: 502355 Trading Symbol: BALKRISIND

Dear Sir/Madam,

Subject: Transcript of Conference call with Investors/Analysts conducted on 13th February, 2023 to discuss the Q3 FY23 Results.

In continuation of our letter dated 6th February, 2023 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/Analysts on Q3FY23 Results of the Company held on 13th February, 2023. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/www/us/investors-desk> .

You are requested to kindly take the above information on record and disseminate.

Thanking you,

Yours faithfully,
For Balkrishna Industries Limited

Vipul Shah
Director & Company Secretary
and Compliance Officer
DIN: 05199526

Encl: As Above

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"Balkrishna Industries Limited
Q3 FY '23 Earnings Conference Call"
February 13, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges — BSE Limited and National Stock Exchange of India Limited and the Company website on 13th February 2023 will prevail

MANAGEMENT : MR. RAJIV PODDAR – JOINT MANAGING DIRECTOR –
BALKRISHNA INDUSTRIES LIMITED
MR. MADHUSUDAN BAJAJ – SENIOR PRESIDENT ,

COMMERCIAL AND CHIEF FINANCIAL OFFICER –
BALKRISHNA INDUSTRIES LIMITED
SGA INVESTOR RELATIONS ADVISORS

MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA AND KARANI
SECURITIES INDIA PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Balkrishna Industries Limited Q3 FY '23 Post Results Conference Call hosted by Batlivala & Karani Securities India Private Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Annamalai Jayaraj: Thanks, Seema. Good morning, everyone. On behalf of B&K Securities, welcome to 3Q FY '23 Post Results Conference Call of Balkrishna Industries Limited. I also take this opportunity to welcome the senior management team of Balkrishna Industries Limited. We have with us today, Mr. Rajiv Poddar, Joint Managing Director; and other senior members of management team. I would now invite Mr. Rajiv Poddar for their opening remarks to be followed by question-and-answer session. Over to you, sir.

Rajiv Poddar: Thank you, Mr. Jayaraj. Good morning, everyone, and thank you for joining us today. With me, I have Mr. Bajaj, Senior President, Commercial and CFO; and also SGA, our Investor Relations Advisors. Let me begin with performance updates. As indicated, during our previous interaction, we are experiencing channel inventory clearance in our end market. The distribution channel across the globe market has excess inventory not only in the Off-Highway Tyre segment, but also in other tyre segments as well. So with this, the slow lowering of raw material prices and improvement in delivery time lines owing to better availability of containers has led to a lower reordering cycle via this channel.

The end demand is still holding up. But the channel issues of reordering continue to impact the volumes. Therefore, as expected, our Q3 volumes were 66,480 metric tons. We continue to face the challenges of destocking in Q4. However, the intensity of the situation is receding on a month-to-month basis.

The situation has been relatively better in North America. However, recession fears can continue to impact demand. India continues to be stable, supported by a better economic environment. Our EBITDA margin had 2 elements that broadly negated each other.

The freight cost corrections that we have been witnessing in the last few months have led to improvement in our margins, which is reflected in our freight costs which stand at approximately 9% of sales in Q3 versus approximately 14% in the previous quarter. We expect further benefit on the account of freight to reflect in Q4 and fully in Q1 of FY '24. Please also note, we have lowered the surcharge to end customers on account of freight, and the same is reflected in our average selling price, which has moved down by 6% on a Q-on-Q basis.

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The aspect, which impacted our margins negatively and almost negated the benefit of freight costs was raw material costs.

Please note that while raw material prices have corrected, we could not fully enjoy the benefits due to the high cost of raw materials in our inventory. Further, lower volumes clocked in Q3 led to lower absorption of fixed cost as against the expectations of a higher volume built in at the start of the financial year.

We expect some improvement in Q4 and a meaningf

ul recovery in margins in FY '24. Lower

raw materials and freight costs, better hedge rates, better end market situation give us ample hope of margin recovery in financial year '24.

Let me now update you on the capex. The capex of the Carbon Black project along with the Power Plant has been completed. With the commissioning of 55,000 metric tons per annum, power achievable capacity stands at 170,000 metric tons per annum. The advanced Carbon Black project of 30,000 metric tons per annum is on track, and we expect to commission the same by the end of the current quarter or the early part of next quarter. The capex for Brownfield capacity, for addition of 25,000 MTPA at Waluj has commenced. We expect the same to be completed in the first half of next financial year. Post completion of this Brownfield project, Waluj will have a total capacity of 55,000 metric tons at a single location. At a company level, our achievable capacity will increase back to 360,000 metric tons per annum by end of the first half of financial year '24.

With this, I now move on to operational highlights. Our sales volume for the quarter was 66,480 metric tons, a degrowth of 5% year-on-year. For 9 months, sales volume stood at 228,505 metric tons, a growth of 8% year-on-year. Our stand-alone revenue for the quarter stood at INR 2,215 crores, which includes realized gain on foreign exchange pertaining to sales of INR 73 crores. For 9 months, revenue stood at INR 7,748 crores, which includes realized gain on foreign exchange pertaining to sales of INR 255 crores.

For the 9 months of financial year '23, 49% of the sales came from Europe, 21% from India, 19% from America and the balance of the rest of the world. In terms of channel contribution, 70% was contributed from the replacement segment while OEM contributed to 28% with the balance coming from offtake. In terms of category, agricultural segment contributed to 63%, while OTR, industrial, and construction contributed 34% and the balance came from other segments.

Stand-alone EBITDA for the quarter was INR 423 crores with a margin of 19.1%. While for 9 months, it was recorded at INR 1,534 crores, translating to a margin of 19.8%. Other income for the quarter stood at INR 43 crores, while unrealized loss stood at INR 166 crores. The sharp rise in euro rates in Q3 to the tune of 10% impacted our forex borrowing, leading to M2M loss. Other income for 9 months stood at INR 86 crores, while unrealized loss stood at INR 91 crores.

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Coming to net forex items. For the quarter ended Q3FY23 we had net forex loss of INR 88 crores, which includes realized gain of INR 78 crores and unrealized loss of INR 166 crores. For 9 months of financial year '23, we had a net forex gain of INR 198 crores, which includes realized gain of INR 289 crores and an unrealized loss of INR 91 crores. Profit after tax for the quarter was INR 100 crores versus and for 9MFY23 was INR 823 crores. Our gross debt stood at INR 3,464 crores at the end of 31st December '22, of which about 75% is related to the working capital debt. Our cash and cash equivalents were INR 2,082 crores. All the capex programs barring Carbon Black are over. We have minor amounts and retention monies to be spent. For Q3 financial year '23, the euro hedge was at INR 85.

The forward hedge rate currently stands at INR 86 for the financial year '23 due to the sharp uptick in euro rate. For FY24, we will be able to achieve INR 87.. The Board of Directors has declared a third interim dividend of INR 4 per share. This is in addition to an earlier interim dividend of INR 8 per share. With this, I conclude my opening remarks and leave the floor open for question and answers.

Moderator: We take the first question from the line of Binay Singh from Morgan Stanley.

Binay Singh: The first question is on the volume side and the second on margins. So on the volume side, could

you update us on the inventory levels that you have now? You had added that it's around 3 months in the September conference call. Where is inventory now? What is the ideal level of inventory would like to go at? And linked to that, when we look at the volume breakdown by region, we see that the biggest drop sequentially is in the US market, in the North American market. So if you could comment a little bit on that also. That's the first question.

Rajiv Poddar: When you asked about the inventory, I'm assuming that is for raw materials, we would ideally like to be around 45 days. We are currently between 60 and 65 days.

Binay Singh: Sir, I meant inventory at the dealer level of the tyre stock because earlier, we had talked about that we are destocking inventory. So we were at 3 months in September, we were planning to bring it down to 2 months.

Rajiv Poddar: So it has come down to about 2.5 months.

Binay Singh: Okay. So that process will continue into the coming quarter?

Rajiv Poddar: Yes.

Binay Singh: Within the breakdown of volumes, we see that the biggest sequential drop is in the North American market. So could you talk a little bit about that? On a Y-o-Y basis, it has grown well, but sequentially, we see a sharp drop. Is it due to seasonality or something?

Rajiv Poddar: Yes. That is the seasonality, but we are, overall, not very concerned about that. America is

growing well for us.
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Binay Singh: Okay., secondly, on the margin side, if I look at your other expenses, excluding freight cost, they have also sequentially gone up. So any comments on that? What was the driver there?

Rajiv Poddar: So basically, some minor promotional activities, which have been done, which have come into account in the quarter.

Binay Singh: Okay. So to an extent, this should sort of normalize back in the coming quarters?

Rajiv Poddar: Yes.

Moderator: We take the next question from the line of Mr. Ashutosh Tiwari from Equirus Securities.

Ashutosh Tiwari: Firstly, gross debt numbers, what is the interest costs we now have on the working capital and long-term debt because I think the LIBOR is everything has gone up over the last 1 year?

Rajiv Poddar: Between 3.5% and 4%.

Ashutosh Tiwari: Okay and this is true for both your working capital as well as long-term debt?

Rajiv Poddar: Yes. I've given you the average for both. Long-term is lower, but if you include the working capital, that gives you the average.

Ashutosh Tiwari: Okay in terms of demand, I mean, you said that retail is still holding up and inventory correction has now moderated. So can we go to say 75,000 tons, 80,000 tons kind of run rate from Q4 or Q1, is that visibility coming through because we are already in february right now.

Rajiv Poddar: It's too early to comment on that.

Ashutosh Tiwari: lastly, on the demand side, is it like across the globe, the volumes are contracted across construction and mining or agri or maybe mining is still holding up? And what's the current sense of that?

Rajiv Poddar: Yes. So agri is more effective. Industrial construction is -- yes, they're holding up.

Moderator: The next question is from the line of Mr. Arvind Sharma from Citi.

Arvind Sharma: Two from my side. First on the realization. This decline, is it entirely attributable to the lower surcharge? Or is there a mix impact as well? I'm talking about ASPs.

Rajiv Poddar: So it is only due to the lower surcharge.

Arvind Sharma: So apart from that, there is no change quarter-on-quarter?

Rajiv Poddar: Yes.

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Arvind Sharma: Sir, secondly and more of an accounting question. In the reported format, not the presentation, where are your unrealized FX losses that INR 177 crores, where is it located in the reported format?

Rajiv Poddar: It is included in the other expenditure in the reported fo

rmat.

Arvind Sharma: Okay. So that could be one of the reasons why it would have gone up, right, that INR 175 crores is the incremental this quarter and the FX gains, I believe, were reported as a part of other income?

Rajiv Poddar: Yes.

Moderator: We'll take the next question from the line of Sonal Gupta from HSBC Mutual Fund.

Sonal Gupta: Just continuing with this ASP decline versus the freight surcharge. So essentially, this should not be negative for your numbers, right? Like I mean, what's going out of the top line is going out of cost as well, I mean, in absolute EBITDA per ton basis?

Rajiv Poddar: Yes, the freight rates have contracted, and that is why the ASPs have come down.

Sonal Gupta: Right. I mean ...

Rajiv Poddar: When we say that, even the earlier quarters, they were never passed on to that burden as yet -- they were not fully passed on. So that is why the impact is yet coming. It is getting negated.

Sonal Gupta: Right. No. So if I see like on a per ton basis, your freight cost would be down like say, like \$250 per ton and your ASP is down more than that. So just trying to understand what is the factor here? And like you mentioned that some amount of freight cost decline was not passed on to customers. So ideally, your ASP decline should be lower than the decline in freight cost, right?

Rajiv Poddar: So we were not able to pass through in the earlier quarters, we were not able to pass through the full amount. Thereby, it was impacting on our ASP. But now with that being withdrawn, even this has come down.

Sonal Gupta: But I'm just trying to understand, sir, are there any other factors that is driving the ASP down other than the freight cost?

Rajiv Poddar: No.

Sonal Gupta: No other factor. And this decline should not be negative for margins, right?

Rajiv Poddar: So there is no change in the product mix or there is no change in the overall working of the company. So no other impact on ASP apart from the freight.

Sonal Gupta: Just coming back to the question on other expenses other than freight. I mean, we've seen like a INR 50 crores quarter-on-quarter increase. So you're saying mainly marketing spend? Or are Commented [RJ1]: Spell check
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there other factors that have driven like because the level of activity has gone down, right? Like your volumes are down 16% Q-o-Q but your other expenses ex freight rate is up 10%.

Rajiv Poddar: So mainly, it is the benefit of a marketing expense, which has gone up and some foreign exchange loss.

Management: So typically, when you have a net forex loss, it sits in the other expenses, which is why on a quarter-on-quarter basis, the other expenses look higher. If you negate the loss situation, the quarters may look slightly more comparable. In quarters where there is a net forex gain, it sits in other income.

Sonal Gupta: So could you quantify that? How much is the loss?

Management: The loss for Q3 this quarter on a net basis is about INR 88 crores. That is what is sitting additionally in the other expenses, which, if you negate, looks more comparable from a Q-o-Q basis.

Sonal Gupta: Got it. Sir, this is on current liabilities and current assets -- not related to that, right?

Management: That's right.

Moderator: The next question is from the line of Mr. Siddhartha Bera from Nomura Capital.

Siddhartha Bera: Sir, again, on this realization drop, will it be fair to say that the competition would have taken similar cuts as well? And our discount versus the Tier 1 players of about 10% to 15%, which we have maintained, that remains largely relative?

Rajiv Poddar: So the difference between us and the Tier 1 yet continues to be the same. Their costs have also gone up being in the western world. The power cost particularly and the difference is currently being maintained.

Siddhartha Bera: Okay. So I think they also must have taken similar cuts in the su

rcharge which they are charging to customers.

Bajaj: They may not pass it on in form of a surcharge, but in other ways, I am not sure. But the difference in the end product remains the same.

Siddhartha Bera: Okay. on the freight costs they have come down, but I mean, we expect more reduction in the coming quarters, so that should again lead to a conventional drop in ASPs. As in it passes on those surcharges as well?

Rajiv Poddar: Yes..

Siddhartha Bera: Okay. And sir, on the RM side, we had a higher cost inventory in the Q3. But looking at current levels, how much commodity cost, and benefit cost can we expect in the coming quarters from Q3 levels?

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Rajiv Poddar: We can't give you the exact quantification of this, but it will come down.

Siddhartha Bera: I mean in high single digits can that be the right assumption in terms of decline?

Rajiv Poddar: No, we can't quantify that.

Siddhartha Bera: Okay. the last question is on the capex side, if you can highlight the 9 months, how much has been done? And any thoughts you have for the next year as well?

Rajiv Poddar: Around INR 1,300 crores has been done in the 9 months.

Siddhartha Bera: Okay. So that is largely for the whole year? Or do you expect something more in Q4?

Rajiv Poddar: There will be some minor amounts that are left over because all our projects are over apart from the Carbon Black and the Brownfield project at Aurangabad at Waluj.

Siddhartha Bera: Okay. Understood, sir. Okay. And any number for next year, if you can share?

Rajiv Poddar: Around INR 300 crores to INR 400 crores.

Moderator: We'll take the next question from the line of Priyaranjan from HDFC AMC.

Priyaranjan: So my question is related to the volume. whatever we used to do around 78,000, 80,000 in a couple of quarters. And then we have again come back to roughly 66,000, 70,000. So is it ideal to assume like, say, 70,000, 75,000 number is the right number because in the previous quarter, there has been overstocking in this channel and the demand is actually around 70,000, 75,000. Is this the right way to look at it?

Rajiv Poddar: Sir, it is too early to give a view on the volumes for next year, but trends are slowly improving.

Priyaranjan: Okay. And what is the net debt number right now, I mean at the third quarter?

Rajiv Poddar: Around INR 1,350 crores.

Priyaranjan: INR 1,350 crores, okay. And just coming back to the cost element. So on the raw material side, so gradually, I mean, are you seeing any kind of inventory still left of the previous high-cost inventory? Or do you think now the normalized level of inventory and the pricing of the inventory will be there in the system?

Bajaj: Inventories are still higher, but reduction, you will see next quarter also. In the coming quarter, there will be a reduction. And from April onwards, we can expect the normal price.

Priyaranjan: Understood. And just on the pricing front, so because there has been some inventory destocking, etc.. So do you see the industry level, there has been some price correction as well apart from whatever you have done in terms of surcharge, etc.. Is there some pressure in terms of pricing as well in the industry?

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Rajiv Poddar: No, not at the moment.

Priyaranjan: Not at the moment. But it can come back

Rajiv Poddar: It's difficult to say today, but we are not seeing any of this because the surcharges, which have some have already had a positive impact even though pricing is slow, so it's difficult to say.

Priyaranjan: Okay,. And how much extra surcharge is still left? So I guess it was around 5% to 6% earlier than the cost of freight cost used to be. It has to go up to a 14%. So 6% you have already corrected. So is it fair to assume that 3%, 4% is -- can additionally be cut -- went about formally the entire trade cost normalizes

?

Rajiv Poddar: No. So basically, our surcharge from 1st January has come to 0 for most of the regions. So whatever you -- as you rightly said, whatever freight benefit you will see, it will have an impact on the positive side of the margin.

Priyaranjan: Understood. But surcharge you will not -- I mean it's almost 0 now?

Management: From 1st January

Moderator: We take the next question from the line of Mumuksh Mandlesha from Emkay Global.

Mumuksh Mandlesha: Sir, the Off-Highway Tyre segment continue to remain on positive trajectory. Can you guide what kind of growth expected going ahead, sir?

Rajiv Poddar: y Low single digit.

Mumuksh Mandlesha: Yes. So the rest of the world regions have witnessed a decline on a year-on-year basis in terms of volume-wise spending having better availability of capacity, So what drove the correction in those markets, sir?

Rajiv Poddar: It's just an economic cycle seasonal factor.

Mumuksh Mandlesha: Right, sir. can you guide a path to improve the margin to the target range of 28% to 30% over the coming quarters. So what will lead to those target ranges, sir?

Bajaj: Meaningful recovery EBITDA is due to raw material and freight cost, we'll gain at least 300 basis points in FY24.

Mumuksh Mandlesha: So 300 bps improvement due to RM and freight in FY '24, you expect?

Bajaj: Yes, At least it is the minimum, at least.

Moderator: We'll take the next question from the line of Mr. Jinesh Gandhi from Motilal Oswal.

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Jinesh Gandhi: Couple of clarifications. One is the forward hedge rate, you indicated Rs 86 against euro would be for fourth quarter FY '23.

Bajaj: So that is for the full year for the January, February, March, we have 50% hedged at the rate of 89.

Jinesh Gandhi: Okay. And for FY '24, we indicated 87, so is that for our entire exposure or ...

Bajaj: Average we have taken, but currently, we have covered up to 50%, which is also at Rs 89.

Jinesh Gandhi: Second clarification was with respect to the RM cost benefit. So did you indicate that we expect the benefit of lower RM cost to reflect from April '23 onwards by then our high cost inventory will be totally absorbed?

Bajaj: You will see some correction in the January to March also, but full recovery from the April onwards.

Jinesh Gandhi: Third question was pertaining to the freight cost side. So are we also passing on the freight cost benefit for contracts which are on CIF basis or only for contracts where -- which are on FOB basis?

Bajaj: FOB basis, question does not arise. But on CIF basis, yes, whatever surcharge, we have added that we have withdrawn from 1st of January.

Jinesh Gandhi: With respect to the US market, we have seen Y-o-Y decline of 9% in volumes. So is that a reflection of inventory correction? Or this is the end market, which is the

Bajaj: General market conditions.

Jinesh Gandhi: Okay. Not the inventory correction related impact?

Bajaj: No.

Moderator: The next question is from the line of Nishit Jalan from Axis Capital.

Nishit Jalan: I have 2 questions from my side, mostly on the volume side. You have talked about that dealer inventory levels have come down to 2.5 months. I'm assuming you are giving an average number for Europe and US Typically, what is the normalized inventory level, sir, that we should be looking at given our regional mix. And second point you talked about was that end market demand is holding up well.

What we understand is that in Europe, especially in the agri segment, there is a double-digit volume decline. Is that not the case? Or what exactly do you mean when you say demand is holding up well, there's a decline, there's a growth, it's flattish? How should we look at the demand side, especially in that agri segment that I'm talking about?

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Bajaj: So what we understand from our dealers is, th

ey are able to sell what they were selling earlier.

So that is why we are telling end-to-end market demand is intact. However, due to the raw material price decrease they were expecting, and they were not having the space to keep the further tyres which they were keeping in higher inventory during the COVID times. So they are liquidating that inventory. Once that correction is over, recovery of full cycle should start..

Nishit Jalan: Normalized inventory levels, how should we look at from 2.5 months, how much more room is there to -- for the inventory level?

Bajaj: 45 to 60 days normally, minimum there will be.

Nishit Jalan: Okay. when RM prices come down so sharply that we have seen, there is some price correction also that happens in the market. And probably that is another reason why dealers are not looking to lower the inventory levels. Are you seeing any signs or any price cuts happening on gradual pass-on of happening of lower RM costs by any players or by yourself and in Europe other than US market?

Bajaj: So far, we have not come across. Only the shipping surcharge which we were charging that we have passed from the 1st of January.

Nishit Jalan: And none of your peers have taken any price cut? Or do you see any price cut that's happening because the RM costs have come down very sharply.

Management: we have not come across so far.

Rajiv Poddar: We have not heard from our dealer.

Nishit Jalan: Okay. on accounting thing. This unrealized losses that you have. These will be largely for the working capital because your debt levels are fairly low, right? So the currency fluctuation happens in your receivables and payables. And that is the main reason why you are seeing these kind of unrealized losses coming in? Or are these also pertaining to the future hedges of revenues that you have done and you are doing value on getting some mark-to-market losses on that.

Management: Nishit, this is largely due to the borrowings that are there in the system.

Nishit Jalan: Only borrowing. It's not the working capital, is it?

Management: No. Working capital debt and the long-term debt, that there on the books

Moderator: The next question is from the line of Pramod Amthe from Incred Capital.

Pramod Amthe: This is with regard to the ASP where you were talking about freight costs. Can you help us understand in a bigger market like Europe, what is the extent of imports from Asia? And what is the extent of locally produced overall as the industry?

Management: We finish goods or for raw material? Commented [RJ2]: Comma place changed

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Pramod Amthe: No, For the finished goods, for whatever Europe agri tyre consumption happens, what is the extent of imports from Asia only the Asia imports might be the ones which might have been reducing the freight cost, right, not the locally manufactured ones?

Management: Difficult for us to estimate from where they are importing.

Rajiv Poddar: We don't have those numbers.

Pramod Amthe: So are they 15%, 20% or the 50% of the industry?

Management: No idea..

Pramod Amthe: The reason why I was asking is if this is the case and the other guys are holding and you are

cutting it. So you might be competitively priced more now versus the -- might be 6 months back when the freight price was going up?

Rajiv Poddar: Difficult to put a number. It's very difficult to answer.

Pramod Amthe: The overall industry itself again Europe, looking at your volume decline versus the industry decline, there seems to be almost on par, like 15%, 16% Q-o-Q decline. So then why do you say that you have cut the inventory versus the industry is also falling in a similar manner?. Second, since now this is the issue for last 1 or 2 quarters, would you be able to disclose on a regular basis, what are your retail volumes for these wholesale volumes, so we can get some more color in terms of what

's the underlying demand?

Rajiv Poddar: No. We don't have that data..

Management: Difficult to get data off the retail volume, it would be very difficult to provide that number on a quarter-on-quarter basis.

Pramod Amthe: Since you said the dealers inventory has been reduced by 15 days, so you may be having retail versus wholesale, right?

Bajaj: What we understand from our dealers is that we have only informed you on the call.

Pramod Amthe: Okay. Since the margins have been under pressure for the last couple of quarters, and now you're almost running nearing your completion on capex. Would you be focusing now on cost reduction so that you can come back to the your normalcy of corporate margins much sooner? At least that is the case where you want to focus on the cost side?

Bajaj: So we are always conscious about the cost part. But once the volume increases, it will come down.

Pramod Amthe: So you will wait for operating leverage to play out?

Bajaj: Yes.

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Moderator: The next question is from the line of Mr. Abhishek from Dolat Capital.

Abhishek: Sir, you have recently done full automation and modernization of Bhuj plant and also invited dealers and clients for plant visit. So how is the customer feedback and how much benefit you will get in terms of operational efficiencies? And what is your plan to reduce power costs?

Rajiv Poddar: So customer feedback is, I mean, good because they're getting a more consistent product. So that is what we are getting feedback from them. Regarding power reduction or any other efficiency improvement, it is a continuous journey that we do at BKT. There is no destination. Every time we reach a new bench milestone, that becomes a benchmark, and we continue to improve from there.

Abhishek: Okay. Sir, in the past, you have done a lot of land acquisitions near Bhuj. So what is your long-term plan for capacity additions in both tyres and the Carbon Black, sir?

Rajiv Poddar: We are evaluating. We have not made up any firm decision yet. As and when we do, we will let everybody know after the Board approves.

Abhishek: Okay, sir. So right now, the current capacity is 365,000 tons. Can we assume that in the next 2 years, you can use to the 500,000 tons kind of the numbers?

Rajiv Poddar: We can't give you a number on that or comment on that because as of now, we have not drawn up anything neither have we gone to the board. So it's just fair to put a number and we can get there or we can't get there. At the moment, what we are saying is by end of financial year of first half of next year, our number will go to 360,000 tons, our capacity.

Abhishek: And my last question is related with your expansion on networks. So what have you done to expand in your global network in the last couple of quarters? And how do you see opportunities in the South American market?

Rajiv Poddar: So we have built our local network in Shenzhen and of course that is an opportunity for us to grow. That is our view.

Abhishek: So what is the contribution of the South American market in overall volume right now?

Rajiv Poddar: We don't break it up into South and North America. We can give you for Americas. The total Americas is currently contributed to about 90% from North Americas for 9 months

Moderator: We'll take your next question from the line of Mr. Ankit Kanodia from Smart Sync Services.

Ankit Kanodia: So sir, after the results, as in Q1 FY '23 result, we made a commentary regarding the cautionary or the recessionary situation in Europe. But when we look at the volumes in Q2 and Q3, it looks like the Europe volumes have been pretty resilient. Can you throw some light on this as to what is happening in the industry and how are we positioned there?

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Rajiv Poddar: So as we mentioned that, yes, Europe is under recession. So we are al

so seeing that and there is

destocking at the dealer network. So we are continuing to see that. The retail is holding up the demand, and that is why we are confident of getting some numbers back in the coming quarters.

The trend seems to be positive.

Ankit Kanodia: And how are we doing in terms of market share there? I'm not looking at any numbers, but how is our market share increase during the period of -- remain largely the same ...

Rajiv Poddar: Stable, our market share is stable. we have not lost cross market share.

Ankit Kanodia: Okay. My next question is on the capex thing. So largely, most of our capex has been done in as per your presentation, the Carbon Black project and also the Waluj Brownfield capex, I think both will be done by maximum by Q1 FY '24.

Rajiv Poddar: Yes.

Ankit Kanodia: Is it fair to assume that next year FY '24, we'll get double benefit, one from the operating leverage if the volumes go up? And also from the point of view of -- incrementally, we'll see our interest and depreciation not arise and currently going down. And in depreciation can't go down, but incrementally, it will not rise. Is it fair to assume?

Rajiv Poddar: Yes.

Moderator: The next question is from the line of Priyaranjan from HDFC.

Priyaranjan: Just one thing how do we plan to ramp up the carbon black? I think the specialty Carbon Black will be mostly sold outside? And what kind of contribution we are seeing the normal Carbon Black sales from the overall top line?

Rajiv Poddar: Carbon Black be about 5% of the top line and specialty will be sold outside only 100%?

Priyaranjan: And an additional 55,000 tons, which is the normal Carbon Black that will all mostly consume in-house or that will also have some

Rajiv Poddar: So that will have some sales outside. But overall, our sales turnover, about 5% will be Carbon Black will be sold outside.

Priyaranjan: Specialty, I mean, do we have identified the market? And how should we look at the ramp-up of that specialty?

Rajiv Poddar: Yes, we have identified markets. We are going to do testing, so we can ramp up in about a year's time.

Moderator: The next question is from the line of Mr. Aniket Mhatre from HDFC Securities.

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Aniket Mhatre: Just a quick clarification, sir. When you said low single-digit growth, you meant this for near-term or for FY '24?

Rajiv Poddar: At this moment, we are only commenting on the near-term, so we are commenting on the near-term that will be a low single digit.

Aniket Mhatre: So that's what one should expect for Q4?

Rajiv Poddar: Yes.

Aniket Mhatre: When you said the benefit from raw material and freight of about 300 basis points that would be after the entire benefit would flow in from Q1 FY '24, right?

Rajiv Poddar: Yes.

Aniket Mhatre: So by when should one expect our margins to bounce back to 28% to 30%, could you provide any guidance?

Rajiv Poddar: So on the quarter, when you asked about the volumes, I'm just reiterating to clarify, you -- quarter-on-quarter, it will be better, a little better, so sequentially.

Aniket Mhatre: Sequentially, it would be a bit better. Okay. And on margins, when can we go back to our guidance of 28% to 30%?

Rajiv Poddar: We are working towards that. We've always mentioned that in the long-term, we would like to be at that. So basically, there is no principal change in the way we operate over here. These are minor cyclic effects, which are coming in, but we would like to go back to there. But in the next coming quarters, we will have a meaningful recovery in EBITDA due to raw material and freight costs going down. We expect it to be around 300 basis points from the current level at least.

Aniket Mhatre: Sure. So from current levels of 19%, you expect 300 basis points improvement at least by Q1? And any forex benefit would be over and above that.

Rajiv Poddar: Yes.

Moderator: We'll take the next

question from the line of Mr. Lokesh from Vallum Capital.

Lokesh: A couple of questions from my end. One is on the forex on the unrealized loss of INR 166 crores attributed to borrowings. If you can share the average duration for these borrowings? A ballpark number would be fine.

Rajiv Poddar: So the average duration is 3 years for the long-term and 6 months for the short-term.

Lokesh: Okay. So is it right to assume if, let's say, in the next 6 months, the euro is at Rs 88 and it does not come down. This provision would not be written back. Is it fair to assume that?

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Rajiv Poddar: Yes.

Lokesh: Great. The second is on the ASP front. So we're seeing raw material prices coming down. Going forward, how would you like to play this? Would you pass it on to your dealers? Or would you want to play this with volume which is coming up with your capacity?

Rajiv Poddar: At the moment, we'll wait and watch about what is happening in the industry, how everybody is moving, what is happening. So it's too early to comment. We have not made up our minds, but we are waiting and watching.

Lokesh: As for what the market demand is and how the situation is.

Moderator: The next question is from the line of Mr. Mayur from Asian Market Securities.

Mayur Milak: This is Mayur. Just wanted to understand, so now that we've been hearing that China is kind of reopened and would normalize production. Have you seen any trend of the Chinese tyres coming back into the European replacement market yet? Or all of that yet need to be factored in?

Rajiv Poddar: No, it's not -- we've not seen any trend.

Mayur Milak: Okay. and is it fair to assume that you would have significantly gained because tyres from Russia and China, both were possibly not there. And since the European counterparts would have seen some significant increase in their operating cost as well due to higher energy costs. We would have gained -- is it fair to assume that we will be able to retain most of this gain or you could see some loss of share once all of these factors also kind of normalize?

Rajiv Poddar: So we can retain the gain.

Moderator: We take the next question from the line of Prolin Nandu from Goldfish Capital.

Prolin Nandu: A couple of questions from my side. First would be over the medium-term, right? I mean what kind of market share gains should we assume? Because in the past, you have mentioned that you are somewhere at 5% to 6% market in the relevant markets that you are presenting. And I mean 2, 3 years back, I think this number was 3% to 4%. So could you help us understand as we enter new markets as the local dynamics in some of the markets where we are present changes, is it fair to assume that the market share gains will accelerate year-on-year over the medium-term?

Rajiv Poddar: So currently, as we mentioned, 5% to 6%, our aspiration is to go to 10%. We are trying to accelerate this growth to reach our goal. But how much will it accelerate in the mid-term is difficult to say. We will be prepared for it, and we are ready to reach those numbers.

Prolin Nandu: But is there anything happening in the market, which gives you confidence that this 10% number would be achievable sooner rather than what we had previously assumed. Is this anything happening in the market that gives you that confidence or not yet?

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Rajiv Poddar: So I think we are working from whatever we can do, we are working. We are creating the distribution. We are creating the product. And of course, over the last 3 to 4 years, we are putting in a lot of money in marketing. So brand recognition will go up. So those things will always have an impact.

Prolin Nandu: Sure,. And sir, my second question is about your treasury book, right? I mean if I'm not on cash and cash equivalent at the end of this quarter, is al

so somewhere close to INR 2,000-odd crores, right, in some sense and we carry on that as well. And there have been questions in the past and you mentioned that you want to play that real advantage that we have. And if I look at your annual report for FY '22, I see lots of different types of investment in direct equities in some of the DII's, in some of the venture capital funds as well.

So could you help us understand what kind of an objective the Board or the senior management provide to the treasury? And what kind of constraints does the treasury team work with? And what are the expertise of the treasury team to make some of these investments into VC funds and some of the DII's as well, if you can help us understand that?

Rajiv Poddar: So as we had earlier mentioned that, that was run for short-term parking. So we have already done that. We have already guided that we will be slowly moving that money towards repayment and also towards future capital expansion.

Prolin Nandu: Sure. But are there any constraints? Are there any yield targets that you give your treasury team? Or are there any no-go areas with which our treasury teamwork while I understand that before short-term and now is that in the capex mode. Can you give some constraints with which they work, it would be great for us.

Rajiv Poddar: The no-go zones are taken out to anything that is firstly risky. Short-term paper, safe papers, government papers mainly which gives us good protection on the financial as well as gives us a good yield. So that is the objective.

Moderator: We take the next question from the line of Joseph George from IIFL.

Joseph George: I have 2 or 3 questions. One is, you mentioned that starting Jan 1, the freight surcharge has gone to 0. So how much further speed decline should we think of when we think of 4Q compared to 3Q?

Rajiv Poddar: Very much, very much.

Joseph George: Okay. the second question that I had was in relation to how the pricing of BKT tyres is in, say, Europe compared to the peers? So in the past, you have mentioned that you'd like to keep the price discount versus the larger peers at about 12% to 15%. Now with the level of freight surcharge, had that discount narrowed? Or was it still at 12% to 15%. Now with the removal of the surcharge, it will increase further. How should we think about the pricing there versus the peers compared to the 12% to 15% discount range that you have given us earlier?

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Rajiv Poddar: We have always indicated that we would be 12% to 15%. We try to be as close, but yes, of course, during the last couple of quarters, it had gone down to maybe between 11% to 13%, which is now we will take it back to 12% to 15%. But again, I reiterate that our principal policies for operating the business are not changing. We would like to maintain all the same principles that we have been running the business with. So that will continue.

Joseph George: Understood. And sir, the last question that I had was in relation to end demand. So I think this question has been asked by previous callers in this call. But -- so what I'm trying to figure out is, when you mentioned that currently, volumes are impacted by destocking, it automatically implies that in the preceding quarters, there was overstocking. So what I'm trying to figure out is when I look at the average volume, say, in the March quarter and the June quarter, September quarter, which was about 80,000 tons per quarter, how much of it was inflated by overstocking by dealers? And in those quarters, what is the volume implied by the genuine underlying end retails?

Rajiv Poddar: So there was about 5% to 10% overstocking at their level as well.

Joseph George: So we're saying that those 80,000 numbers, I mean when I look at the quarterly numbers, March quarter was 77,000, June was 83,000, September, 79,000. So I think out of this, about 5,000 to 10,0

00 was over inflation because of overstocking by dealers. Is that the right...

Rajiv Poddar: Yes.

Moderator: The next question is from the line of Saif Gujar from ICICI Prudential AMC.

Saif Gujar: Sir, just regarding the Indian operations. So this quarter, we had around 15,972 tons out of the 66,480 tons from India. So is there any focus on increasing the market share from Indian operations? Or it is just like a hedge from European operations?

Rajiv Poddar: No, no, we are working actively to increase the market in India. We have always mentioned that there is an area of opportunity for us to grow. And if you look at the last 2 or 3 years, we have bigger pie also, increased our market share in India. So that will continue to be there. It's not a sort of hedge against Europe. It's a targeted approach that we have made to grow in it.

Saif Gujar: So how is the strategy here? And there would not be any significant low-cost advantage as we enjoy in overseas operations, right? So ...

Rajiv Poddar: We are competitive in the marketplace. At the end of the day, we are selling ourselves and we are -- our quality is being accepted. Our brand is now being recognized, and all those things are placing us as a premium product, and we are competing with them and selling.

Saif Gujar: And it would be more towards the agri side or the Off-Highway side, particularly in India?

Rajiv Poddar: Both. Agri is also Off-Highway side, but agri and mining are both industrial, all segments of ours, we are pushing in India. Commented [RJ3]: Please see I believe it should be market instead of margin

Commented [RJ4]: I recollect Rajiv Ji mentioned that it is not sort of hedge, so I have added "no". just please recheck.

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Moderator: Thank you very much. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Rajiv Poddar: Thank you, everyone, for taking your time to join us. See you next time, stay safe.

Bajaj: Thank you.

Moderator: Thank you. On behalf of Batlivala & Karani Securities Private Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Jun 2023

Balkrishna Industries Ltd.

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BIL/SE/2023 ■2024 3rd June, 2023

To,

BSE Limited, National Stock Exchange of India Ltd,

Phiroze Jeejeebhoy Towers, 5

th Floor, Exchange Plaza,

Dalal Street, Bandra Kurla Complex,

Mumbai – 400 001. Bandra (E), Mumbai 400 051.

Scrip Code: 502355

Trading Symbol: BALKRISIND

Dear Sir/Madam,

Subject: Transcript of Conference call with Investors/Analysts conducted on 29th May, 2023

to discuss the Q4 FY23 Results.

In continuation of our letter dated 22nd May, 2023 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/Analysts on Q4FY23 Results of the Company held on 29th May, 2023. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/www/us/investors-desk>

You are requested to kindly take the above information on record and disseminate.

Thanking you,

Yours faithfully,

For Balkrishna Industries Limited

Vipul Shah

Director & Company Secretary

and Compliance Officer

DIN: 05199526

Encl: As Above

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"Balkrishna Industries Limited

Q4 FY '23 Earnings Conference Call"

May 29, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges — BSE Limited and National Stock Exchange of India Limited and the Company website on 29th May 2023 will prevail

MANAGEMENT : M R. RAJIV PODDAR – JOINT MANAGING DIRECTOR –

BALKRISHNA INDUSTRIES LIMITED

MR. BAJAJ – SENIOR PRESIDENT , COMMERCIAL AND

CHIEF FINANCIAL OFFICER – BALKRISHNA

INDUSTRIES LIMITED

MR. RAVI JOSHI – DEPUTY CHIEF FINANCIAL OFFICER

– BALKRISHNA INDUSTRIES LIMITED

MR. SUSHIL MISHRA – HEAD ACCOUNTS –

BALKRISHNA INDUSTRIES LIMITED

SGA, INVESTOR RELATIONS ADVISORS

M

MODERATOR : M R. MAYUR MILAK – ASIAN MARKET SECURITIES
LIMITED

Balkrishna Industries Limited
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Moderator: Ladies and gentlemen, good day and welcome to the Balkrishna Industries Limited Q4 FY '23 Earnings Conference Call Hosted by Asian Markets Securities Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Actual results may differ from such expectations, projections, etcetera, whether expressed or implied. Participants are requested to exercise caution while referring to such statements and remarks.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note, this conference call is being recorded.

I now hand the conference over to Mr. Mayur Milak from Asian Market Securities Limited.

Thank you and over to you, sir.

Mayur Milak: Hi. On behalf of Asian Markets Securities, we welcome you all to the Q4 FY '23 post call of Balkrishna Industries. I'll take this opportunity to welcome the senior management team of Balkrishna. We have Mr. Rajiv Poddar, Joint Managing Director and other senior team members with us. I would like to invite Mr. Rajiv Poddar for his opening remarks and then a Q&A session.

Over to you, sir.

Rajiv Poddar: Thank you, Mayur. Good morning, everyone, and thank you for joining us today. Along with me, I have Mr. Bajaj, Senior President, Commercial and CFO; Mr. Ravi Joshi, Deputy CFO; Mr. Sushil Mishra, Head Accounts ; and SGA, our Investor Relations advisor. Let me begin with performance updates. Q4 Financial Year '23 has been a better quarter from a sequential point of view. We witnessed an uptick in volumes, better demand from our end markets, and partial clearing of our high-priced raw materials. However, end markets, especially channel inventory situation, is not completely out of the woods.

We believe this channel inventory led issues may be resolved by June or July. We were able to clock 72,676 metric tons in Q4 of the financial year '23, which is 9% Q-on-Q growth and accordingly ended the year with 301,181 metric tons , a marginal growth of 4% over the financial year '22.

In Q4, the EBITDA margin is at 21.3%, which has improved sequentially. This has been due to better absorption of high-cost raw material inventory that we were carrying in the system and lower freight costs. We have continued to make higher spending in brand building and marketing initiatives, which slightly impacted margins. Excluding these investments,, we would have been slightly higher in Q4. In view of our long-term strategy of increasing market share, these investments are required to be made as we move ahead to achieve our aspiration of 10% market share over the next few years. As sales volume increases, these spends, as a percentage of sales, will come down.

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For financial year '24, we remain positive. We believe that we would be in a better position to discuss our volume guidance in the next few months. On the margin front, multiple levers such as favourable raw material costs, better hedge rates, and complete normalization of logistic costs, will aid the improvement in margin profile. In terms of end markets, we expect Europe to normalize later during the year, while America and India will continue its FY '23 performance trajectory.

Let me now update you on the capex. The advanced Carbon Black project of 30,000 metric tons per annum is running delayed, and we expect the same to be completed in H2. The capex for the brownfield capaci

ty addition of 25,000 metric tons per annum at Waluj has been completed. Full ramp up of production will reach over a period of 6 months. Now the Waluj location has a total capacity of 55,000 metric tons per annum.

Further, at the company level, our achievable capacity stands back at the original 360,000 metric tons per annum. For the financial year '24, we estimate a capex spend of INR550 crores to INR600 crores. Of this, routine maintenance capex will be INR250 crores to INR300 crores.

The balance will be spent towards new product development like rubber tracks and giant solid tyres. This will help us widen our product basket in the end market along with higher investments in brand building and marketing efforts, which are required to reach our market share goal of 10%.

With this, I now move on to the operational highlights.

Our standalone revenue for the quarter stood at INR 2,325 crores, a degrowth of 4% year on year, which includes realized gain of foreign exchange pertaining to the sales of INR 7 crores. For financial year '23, the revenue stood at INR 10,072 crores, which includes realized gain of foreign exchange pertaining to the sales of INR 262 crores. We have crossed the historical mark of INR 10,000 crores sales for the first time in our history.

For the financial year '23, 51% of sales came from Europe, 22% from India, 18% from America, and the rest of the world. In terms of channel contribution, 69% was contributed from the Replacement segment, while OEM contributed to 28%, and the balance coming from uptake. In

terms of category, Agricultural segment contributed to 63%, while OTR, Industrial and Construction contributed to 34%, and the balance came from other segments. The standalone EBITDA for the quarter was at INR 494 crores with a margin of 21.3%. Financial year '23 EBITDA was reported at INR 2,028 crores translating to a margin of 20.1% and a drop of 7% year on year on year basis.

Other income for the quarter stood at INR 28 crores, while unrealized gain stood at INR 3 crores.

Other income for the financial year stood at INR 114 crores, while unrealized loss stood at INR 88 crores. Coming to the net forex items for the quarter. We had a net forex gain of INR 26 crores, which includes realized gain of INR 23 crores and an unrealized gain of INR 3 crores.

For financial year '23, we had net forex gain of INR 224 crores, which includes realized gain of INR 313 crores and an unrealized loss of INR 88 crores. Profit after tax stood for the quarter at INR 256 crores, while for the financial year it stood INR 1,079 crores. Our gross debt stood at

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INR 3,254 crores at the end of 31st March '23, of which about 75% relates to working capital debt. Our cash and cash equivalents are at INR 2,075 crores.

For Q4 financial year '23, the euro hedge rate was 86.50, while for financial year it was 85.30.

Forward hedge rates for financial year '24 currently stand at around 88 to 89 levels. The Board of Directors have declared a final dividend of INR 4 per share, subject to shareholders' approval in the AGM. This is in addition to the earlier interim dividends of INR 12 per share paid over the 9 months of the last financial year.

With this, I conclude my opening remarks and leave the floor open for Q&A. Thank you.

Moderator: Thank you. We'll take our first question from line of Ashutosh Tiwari from Equirus Securities.

Please go ahead.

Ashutosh Tiwari: Firstly, on the destocking front, you mentioned that probably by June or July destocking will get completed. So can you share some like what were the retail sales in quarter versus the reported number INR 72,700 odd?

Rajiv Poddar: We don't have those details.

Ashutosh Tiwari: Is it like destocking had a large impact on volumes or it was not very high impact in this quarter, per se?

Rajiv Poddar: It's higher than our sales. As we've been saying that there is some clearing happening. We can

share But not the numbers.

Ashutosh Tiwari: Okay. And you mentioned that Europe will probably recover a bit later during '24, but America and India are going to do well, but even American volumes have come off quite sharply in the second half versus the first half, so this weakness seems to be across in Europe and USA, at least in the second half of last year.

Rajiv Poddar: It's a seasonal thing. In America, the seasonal impact, which is coming. We are quite confident that, as of today, America should continue its growth trajectory. So we don't see any problem with that.

Ashutosh Tiwari: And lastly, what is the gross debt level?

Rajiv Poddar: Around INR 3,200.

Moderator: We take our next question from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Sir, again, first question on the volume side, in the current quarter, we are already close to like 2 months. So given the channel destocking which you are seeing, shall we start expecting some volume growth coming from Q1, or do you think it may take longer for volumes to come back?

Rajiv Poddar: As I had said in my opening speech, we see some clearance happening from June, July, so that is what we can say at this moment.

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Siddhartha Bera: Okay. And in the quarter, ASPs also have come down by about 4%. So can you just indicate if this is largely of rate pass-through or something else is also leading to lower ASPs? And should we accept more correction going ahead or this is largely behind for now?

Rajiv Poddar: So it's a combination of product mix and the lower freight cost that has passed through.

Siddhartha Bera: Okay. So is this largely normal now or should we expect more correction in the coming quarters?

Rajiv Poddar: Some minor correction could come in.

Siddhartha Bera: Okay, got it. On the volume side, sir, if you look at India volume, they have grown quite well in this year at 28% if I see. And this quarter also the growth has been quite strong. Can you just indicate what is driving this because industry has not been growing and the factors are in the direction of the outlook is not very encouraging. So some indications on what is driving this and is there any change in market share or the product side, which you can indicate?

Rajiv Poddar: So it's a mix of everything. So product acceptability, and product performance in the marketplace, as well as we are growing faster than the market, so we are taking market share as well. So also the branding that we are doing for the Indian market is having the brand -- creating a good brand recall, so all the benefits that we've been talking about are now playing out in the marketplace, so it's a mix of all these factors coming together.

Siddhartha Bera: Any particular segment which is coming through this, Agri, OTR, or it's all?

Rajiv Poddar: Both the products are all over India. Both the product lines are doing well.

Siddhartha Bera: Okay. So you expect some of these volume growth to continue even in the current year?

Rajiv Poddar: Yes, we expect it to continue.

Moderator: We take the next question from the line of Mumuksh Mandlesha from Anand Rathi.

Mumuksh Mandlesha: Sir, what is your expectation in terms of RM cost reduction for next quarter?

Mr. Bajaj: So it will be around 1% to 2%.

Mumuksh Mandlesha: And sir, mainly the most of the lower input cost will be passed through --- the benefit will come in Q1 itself?

Rajiv Poddar: We may have to pass. So basically if you see what we mentioned for the whole year, we will see some improvement in the margins for the whole year. Could be in the range of 200 to 300 basis points, but that will be for the whole year, not in this quarter.

Mumuksh Mandlesha: Got it. Sir, in India business, just wanted to come back. Do you expect the double digits in the volumes to continue for FY '24?

Rajiv Poddar: We can't comment on the future, what's going to happen

. It looks, as we mentioned, is that we expect the growth trajectory to continue, but difficult to put a number to it.

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Mumuksh Mandlesha: Got it. And sir, what would be the inventory level at the distributor end now?

Rajiv Poddar: We don't have the number, but we see that it is improving. So it is reducing.

Moderator: We take our next question from the line of Pramod Amthe from Incred Capital.

Pramod Amthe: First question is with regards to your interest costs, it seems to be going up pretty steeply to our last quarter Q2 was INR15 crores, it has gone to INR25 crores. Can you give more colour what is happening there?

Mr. Bajaj: Because the EURIBOR rate has gone up, whatever PCFC we are taking, that rate had gone up.

So once it had start reacting then only it will come down, otherwise it will stay in the same range.

Pramod Amthe: So your rates are what now, 5%, 7% on that? What is the current rate?

Mr. Bajaj: It is around 4% approximately.

Pramod Amthe: So if I had to look at assuming your gross debt is almost around INR3,000 crores plus. So, as you said, 75% is there. So is it peaking out or do you still feel there is room to go up an absolute number before it peaks out? And also, secondly, do you capitalize any of your interest costs for the capex? And when that will come through P&L?

Rajiv Poddar: So as far as the number of the gross debt, number wise, it will come down in this financial year. We are working towards that.

Pramod Amthe: And I was asking on the interest costs, if it's absolute wise it's very difficult to project from a INR15 crores to INR25 crores, right? So where will we go from 25 crs to where and when it will come down?

Rajiv Poddar: Very difficult to say where it will end up the actual number, no? But if the number comes down, the rates remaining same, it will come down. But if the EURIBOR goes up then it may stay at this level. But on a gross level, the debt will -- you will see a debt reduction.

Pramod Amthe: Let me put it other way. Do you capitalize any of the capex-related interest costs and how much it was for FY '23?

Rajiv Poddar: Very small portion goes to capitalization. Otherwise most of it goes to P&L.

Pramod Amthe: Okay. And the last question is in terms of the end market pricing behaviour, because raw material cost has been benign for all the players. Do you see the manufacturer passing it on to the end

consumer? Is there any different which time to pass it on to the consumer or it's again a fight for pricing?

Rajiv Poddar: So here also we are reviewing the situation very closely. If the need arises, we will also have to pass on some of that reduction. We are trying and seeing in the market's best interest and how we retain our market share. So we are reacting to that.

Moderator: We'll take our next question from the line of Ankit Kanodia from Smart Sync Services.

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Ankit Kanodia: So my first question is related to the margins. So if we look at the quarterly numbers in the last year, from March 2022, it was 21%, and then Q-on-Q it's kept on decreasing for reasons we know, and it has now come back to 21%. And when we're saying that Europe will probably comeback later in the coming year, so is it right to assume that probably margin will see a big bump-up in the second half and will continue to maintain kind of margin in the first half as well, that is 21%, 22% margin?

Rajiv Poddar: So as I mentioned earlier during 1 of the answers that we are seeing for the whole year improvement in margins ranging from 200 to 300 basis points and bulk of it will come towards the end of the year. So you're right. You should see some bump in the second half.

Ankit Kanodia: For my next question, as you know that the difference between the price at which we sell our tyres compared to our European counterparts

is decreasing over the years. So it was somewhere around 50% 15 years back. Now it is about 10% to 15%. So do we see any other players, new players coming in with that kind of a price differential with our competitors, or our main competition continues to be the European and American counterparts?

Rajiv Poddar: We are playing in the market which is basically quality driven, and we are competing against the quality players. So price is not our game, so we are not looking at that. We are looking at the top players whose quality is at par with us. So the range is also important.

Moderator: We'll take our next question from the line of Nishit Jalan from Axis Capital.

Nishit Jalan: Two questions from my side. Number 1, we do have a very high gross debt of about INR3,200 crores, but at the same time we have INR2,000 crores cash also. That's something we have maintained in the past also. But now the debt levels have gone up and cash has also gone up. So any thoughts around that whether you want to use some of the cash to pay off debt? That is 1.

Second question is just wanted to understand what is the raw material policy of the company?

Typically, what kind of inventory do you carry for rubber and crude derivatives? I'm asking because this time around, we have seen a significant lag in realizing the actual benefit of RM cost. I think more is yet to come. It's already been 2, 3 quarters. So did you have a very disproportionate inventory compared to what you typically keep? More colour on this would be helpful.

Rajiv Poddar: So on the raw material, typically, we would keep between 45 and 60 days of stock, but the lag was longer than expected because all of a sudden the market saw a correction, so we were planning at higher levels. And if you saw the numbers in the last 2 quarters, they have dipped significantly from the Q2 and Q1. So that had an impact on this. Also, the lead times were long and all of a sudden the shipping times got cut, so we had to plan for both of them and that's why the lead time, what was being ordered for future, came in a little earlier. So that's why we had a longer lag.

Nishit Jalan: Okay. The debt one?

Rajiv Poddar: No, we are not looking to use the cash for repaying, but we will be looking at that for expansion purposes.

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Nishit Jalan: But Mr. Poddar, your net debt levels will come down, right? You will generate enough cash flow to internally meet your capex requirement. So if your net debt is coming down, why not think about using those cash and paying of the debt and not taking the currency risk or anything of that sort?

Rajiv Poddar: It's a continuous process which we will be reducing, and besides using this, we want to keep this in case if any opportunity arises or something, so it's a good cushion to have in the balance sheet for any acquisition opportunity or anything that can come up. So we are anyway being able to reduce the debt without that. So we don't envisage to use this money for that.

Nishit Jalan: Okay, got it. Just 1 follow up. You just mentioned about acquisition or anything. Is there any -- historically you have talked about that you don't want to set up any plant overseas. Or do you think there is any reason or anything you may look to acquire in India because you have the

largest capacity. There is no other company which is even closest to you. So what would be the thought on acquisition, if at all you plan to do it at any point of time in future?

Rajiv Poddar: So you caught on to my word. But what I was trying to say, we don't intend to set up a plant overseas right now. We don't have that in the near future. I was saying that if an opportunity comes up, we are keeping it so that we are actively looking for an opportunity to acquire anybody or there is something in the marketplace. But you never know - you always plan ahead and keep, so you're not running on that day when

an opportunity comes up. So I think that is what is

important. Don't look at it that we are looking at an opportunity or we are examining something.

There is nothing actively there. I said we are planning to keep as a backup in case that opportunity comes someday. Also, in addition to that, 1 part is of acquisition or potential opportunity, the other is also in-house expansion, since we do large expansions. So we plan and keep for that part as well.

Moderator: We'll take next question from the line of Abhishek Jain from Dolat Capital.

Abhishek Jain: Sir, what is the current retail demand trend in the European agriculture market and U.S. OTR market?

Rajiv Poddar: So it's better than our wholesale sales currently in both the sectors. So that is a good sign for us.

Abhishek Jain: And what is the normal inventory in first half of calendar year and how much it is higher than the normal?

Rajiv Poddar: It is higher than what they normally would have kept, but as I said, it is reducing. It is on a downward trajectory, so we feel that in the coming quarters, we will be able to give you some guidance.

Abhishek Jain: And how is the competitive intensity? Are other players like Alliant or Yokohama. Now it's quite aggressive on the pricing front. So do you have any pricing pressure right now on your product?

Rajiv Poddar: No, we are pursuing our own strategy, so we are working on that.

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Abhishek Jain: My last question on the capex is the mention of the plant. So how much benefit will flow in the EBITDA in the coming days because of this?

Rajiv Poddar: So we will see some improvements come in once the full volumes are back in place.

Moderator: We'll take next question from the line of Yash Agarwal from IIFL Securities.

Yash Agarwal: Just 1 question. How should we look at opex, excluding freight, as a percentage of revenue? In 3Q it was at 16% and in 4Q it was at 19%.

Rajiv Poddar: Yes, you will see some volatility. As I mentioned in my speech, it is because of the branding exercises that we are intensifying to further reach to the end users and use this opportunity to get the brand name more popular in the end user space.

Moderator: We'll take our next question from the line of Lokesh Manik from Vallum Capital.

Lokesh Manik: My question is in the India business, if you can give some sense over the last few years have the margins been any different from the export business?

Rajiv Poddar: No, they're similar margins to export business.

Lokesh Manik: Okay. And our material cost would also involve the inward rates, that is the import from China and other countries, so the raw material would be inclusive of that, right?

Rajiv Poddar: Inclusive of that.

Moderator: Next question from the line of Basudeb Banerjee from ICICI Securities.

Basudeb Banerjee: Yes. So 3 questions. One, as you had mentioned, retails have been better than wholesale. Just to understand some of the additional perspectives, the quantum of destocking for you, compared to last quarter, this quarter was similar, higher, or lower, because seasonally Q4 is better quarter, so retail should have been on an absolute basis better Q-o-Q. So just to understand whether the increasing volume was more led by retail jumping more or lesser destocking just to understand from that angle?

Rajiv Poddar: Mix of both.

Basudeb Banerjee: And destocking compared to last quarter?

Rajiv Poddar: Yes.

Basudeb Banerjee: Quantum was similar compared to last quarter?

Rajiv Poddar: So the destocking in the current quarter because the sales has gone up a little bit, so the destocking amount may have come down marginally, but more or less it is the same quantum as last year.

Basudeb Banerjee: So same quarter as in Q3.

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Rajiv Poddar: Yes.

Basudeb Banerjee: Second question, sir, if I look at your quarterly realiz

ations, it used to be roughly to INR260 for

a long time. And then with raw mat inflation and logistics cost inflation, it moved up to as high

as INR350. With the surcharge container costs removed, it's down towards INR320. So how do you look at where 1 should look as a steady state realization looking at your product mix?

Mr. Bajaj: Come down. It is difficult to give the numbers and what numbers will be, but slowly, it will come down.

Basudeb Banerjee: They will come down towards INR260 levels or...?

Mr. Bajaj: Not that level. It may be INR300 or somewhere near to that.

Basudeb Banerjee: Sure. And third question is, sir, how much was your brand marketing expenses in FY '23 versus FY '22?

Rajiv Poddar: We don't have those numbers readily. We will come back to you.

Moderator: We'll take your next question from the line of Raghunandhan from Nuvama Wealth Management.

Raghunandhan: So my first question was on the demand side. The expectations for Agri production in Europe and the U.S. indicate that production should be better in CY '23 versus '22. Ideally, that should help the sentiments on Agri side. So what are your expectations as to how directionally the demand could improve on the replacement market side over the next few quarters?

Rajiv Poddar: It's too early to say, but we are expecting better second half. As we mentioned earlier that Europe will improve in the second half of this year. So we hope that that will play out.

Raghunandhan: Got it, sir. And the destocking which is likely to be completed or resolved by June-July, would the inventory level have reached around 2 months by then?

Rajiv Poddar: Yes, it should do.

Raghunandhan: And lastly, just a clarification. The capex of INR600 crores for FY '24 would be total capex, right, growth plus maintenance?

Rajiv Poddar: Yes..

Moderator: We'll take the next question from the line of Arvind Sharma from Citi.

Arvind Sharma: Sir, it's more on the capacity part. Right now, at 360,000, what would your market share be? If it is at 5% to 6%, then going to 10% market share essentially requires a big increase in capacity, assuming the industry remains at a similar level.

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Rajiv Poddar: I mentioned earlier in my discussion that in case of a big expansion which we need to plan, the cash and cash equivalents are being kept for an opportunity to get that expansion going. So you're absolutely right that we will require a big expansion.

Arvind Sharma: Sir, any timeline for that 10% market share, any rough timeline if you could share?

Rajiv Poddar: We're targeting 4 to 5 years.

Moderator: We'll take our next question from the line of Saif Sohrab Gujar from ICICI Prudential AMC.

Saif Gujar: So the first question is on the hedge rate. As you talked about forward hedge rate being currently at 88. For FY '23 and 4Q, how much would be the average hedge rate and what proportion was hedged?

Mr. Bajaj: Q3, you are asking for Q3?

Saif Gujar: 4Q and entire FY '23, what would be the average hedge rate and going forward, it would be 88 what you told.

Mr. Bajaj: For the entire year it was 85.3. For the last quarter it was 86.5, and for financial year '24, it is around 88, 89.

Saif Gujar: And how much proportion? I understand we have a rolling forward hedge rate, so what portion we would be hedging currently?

Mr. Bajaj: We are targeting 8 to 10 months, so 80% is already hedged for '24 around 88, 89.

Saif Gujar: Sir, my second question would be on the branding. So we have been very proactive in advertisement, branding, and all. So what would be the advertisement expenses for FY '23 and as compared to FY '22?

Rajiv Poddar: I don't have the exact breakup. We can get back to you later.

Moderator: We'll take our next question from the line of Disha Sheth from Anvil Shares.

Disha Sheth: Yes, sure. So you mentioned an improvement of margin around 200 to 300 basis points. Sir, that

is compared to Q4 FY '23 or the full year FY '23?

Mr. Bajaj: So it will be on the last quarter, 200 basis points to 3% for whole of the year.

Disha Sheth: Whole of the year. Okay. And sir, when we mention the 10% market share, I'm just confirming, our current market share is around 5%. Correct?

Rajiv Poddar: 5%, yes, about 5%.

Disha Sheth: Okay. And sir, how much capacity would we need addition and how much cash will you need for the increase over the next 4 to 5 years?

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Rajiv Poddar: We are working on that. I don't have the numbers right now. It's on the drawing board. We'll come back with an announcement when we are ready.

Disha Sheth: Okay. And sir, just a last question. Current inventory days are how much?

Rajiv Poddar: Around 45 days.

Disha Sheth: 45. Sir, in June-July you expect that to become 30 days.

Rajiv Poddar: We'd like to keep it at this level. Around 40, 42 days maybe.

Disha Sheth: Okay. And historically also we have been around this level, right?

Rajiv Poddar: Yes.

Moderator: Thank you. We'll take the next question from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.

Ashutosh Tiwari: Firstly, on this next phase of capex, or the capacity expansion that we'll do from beyond 360,000. Can that be taken up at Bhuj or there's no room over there and you need to plan a greenfield only.

Rajiv Poddar: No, we have ample room there. So we can take it up over there.

Ashutosh Tiwari: And how much capacity can be added in say Bhuj?

Rajiv Poddar: A substantial amount.

Ashutosh Tiwari: Okay. And generally, if you plan expansion today, how much time do you take for the plant to come up?

Rajiv Poddar: So brownfield can be done between 15 and 20 months.

Ashutosh Tiwari: Okay, 15, 20 months. Okay. And secondly, how is the progress on the mining side and on the ultra large tyres? We entered the segment around 4, 5 years back. So what kind of volumes we're doing over there right now?

Rajiv Poddar: I don't have the breakup of the volumes exactly, but we are getting a good response. Our tests have been conducted, results have been good, and now it's become a regular sales feature. So that is going on as a regular product. So it's picking up well. All over the world we've got good response for it.

Ashutosh Tiwari: What is the capacity of this ultra large mining tyre right now with us?

Rajiv Poddar: Around 5,000 tons for the whole annum.

Moderator: We'll take our next question from the line of Pragya Shah from Concept Investwell.

Moderator: , We'll take our next question from the line of Mumuksh Mandlesha: from Anand Rathi.

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Mumuksh Mandlesha: Sir, what was your Carbon Black sales to third party in FY '23?

Mr. Bajaj: Approximately 6%.

Mumuksh Mandlesha: 6% revenue for full year, right. And what would be the utilization of this Carbon Black plant in FY '23, sir?

Rajiv Poddar: 85% to. 90%.

Moderator: Thank you. We'll take our next question from the line of Mayur Milak from Asian Markets Securities. Please go ahead.

Mayur Milak: So just trying to understand the European situation. So we believe there was some news that Chinese tyres were supposed to come back and then there is again this news that there will be some COVID situation in and around. So just wanted to understand what is the real situation in Europe. Are the Chinese competitors back or we still get this advantage of using that market for a longer duration than what we had earlier anticipated?

Rajiv Poddar: As of now we are not facing much of a competition from Chinese brands because market sizes have -- it's not a very big size of like a passenger car or truck bus. So that is where it is.

Mayur Milak: And typically with all this correction in trade and everything, what would be your typical difference of the offering, selling price difference between you and your closest Chinese counterparts?

Rajiv Poddar: We don't have their pricing because there's no fixed pricing for them, so it's difficult to give you an answer. And we always try and benchmark against the top-quality European players. So that's what we are aiming to get to.

Mayur Milak: Right. So just to put it the other way around. So just trying to understand, the general understanding was the difference is about between 12% and 15%. So is it safe to assume that that would kind of continue even now?

Rajiv Poddar: Yes. If you see the branding exercises we've been doing has got us down from a gap of about 40-odd percent to gap of 15%. So it's a lot of effort and hard work done over the years. So we would like to maintain that.

Moderator: We'll take our next question from the line of Sunil Shah from Turtle Star. Mr. Shah,

Sunil Shah: My question is an extension of the previous question. Sir, the pricing differential that we have

versus our European competition, so if I look at our company over the last many years, our prime advantage was more on the labour cost advantage, that is our labour cost was reasonably less than the global competition.

Now with increased automation that we're doing in our companies, power cost is certainly going to be 1 variable cost, which will be a significant part going forward. To maintain that advantage, what are we doing on the power cost front so that our edge remains over our global competition? Historically, I believe just the labour advantage had given us a cost advantage of more than 20%.

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But with automation, power cost will be certainly a bigger factor. So are we doing anything on that power cost front to reduce and have an edge over the global competition? Because once we had an aspiration of 28% to 30% operating margin, we are now in that 21% mark. And obviously, due to many reasons that we know in the last few years. But on the power front, could you just let us know anything we are doing there to gain some advantage?

Mr. Bajaj: So that why this our carbon plant came because it is our self-consumption, as well as whatever the tail gases are produced, that we convert into the power, so it reduces the power cost.

Sunil Shah: So any differential in cost that we'll attain over a period of time in power itself, percentage differential versus just labour...

Mr. Bajaj: Self-consumption, but definitely, we are saving huge cost.

Sunil Shah: Okay. And sir, once upon a time used to be a debt-free company. Now we are net debt of INR1,200 crores. So with just about 300 bps increase in our margins, when will we regain that earlier phase of being a debt-free company, meaning we will continue to have a debt in our books as well, as you mentioned?

Rajiv Poddar: As I mentioned, the gross debt will continue to go down and have an impact, but we are working towards being a net debt free company. So hopefully, we should be there in about 15 to 18 months, subject to no major expansion getting announced before that.

Moderator: We'll take our next question from the line of Chirag Maroo from Keynote Capital.

Chirag Maroo: Sir, as you said, our overall market share is about 5% approximately. Will it be possible for you to provide a bifurcation between how much market share we have in agriculture and OTR?

Rajiv Poddar: No, we can't give the bifurcation.

Chirag Maroo: Okay. And second, I wanted to understand what is our strategy or initiative towards increasing our market share in OTR tyres at this moment.

Rajiv Poddar: So if you see, we've been constantly increasing the sales in the OTR segment, and the growths are coming in higher. So whatever we are doing, working towards, is now paying off in the marketplace. So that is what we have been working for the last 3 to 4 years. And you can see the numbers constantly increasing.

Chirag Maroo: Are we doing any R&D spend related

to OTR, at this moment, as a product company?

Rajiv Poddar: That is a part and parcel, so that goes on for all the product lines that we are in. It's not just for OTR or it's not just for Agri. It is being done across the product basket that we make.

Chirag Maroo: Okay. Sir, I just wanted to understand if any of your international peers are creating a base in India and trying to become a bit competitive based on their employee expenses. If you can give is there any acquisition taking place or a big plant setup taking place which can create a competition suits for Balkrishna?

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Rajiv Poddar: We can't comment on competition and what they plan to do.

Moderator: We'll take our next question from the line of Pramod Amthe from Incred Capital.

Pramod Amthe: This is with regard to the domestic business. What is your current market share in the Agri? And what's the medium-term ambition on the market share the way they have for global? And then second, do you plan to expand into any related subsegments in automotive?

Rajiv Poddar: So in India, our market share would be about 3% to 3.5%. And in related business, apart from Carbon Black, we don't envisage to at the moment, to go in any other business.

Pramod Amthe: And the second 1 is with regard to the margin expansion. So you are at around, if I'm not wrong, 280,000, 290,000 capacity production, assuming this year is going to be a single-digit growth.

Rajiv Poddar: In my opening statement, I had mentioned that we ended the year with 301,000-odd metric tons. So last year we clocked 301,181 metric tons.

Pramod Amthe: No, I'm speaking from a quarterly annualized basis. because if I had to look at the margin guidance which you are talking about, expanding from the current level by another 300 basis points, right, from the 4Q? So if I had to look at that context, you would be hitting your peak margins even at the lower

utilization than in the past. So you feel you will scale and move high in operating margins in this upcycle without the Carbon Back itself?

Rajiv Poddar: Difficult to comment on now.

Pramod Amthe: But your guidance looks to be heading in that direction.

Rajiv Poddar: That is what we're estimating, yes. We are guiding in that. Let's see how it plays out.

Moderator: We'll take our next question from the line of Pragya Shah from Concept Investwell.

Moderator: We have reached the end of the question-and-answer session, and I'd now like to hand the conference back over to the management for closing comments. Over to you, sir.

Rajiv Poddar: Thank you, Mayur. Thank you to everybody for coming on this call, and we'll see you at the end of next quarter. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Asian Markets Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

Balkrishna Industries Ltd.

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BIL/SE/2023-2024 10

th August, 2023

To, BSE Limited, National Stock Exchange of India Ltd,

Phiroze Jeejeebhoy Towers, 5

th Floor, Exchange Plaza,

Dalal Street, Bandra Kurla Complex, Mumbai – 400 001. Bandra (E), Mumbai 400 051.

Scrip Code: 502355 (Equity)

Scrip Code : 973556 (Debt) Trading Symbol: BALKRISIND

Dear Sir/Madam,

Subject: Transcript of Conference call with Investors/Analysts conducted on 7th August, 2023 to discuss the Q1 FY2024 Results.

In continuation of our letter dated 31st July, 2023 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/Analysts on Q1 FY 2024 Results of the Company held on 7th August, 2023. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/www/us/investors-desk>.

You are requested to kindly take the above information on record and disseminate.

Thanking you,

Yours faithfully,

For Balkrishna Industries Limited

Vipul Shah Director & Company Secretary

and Compliance Officer

DIN: 05199526 Encl: As Above

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"Balkrishna Industries

Q1 FY2024 Financial Results Conference Call"

August 07, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges — BSE Limited and National Stock Exchange of India Limited and the Company website on 7th August 2023 will prevail

ANALYST : M R. JOSEPH GEORGE – IIFL SECURITIES LIMITED

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BALKRISHNA INDUSTRIES

MR. MADHU SUDAN BAJAJ – SENIOR PRESIDENT –
COMMERCIAL & CHIEF FINANCIAL OFFICER –

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MR. RAVI JOSHI – DEPUTY CHIEF FINANCIAL OFFICER –
BALKRISHNA INDUSTRIES

MR. SUSHIL MISHRA – HEAD ACCOUNTS – BALKRISHNA

INDUSTRIES
SGA - INVESTOR RELATIONS ADVISORS

Balkrishna Industries
August 07, 2023

Page 2 of 15 Moderator: Good morning ladies and gentlemen, welcome to Balkrishna Industries Q1 FY2024 financial results conference call hosted by IIFL Securities Limited. This conference call may contain forward looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Joseph George from IIFL Securities Limited. Thank you and over to you Sir!

Joseph George : Thank you Lizanne. Good morning everyone. On behalf of IIFL Securities, I welcome you all to the 1Q FY2024 results conference call of Balkrishna Industries. From Balkrishna Industries, we have Mr. Rajiv Poddar, Joint Managing Director along with other senior management team members. I will now hand over the call to Rajiv Sir for his opening remarks, post which we will start the Q&A. Over to you, Sir.

Rajiv Poddar : Thank you Joseph. Good morning to everyone and thank you

for joining us today. Along with

me, I have Mr. Bajaj, Senior President, Commercial and CFO, Mr. Ravi Joshi, Deputy CFO, Mr. Sushil Mishra, Head Accounts and SGA, our Investor Relations Advisor.

Let me begin with performance updates. Towards the end of June, we faced disruptions on account of Biparjoy Cyclone in the state of Gujarat. The operations of the Bhuj plant were suspended from the late evening of 13

th June 2023 and while operations resumed on 19th June

2023, it led to a loss of five days of production. However, the dispatches were affected for all plants till June end due to disruptions at Mundra Port. This resulted in lower export volumes in Q1. The total sales volume for Q1 stood at 67,209 metric tonnes. Domestic sales stood at 21,012 metric tonnes. This saw a healthy growth of 19% year-on-year. In Q2, we faced challenges due to heat waves and recessionary fears in the export market. On a positive note, the global inventory-related challenges are now unwinding. However, we continue to see momentum in domestic markets.

As guided in the previous calls, we estimate the capex spend of Rs.550 Crores to Rs.600 Crores in the FY2024. Out of this routine maintenance capex will be Rs.250 Crores to Rs.300 Crores.

The balance will be spend towards new product development like rubber tracks and giant solid tires to widen our product basket in the end market along with higher investments in brand building and marketing efforts, which is required to reach our market share goal of 10%. This market share aspiration will be reached in the next four years post next round of capex getting commercialized.

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Page 3 of 15 With this, I now move on to operational highlights. Our standalone revenue for the quarter stood at Rs.2115 Crores a degrowth of 22% year-on-year. This includes realized loss on forex pertaining to sales of Rs.5 Crores. For the Q1 FY2024, 45% of sales came from Europe, 31% from India, -, and 15% from the Americas. The balance came from rest of the world.

In terms of channel contribution, 72% was contributed from replacement segment, while OEM contributed to 26% with the balance coming from off-take.

In terms of category, agricultural segment contributed 59% while OTR industrial construction contributed 38% and the balance came from other segments.

The standalone EBITDA for the quarter was at Rs.487 Crores with the margin of 23%. Other income for the quarter stood at Rs.66 Crores.

Coming to the net forex items for the quarter, we had a net forex gain of Rs.38 Crores, which includes realized gain of Rs.5 Crores and unrealized gain of Rs.33 Crores.

Profit after tax stood at Rs.312 Crores for the quarter.

Our gross debt stood at Rs.2861 Crores at the end of 30

th June 2023 of which about 75% is

relating to working capital debt. Our cash and cash equivalent were at Rs.2245 Crores.

The board of directors has declared a first interim dividend of Rs.4 per share. With this, I conclude my opening remarks and leave the floor open to Q&A.

Moderator : Thank you. Ladies and gentlemen, we will begin with the question and answer session. The first question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: Good morning. Thanks for the opportunity. Sir my first question is overall on volume, we reported a decline and you alluded that there was an impact on production as well as disruption on the port, but just Sir wanted to check how is the demand situation. We had spoken about inventory destocking in the past, so where are we on that? Lastly, when you look at breakup between agri and OTR, the decline seems to be more of steep on the agri side, so overall, can you comment on the demand environment Sir?

Rajiv Poddar : So as I mentioned in my commentary, the challenges for this quarter continue. We are still not out of the woods, so we forecast challenging times. That said, if the disruption was no

t there, that

would have given us five days extra production, which should have met. So it would not be as low as it is in this quarter but the challenges yet continue.

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Page 4 of 15 Aditya Jhawar: But Sir, you gave us some comments on the retail on the ground demand did it see some growth or we are seeing that even the end market demand has been challenging and where are we specifically on the destocking? How much more we can expect?

Rajiv Poddar : So the demand is continuing at the end user. As I mentioned in my commentary, the inventory level unwinding is decreasing. I mean it is clearing up so that is a good sign for us and that should kick in some demand but overall, challenges continue and we expect it to be stable at this moment.

Aditya Jhawar: Sir the second question is on the freight increase that we had taken and we are rolling back so to what extent it is left? We saw a decline in ASP as compared to last year? How much of the rollback we should expect in the next few quarters Sir?

Rajiv Poddar : We have rolled back the whole freight component in our ASP which has already gone through in the Q4 of last year.

Aditya Jhawar: Perfect and Sir the final question is on the margin trajectory? Other tire companies have reported reasonable gross margin expansion? How should we think about it in our case considering your product segment is very, very different but overall on the raw material side, how should we expect the benefit to flow through?

Rajiv Poddar : So difficult to give a number, but we expect a positive outcome.

Aditya Jhawar: Okay Sir. I will fall back in the queue. Thank you.

Moderator : Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.

Mumuksh Mandlesha: Thank you so much for the opportunity and congratulations on good EBITDA margin performance Sir related to the heat wave's impact on the demand, Sir, on the agriculture activity globally, will there be this one quarter impact or could we see the impact of few quarters?

Rajiv Poddar : So it is difficult to answer now, but as we mentioned the end user demand is there. There is inventory clearing out which has taken place so these are the positives. With that said, there are necessary fears and the heat wave impacts which will be there so we see demand being a little challenging at the moment. It is difficult to indicate which quarter or how long the impact will be there.

Mumuksh Mandlesha: Sir realization was lower this quarter by 1.5% sequentially? Sir any reason for that? Is it a product mix Sir?

Mr. Bajaj : Our realization is lower because of the raw material cost has decreased. That is why we have passed the benefit to our customers.

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Page 5 of 15 Mumuksh Mandlesha: Okay so 1.5% benefit was passed through right?

Mr. Bajaj : Roughly average. The average maybe a little more, but yes this is it.

Mumuksh Mandlesha: Okay and going ahead Sir how do you see the realizing Sir?

Rajiv Poddar : For the whole year as I mentioned in my commentary last time, we expect it to be around 300 to 305 on the lower side so that is where we should see it towards the end of this year.

Mumuksh Mandlesha: And this lower relation from the current level will be mainly because of pass through?

Rajiv Poddar : Pass through for raw material.

Mumuksh Mandlesha: Right Sir and Sir the volume growth has been very strong supported by better availability what should be the growth for the full year and how is the delay inventories Sir?

Rajiv Poddar : As we mentioned we are not giving you guidance for this year because we see challenges so it is difficult to give a number and where we will have that for the year. We will take it quarter by quarter and India as I mentioned, India remains strong, which is a good geography for us to focus on and continue to do so.

Moderator : Thank you

. The next question is from the line of Raghu Nandhan from Nuvama Institutional Equities. Please go ahead.

Raghu Nandhan: Thank you, Sir, for the opportunity. Good to see margin at 23%. Sir on the demand side, the hope has been that demand should improve sequentially and as we go towards second half of the year, things should improve in terms of agri segment, in terms of Europe region or there could be triggers in terms of Balkrishna gaining market share on the OEM side, so, if you can just talk about we understand that currently the situation is challenging, but going forward as we go to second half of the year where the hope is normalization of demand, what are the triggers which could help the demand trajectory?

Rajiv Poddar : So yes typically, the second half is all better than the first half so we are, but we are not able to give a number of guidance to where it will be. We will wait and watch and take it quarter by quarter to see the impact of weather and recession and other fears pertaining in the market as explained.

Raghu Nandhan: Got it Sir. On the OEM side, the company has historically been gaining market share, so would you expect those trends to continue this year as well?

Rajiv Poddar : Yes.

Raghu Nandhan: I got it Sir and my second question just a couple of clarification so in Q1 that five days production impact and also the impact of not being able to do dispatches of Mundra Port, so, that Balkrishna Industries

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Page 6 of 15 benefit should spill over to Q2 any quantification as to what was the loss and dispatch because of this temporary issue and also if you can put a number where is the global inventory level currently and how does it compare with the normal level?

Rajiv Poddar : So yes, you are right. We had an impact of five day production loss and 10 day dispatch towards the end of towards the end of the quarter which was spill over, but with that said, you please bear in mind Q2 is always our weakest quarter so the spillover should get us at par to where we have been in the previous quarters so that is how we are looking at it. We will give you numbers when we reach the end of this quarter and as far as the inventory of the global end user, distributor, dealer level it is coming down and that is there. It is more or less close to normal where it should be.

Raghu Nandhan: Got it Sir close to normal levels. Thank you so much, Sir. I will come back in the queue.

Moderator : Thank you. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Thanks for the opportunity. Sir again on this general heat wave indications you have given, has it already led to sort out of the pool from the channel being lower in the current quarter? You have already started seeing that or this is more your expectations that some of these will lead to a slower pickup than what we had expected?

Rajiv Poddar : Yes. We have started seeing the impact, which is why we are highlighting it.

Siddhartha Bera: Okay and secondly, in general, given that we had this inventory benefit, in terms of the raw material not fully visible yet, so current quarter inventory levels, are they a current reflection of whatever the commodity prices are or do you think there can be some more benefit depending on wherever the commodities are right now?

Mr. Bajaj : Not full benefits have come and the raw material prices we expect now to stabilise.

Siddhartha Bera: It is likely to step up from the current level?

Rajiv Poddar : Stable.

Siddhartha Bera: Stable got it so you do not see any further commodity benefit coming up in the coming quarters based on the current commodity prices?

Rajiv Poddar : Yes correct.

Siddhartha Bera: Okay got it and Sir any color on this demand by when shall we start expecting some recovery on the volume side going back to that 75,000 to 80,000 will it happen by the end of this year? You think it may be longer

even your understanding of the ground level demand?

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Page 7 of 15 Rajiv Poddar : We cannot put a date to it. We would like it to come as soon as possible. We are ready from infrastructure point of view to cater to that but we will wait and watch. I think we will give you guidance quarter by quarter as to what visibility we see but difficult to put a number by when it will come.

Siddhartha Bera: But Sir weakness is more on agri or OTR side? Which segment do you think with little more softness?

Rajiv Poddar : All over both the segments.

Siddhartha Bera: Okay and this weather pattern changing of heat waves and all, how does this impact demand generally for the farmer because replacement I would have hoped that it would have been quite so generally with heat waves does it demand pattern gets impacted?

Rajiv Poddar : It impacts the end user because he is not able to do his agriculture work because the soil has become so hot, so it affects the crop and it affects his income so he is also forecasting and seeing where to be so it is difficult to do the process of work that he would have normally done because

it has impact on the crop that he would grow.

Moderator : Thank you. The next question is from the line of Pramod Amthe from Incred Capital. Please go ahead.

Pramod Amthe : Sir the first one is with regard to the end market so what is the pricing competitive scenario because the slowdown seems to be surprising everybody? So is there a discipline happening by the competition or are they desperate to fight out one and dedicated to the same as the freight unwinding when the ASP is complete now or you feel there is some more to be passed on to be normalized?

Rajiv Poddar : So yes whenever there is a little slowness there will always be some international movements so we are competing with it and at the moment we are able to negate it, so we hope to continue to do the same in the coming quarters also. As I mentioned that towards the end of the year our realization may drop to levels of 305 the ASP. That is an indication that the pass on of raw material and the pricing competition may bring it down to that, but that is where we estimate it to be.

Pramod Amthe: The second one is with regard to the interest cost so if I look at your page number 125, you clearly call out for capitalize interest cost for last year was almost Rs.20 Crores in spite of the netting of leading to a Rs.40 odd Crores so it seems like you are capitalizing one third of the interest cost? Can you give me what is this for because our understanding was you are running such a big cash and you have lot of loans in the working capital so is it you have taken loan for the plant and hence you are capitalizing it and what is the capital cost and interest in the Q1?

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Page 8 of 15 Mr. Bajaj : Yes so it is not prorate of one fourth what is being capitalized. The only capitalize portion is related to the long term ECB which is taken for the capex and the amount keep changing depending on the accounting principle.

Pramod Amthe: So would you quantify what is for Q1, when you have done an expense of Rs.20 Crores what is the capitalized amount?

Mr. Bajaj : It is hardly 10% to 12% of it.

Pramod Amthe: Because last year it looks like 30%?

Mr. Bajaj : Yes. It depends on the running exchange rate, actually so it keeps changing.

Moderator : Thank you. The next question is from the line of Mayur from Asian Markets Securities. Please go ahead.

Mayur: Yes just trying to understand it at one point you mentioned that the benefit of commodity you expect to remain stable at going forward and you also mentioned that you have taken a price cut so you have passed on this benefit so is it that you are looking at steady gross margins as a function and that is why you have taken the price cut or this is clearly from a competitive angle that

you want to maintain the volumes and is why the price cut?

Rajiv Poddar : It is a mix of both.

Mayur: So as far as competition is concerned, should we read it that this is more competition coming from China because we still do not know whether China is kind of normalized or what is really the status in the European markets?

Rajiv Poddar : No it is coming from across the globe not China alone.

Mayur: Okay, what we are trying to read is it while at one point you said that realization could come off?

You are also maintaining that you will still be able to close the year at 23% plus EBITDA margins?

Rajiv Poddar : Yes, we are quite confident of that.

Mayur: Great. Thank you Sir. That will be all.

Moderator : Thank you. The next question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi: Sir a couple of clarifications. On the RM cost benefit side if I recollect we had indicated that there was some high cost inventory which was still getting carried in Q1 so in that context not expecting any further RM cost benefit can you just touch upon how one should see that?

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Page 9 of 15 Mr. Bajaj : So high cost the inventory almost adjusted now and now the current inventory material we have is as per the current cost only and we expect stable prices now onwards.

Jinesh Gandhi: So the 1Q level of gross margins is what we should expect but for any changes going forward, but for any changes in RM going forward?

Rajiv Poddar : Yes we look to sustain these.

Jinesh Gandhi: Okay and the second question pertains to the capex guidance which we have given now so in that we are also talking about investment towards marketing site so is this over and above what we do normally through P&L or this is part of that?

Mr. Bajaj : No it is part of that.

Jinesh Gandhi: Okay and lastly with respect to the immediate quarter Q2, will there be some of benefit of the

dispatches which could not happen in the dispatch loss which we talked about would that be done in -Q2 or it may not happen because to control the inventory on the ground we may defer that?

Rajiv Poddar : No it will happen in Q2.

Jinesh Gandhi: It will happen in Q2 and in that context Q2 should be stronger than what otherwise could have been?

Rajiv Poddar : As I mentioned earlier Sir that Q2 is always our weakest quarter, so you have to put that factor also in the demand is challenging so put those two factors and then add the spillover so do not it is not going to be normal quarter plus that also. You have to account for both these factors.

Jinesh Gandhi: Yes obviously -Q2 is the seasonally weakest that is very well appreciated

Rajiv Poddar : Because even in the domestic markets in Q2, you are hit with monsoon and everything so all those also come into factor so mean put both the numbers together to get to the real number.

Jinesh Gandhi: If I take a step back and get a broader margins on margin guidance of 26% to 28% and given that we have now at about 23% including the full benefit of RM how do we see between 3% to 5% point appreciation to margin over medium term coming from operating leverage is one part but beyond that what else should be enabling that margin expansion to our normalized range?

Rajiv Poddar : So I think the biggest driver will be volume growth because that would bring in lot of efficiency with that and then along with that you will have your hedge rates and other operating factors which will come in. That will be linked to product mix also.

Jinesh Gandhi: Okay got it. Right the product going in favor of OTR?

Rajiv Poddar : The realization.

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Page 10 of 15 Jinesh Gandhi: Got it. Great. Thanks and all the best.

Moderator : Thank you. The next question is from the line of Basudeb Banerjee from ICICI Securities. Please go ahead.

Basudeb Banerjee: Other than freight

expenses other expense line item was lower sequentially it is purely due to lower volumes or marketing expenses were curtailed or something?

Rajiv Poddar : So basically lower volumes and low freight rates, so the marketing expenses and all are stable. That has not contributed to that reduction.

Basudeb Banerjee: Second question Sir not futuristic but inventory levels have fallen in the export market but if you can give a qualitative idea of how the retail space of your portfolio has been happening say for the last three quarters?

Rajiv Poddar : Sir the retail level there is destocking and as I mentioned that destocking has now reached the level normalized level so that is the positive side but difficult to put a number and where we will end up and all that is very difficult at this stage.

Basudeb Banerjee: What I meant is end customer off take from your distributor at ground consumption level how has the volumes behaved in the last three quarters?

Rajiv Poddar : That has been stable so that has been stable and because of that there has been destocking. The stocking levels are at normal conditions because the end level demand will get holding up.

Basudeb Banerjee: Sure. So just wanted to understand if I look at 76% plus margin and 305 to 310 ASP per kg which means almost Rs.80 and historically, if I see your portfolio EBITDA per kg highest has been somewhere around Rs.78 in general close to Rs.70 or below that so what qualitative thing one should look at in the longer run that your EBITDA per kg is improving?

Rajiv Poddar : As I mentioned earlier the biggest driver will be volume growth followed by better hedge rates and also product mix and all these factors coming together will get us there.

Basudeb Banerjee: Sure and lastly what is the hedge rate for FY2024-FY2025?

Mr. Bajaj : Rs 87 and Rs 88 currently for the whole year.

Moderator : Thank you. The next question is from the line of Rishi Vora from Kotak Securities. Please go ahead.

Rishi Vora: Thank you for giving me the opportunity? Sir first on the commodities we have seen crude prices running almost 15% over the last one to two months so if the prices sustain at this levels do you expect any headwinds to come in 3Q or 4Q?

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Page 11 of 15 Mr. Bajaj : So demand is low currently. So we do not expect much change in the current price of the raw materials.

Rishi Vora: Understood and on the competitive intensity side. A lot of the domestic players are now focusing on OHT segment well obviously BKT over the last two decades have helped an exceedingly well so how are seeing the competitive intensity currently from the domestic player itself and if the competitive intensity increasing what are we doing to let us say offset the impact of this?

Rajiv Poddar : So when we are playing to our strength there is a huge market and big opportunity. We are focused on that. We have about 5% to 6% of the global share so that is a 94% to 95% market yet available and we are focusing on that in our product basket and in our category of premium

players so that is where our focus is and that is what we are trying to do.

Moderator : Thank you. The next question is from the line of Mohit Jain from Tara Capital Partners. Please go ahead.

Mohit Jain: My question was related to the previous question which is the impact of the oil prices? Now you said that the commodity prices are stable and you expect the margins to move in line with the operating leverage, but just if you can talk about the impact of oil prices because they have moved up as the last participant said by almost 25% in the last one month?

Mr. Bajaj : So as we told that globally the demand is low of the entire segment so the raw material prices are not likely to go up from here much. It is likely to be stable for the rest of the year. That is what we understand.

Mohit Jain: Understood so then it is fair to say that in the very

near term volumes remain the main or the only

levers for margins to improve and also on the hedging you said that the hedging will help? Your hedging levels were €80. INR is at Rs.90 so the hedges will be slightly out of the money right now?

Mr. Bajaj : Correct because earlier when Euro was Rs.80 that time also hedging was a continuous process so once it is going up then we will be getting the benefit of that so it is slight here and there but for the full year Rs. 87 and Rs. 88 we will be standing at Rs. 87 and 88.

Moderator : Thank you. The next question is from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.

Ashutosh Tiwari: Sorry I joined a bit late. First question other income is very high in this quarter Rs.66 Crores any one off in that?

Rajiv Poddar : So there is a mark to market impact in that on the forex and the treasury.

Ashutosh Tiwari: How much is that in the mark to market like generally basically going ahead what should we assume on a quarterly basis on the other income thing?

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Page 12 of 15 Rajiv Poddar : I do not have the exact number with me but it is about Rs.60 Crores to Rs.65 Crores in that range.

Ashutosh Tiwari: Okay and out of this 21000 India volume you mentioned for the quarter what is the split between agriculture and OTR?

Rajiv Poddar : I do not have the breakup for the Indian market but the overall company wise I can give you the breakup. We are at.

Ashutosh Tiwari: That I know from the data that is okay.

Rajiv Poddar : We do not give out the breakup geography wise so I do not have that numbers with me.

Ashutosh Tiwari: Generally in this quarter mainly agriculture has picked up in India or it is also others did well?

Rajiv Poddar : All over Sir both our segments.

Ashutosh Tiwari : And what is the gross debt as of June?

Rajiv Poddar : Rs 2850 cr.

Ashutosh Tiwari: Lastly on the realization part you mentioned Rs.300 to Rs.305 per kg but that also includes carbon black is probably ramping up now so even despite the fact that your carbon black plant will come up and it has been growing in sales do you expect this kind of fall in the realizations?

Mr. Bajaj : So we expect that there will be some fall that is the lower limit we have there.

Ashutosh Tiwari: Okay what is the utilization level of current carbon black plant of 170,000, 1.7 lakh tonnes what is the utilization level?

Mr. Bajaj : -

Ashutosh Tiwari: -

Mr. Bajaj : Around you can say 85% to 90%.

Moderator : Thank you. The next question is from the line of Rajat from Incred AMC. Please go ahead.

Rajat: Thanks for taking my question. Just one thing Sir you said that the current market share is 5% to

6% and that your goal is to achieve 10% market share in the next four to five years Sir just

wanted to understand if that would mean like more than doubling on your sales from current levels so incrementally how much more capacity would you need to achieve this 10% market share and what do you think would be the expected capex spend?

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Page 13 of 15 Rajiv Poddar : So as I mentioned in my commentary that this will be four years after the next capex cycle and that is where it will get us so once we do the capex planning and all we will make announcements and after which it comes online it will be four years.

Rajat: Alright okay and one more thing Sir the employee expenses seem to have slightly declined on a Y-o-Y basis from Rs.107 Crores last year to Rs.105 Crores this year so have we not taken any employee raises for this year and is it expected to come at the later part of this year?

Mr. Bajaj : So this is because of the volumes. Volumes are low so fortunately it has been reduced.

Rajat: Okay so we have lot of contractual labours is this or pardon my ignorance?

Mr, Bajaj : Majority contractual labour.

Moderator : Thank you. The next question is from the line of Abhi

shek from Dolat Capital. Please go ahead.

Abhishek: Thanks for the opportunity. Sir you have around 3200 SKUs so how much SKUs do you have in OTR segment and if you can throw some more light on the new business meaning OTR segment in overseas and India?

Rajiv Poddar : We do not give the breakup segment wise so I do not have those numbers for the SKU.

Abhishek: If you can throw some more light on the new business in the OTR segment in overseas and India?

Rajiv Poddar : That is a normal continued process so as I said, roughly the OTR contributed about 38% of our business and continues to grow.

Abhishek: And as you had mentioned that you are looking for the 50% means from the OTR segment so where do you see the potential opportunity for BKT which all the markets you are looking for targeting?

Rajiv Poddar : Globally all across the globe. We are targeting everywhere we can get the sales going so it is not a particular geography.

Abhishek: In domestic business growth was very much strong so have you won the new business in domestic market and just wanted to know what is the replacement versus OEMs in domestic?

Rajiv Poddar : We do not give individual geography breakup but yes we have won new business in India and that is why it is reflecting in the numbers.

Abhishek: So this run rate will be sustainable in the coming quarters because of this new business win?

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Page 14 of 15 Rajiv Poddar : Yes but only as I mentioned in my commentary earlier the numbers will be sustainable over long term. Quarter may be a little up or down because of the weather because this is both because of the weather and rain. Both agri and construction activities are generally slower so if you account that the rest of the business should sustain at these levels in the other quarters.

Abhishek: Thanks Sir. That is all from my side.

Moderator : Thank you. The next question is from the line of Devrath Jhunjhunwala from Nepean Capital. Please go ahead.

Devrath Jhunjhunwala: You mentioned the gross debt of Rs.2850 Crores is there any plan to restructure or repay this debt over the next financial year and beyond?

Rajiv Poddar : So the short term borrowing the working capital is getting adjusted as per the business and long term as per the repayment schedule we will be repaying. That will be as per the schedule given when we took the loan so we do not see any issue in the repayments and we are following that schedule.

Moderator : Thank you. The next question is from the line of Garvit Goyal from Nvest Analytics. Please go ahead.

Ca Garvit Goyal: Sir my question is on demand outlook side only like you mentioned India is doing well Europe is showing the problem so my question is on the recessionary trend you mentioned the reason for it so it is more in the Europe side or in the America side and further it is more towards the agro segment side or the OTR side?

Rajiv Poddar : It is in both the geographies and both the segments the recession fears are in both Americas and Europe and in both the segments agri and OTR.

Ca Garvit Goyal: Understood and Sir secondly we are doing capex but like you mentioned the major geographies are facing the problem so does that mean that the capex is mainly for India or the things will get improved in one year's time?

Rajiv Poddar : Sir the capex is done for across the world. We do not see that these issues will continue for long term so when those markets come we will be able to cater to them and also these are new products so we will be opening new areas of revenue for the country across for the company.

Ca Garvit Goyal: Understood Sir and lastly Sir are we seeing any problem in the terms of like rising import into India from other geographies?

Rajiv Poddar : Not for us at this point in time.

Moderator : Thank you. Ladies and gentlemen, we will be taking the last question that is from the line of Disha Sheth from Anvil Wealth.

Please go ahead.

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Page 15 of 15 Disha Sheth: Sir just wanted to ask that as India is growing very nicely so going forward our margins as India does not have that high margin as the export market so if you can give some guidance how are margins will shape up in the coming two years as India is growing faster?

Rajiv Poddar : We will be vetting off the utilization of capacity so margins should sustain at similar levels.

There will be lower margins for domestic but overall it will be at the break level.

Disha Sheth: Okay great and Sir last question wanted to check when you said Q2 will have spillover but it will

be similar level to last Q2 or last Q1 that was FY2023 Q2 like last year? It had a very good results? We had like 83,000 of volumes so when you said it will be on similar level it will be on Q1 similar level or Q2 because of the challenges you said?

Rajiv Poddar : Madam I do not want to speculate a number. Let us wait for the quarter to get over and then we can comment on a number because we do not want to have speculative numbers given.

Disha Sheth: Not in terms of, I am not asking any numbers but when you said it will be on similar levels it will be on a Q1 similar trend that is what I am trying to understand?

Rajiv Poddar : More or less similar to Q1.

Disha Sheth: And Sir how much would be loss of production in Q1 itself which has gone by and because of that five days Mundra Port disruption?

Rajiv Poddar : Roughly 4000 to 5000 metric tonnes.

Disha Sheth: 4000 to 5000 metric tonnes okay that is it from my side. All the best.

Moderator : Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Joseph George for his closing comments.

Joseph George: Thank you. That brings us to the end of the call. I will hand over the call to Rajiv Sir for concluding remarks if any.

Rajiv Poddar : No. Just wanted to thank everybody for taking out the time and hearing us. Thank you for your support as always. Thank you.

Moderator: Thank you members of the management team. Ladies and gentlemen, on behalf of IIFL Securities Limited that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2023

Balkrishna Industries Ltd.

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BIL/SE/2023-2024 30th October, 2023

To,
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Mumbai – 400 001. Bandra (E), Mumbai 400 051.

Scrip Code: 502355 (Equity)

Scrip Code : 973556 (Debt) Trading Symbol: BALKRISIND

Dear Sir/Madam,

Subject: Transcript of Conference call with Investors/Analysts conducted on 23rd October, 2023 to discuss the Q2 & H1 FY24 Results.

In continuation of our letter dated 16th October, 2023 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/Analysts on Q2 & H1 FY24 Results of the Company held on 23rd October, 2023. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/www/us/investors-desk>.

You are requested to kindly take the above information on record and disseminate.

Thanking you,

Yours faithfully,
For Balkrishna Industries Limited

Vipul Shah
Director & Company Secretary
and Compliance Officer
DIN: 05199526

Encl: As Above

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"Balkrishna Industries Limited
Q2 and H1 FY '24 Earnings Conference Call "
October 23, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges — BSE Limited and National Stock Exchange of India Limited and the Company website on 23rd October 2023 will prevail

MANAGEMENT : MR. RAJIV PODDAR – JOINT MANAGING DIRECTOR –
BALKRISHNA INDUSTRIES LIMITED
MR. MADHUSUDAN BAJAJ – SENIOR PRESIDENT ,
COMMERCIAL AND CHIEF FINANCIAL OFFICER–

BALKRISHNA INDUSTRIES LIMITED
MR. RAVINARAYAN JOSHI – DEPUTY CHIEF
FINANCIAL OFFICER – BALKRISHNA INDUSTRIES
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MR. SUSHIL MISHRA – HEAD, ACCOUNTS –
BALKRISHNA INDUSTRIES LIMITED
SGA , INVESTOR RELATIONS ADVISORS – BALKRISHNA
INDUSTRIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Balkrishna Industries Limited Q2 and H1 FY '24 Earnings Conference Call.

This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen mode. There will be an opportunity for you to ask questions after the presentation concludes. Should need assistance during this conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Rajiv Poddar, Joint Managing Director from Balkrishna Industries Limited. Thank you and over to you, sir.

Rajiv Poddar Thank you, N eerav . Good morning, everyone, and thank you for joining us today. Along with me, I have Mr. Bajaj, Senior President, Commercial, and CFO; Mr. Ravi Joshi, Deputy CFO; Mr. Sushil Mishra, Head of accounts and SGA, our Investor Relation Advisor .

Let me begin with performance updates. In Q2, we faced challenges on account of heat waves and recessionary fears in the export market. While the inventory -related challenges in the international markets have normalized, the confidence levels in distribution channels is moderate, leading to gradual and slow improvement. India markets continue to perform relatively better.

The volumes in Q2 were partly contributed by the inventory created in June '23 , but could not be shipped out due to the Biparjoy disruptions. Q2 also saw normalization of the raw material cycle, which is evident in the improvement in our margins on a Q -on-Q basis.

As guided in the previous call, we had estimated a capex spend of INR600 crores for financial year '24. Out of this, routine maintenance capex was estimated to be at INR250 crores to INR300 crores . Given the aspiration of growth and better control over the quality, the company has decided to set up a new mould manufacturing plant at Bhuj. Rather than expanding the plant at Dombiv ali, we have decided to put a new capacity at Bhuj.

This will be a stand -alone new project entailing a capex of INR300 crores. This will get commercialized by the end of Q1 FY '25. Accordingly, the capex spend should be approximately INR900 crores for the financial year '24.

We expect a stable trajectory to continue on volumes and a better H2 of financial year '24. However, given the first half of this year's related challenges and volume performances, we expect the financial year '24 volumes to degrow marginally.

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With this, I now move on to operational highlights. For the quarter, our volume stood at 70,585 metric tons. Our stand -alone revenue for the quarter stood at INR2,247 crores. This includes realized gain on forex , pertaining to sale, of INR21 crores .

For the first half of this financial year, 45% of sales came from Europe. 29% came from India and 17% came from Americas. The balance came from the rest of the world. In terms of channel contribution, 71% was contributed from replacement. OEM contributed 27%, and the balance came from offtake. In terms of category, agriculture contributed 58%. OTR industrial construction contributed 39%, and the balance came from other segments.

The stand -alone EBITDA for the quarter was INR548 crores, with a margin of 24.4%. Other income for the quarter stood at INR52 crores.

Coming to the net forex items. For the quarter, we had a net forex gain of INR55 crores , which includes realized gain of INR30 crores and an unrealized gain of INR25 crores. Profit after tax

for the quarter

was recorded at INR335 crores . Our gross debt stood at INR2,833 crores at the end of 30th September '23, of which about 75% relates to working capital debt. Our cash and cash equivalents were at INR2,283 crores .

The Board of Directors have declared a second interim dividend of INR4 per share in addition to the first interim dividend of INR4 per share paid in the last quarter.

With this, I conclude my opening remarks and leave the floor open to Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mumuksh from AnandRathi. Please go ahead.

Mumuksh: Sir, in the first half, working capital has improved by INR340 crores . What would have led the improvement, sir?

Rajiv Poddar: Normalization of inventories.

Mumuksh: Got it. So basically, the inventory holding, we have normalized it to normal levels. And there will be no further correction from -- going ahead from here.

Rajiv Poddar: No, this is the level we expect to maintain.

Mumuksh: Okay. And sir, the realization has improved by 2% sequentially. Would it be a mix impact? And going ahead, how do you see the realization trends? And also , how do you see the increase of fuel prices impacting the RM basking going ahead, sir?

Rajiv Poddar: So realization was basically on account of better hedge rate and some product mix improvement, so that is there, but we expect the realization to be stable at around these levels. On the RM, the fuel cost, I mean, the oil prices are going up, so we are waiting and watching how it will move, but at the moment, we expect it to be stable or a minor increase in the coming quarters.

Mumuksh: Got it, sir. What would be the hedged euro rate for the Q2, sir?

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Mr, Bajaj : 88-89.

Moderator: Next question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera Sir, first question is on the demand side. So you indicated that the year might be a marginal decline , implying that, in the second half, we might see some growth, so now given the capacity of 360,000 we have So given that now we are likely to enter into a growth trajectory and with a capacity of 360,000 tons, do you think you need to sort of start looking at a new brownfield at some point ? Or do you think that this is sufficient for the next couple of years.

Rajiv Poddar: So we've mentioned earlier as well, we'll be doing, over a period of time, smaller brownfield expansion at Bhuj. And that will be taken up in due course, so, we will make the announcements when we have something more concrete, but it will be through brownfield projects and small batches at Bhuj.

Siddhartha Bera Sir, what is generally the lead time before which you need to sort of start the brownfield, depending on your visibility on the volumes?

Rajiv Poddar: Because they are brownfield, we expect it to be between 15 to 18 months.

Siddhartha Bera Okay . And second question is on the India business side. We have seen nearly 2 years of very strong growth in the market, so can you share some thoughts about the market share? How are the volumes, the -- how is the growth here coming very strong? And visibility you have going ahead?

Rajiv Poddar: Our market share in India will be similar to our global market share, which is about 4% to 5%, so that is what is there. There is a huge opportunity in India with the government spending on construction, infra development, and agriculture . We are amongst the largest economies for agriculture, so there is a lot of scope over here. And that's where we are focusing. And you can see the numbers are contributing towards the growth of that. And every year, we are getting good growth from India.

Siddhartha Bera Sir, any color about how much you can inch it up to -- say, in the next couple of years given the addressable market you have

because you are more towards the higher tyre segment? So , any thoughts there? And will the India n business profitability be similar compared to global businesses, or will it be different?

Rajiv Poddar: So on the profitability, it will be more or less similar to the global market. On the visibility front, our vision is to have 10% market share globally. Even for India, we hold and aspire to have a 10% market share in the first phase. That's what we are working towards , and that's our immediate target.

Moderator: Next question is from the line of Jinesh Gandhi from Motilal Oswal. Please go ahead.

Jinesh Gandhi: Sir, continuing on the India business. So the strong growth we're seeing that we have seen does not lead to improved market share? And particularly considering that, unlike the global market

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where competition is very different and, far more fragmented than in India, the 4% to 5% market share in India looks quite low for us. What am I missing over here?

Rajiv Poddar: So that's our estimate, but we should be quite accurate on that. We may be a percent off here or there, so it's not that we will be drastically out of the number I've mentioned to you.

Jinesh Gandhi: Okay. And the growth we are seeing of -- strong growth that you are seeing, is that leading to market share gain? Or market also is growing quite strongly?

Rajiv Poddar: Market share gain is part of it.

Jinesh Gandhi: Okay. So secondly, on the mould capex which we have announced, can you talk a bit more about it? Is it primarily the replacement capex we are doing for the mould capacities? Or is this totally new for the new SKUs that we are adding. If you can throw more light on that.

Rajiv Poddar: Yes, it's basically for mould our new moulds and new growth aspirations. So to keep that in-line, we will be going on new SKUs, as we mentioned, solid tyres, bigger OTR tyres, the tracks. So we'll be making all those SKUs, so we need the back end for that.

Jinesh Gandhi: And I mean this kind of capex of INR300 crores. Can you give some sense on what kind of SKU addition that can happen or what kind of revenue generation we can do from this kind of INR300 crores kind of capex or more?

Rajiv Poddar: There will be no revenue because this is a service that we are doing for our tyre business. So there will not be a sell-and-buy scenario, so there will be no revenue. It will give us better control over the quality for our finished products and also reduce our lead times to go to the market with any new product.

Jinesh Gandhi: Okay, got it, but this is largely for the OTR segment, not for the agri segment?

Rajiv Poddar: No, no, everything, all segments, so agri, OTR, solids, everything can be considered.

Moderator: Next question is from the line of Garvit Goyal from Nvest Analytics. Please go ahead.

Garvit Goyal: My first question is on Europe demand side, so how Europe demand for tyres for agri and OTR is shaping up. Is the worst over? Or headwinds are still there?

Rajiv Poddar: So we believe the worst is over, but with the new geopolitical scenario, there is again doubt of uncertainty cast over the end users and distributors. So the way it would have responded, it will take a little longer because of the new scenarios we have witnessed over the last 3 to 4 weeks.

Garvit Goyal: And sir, you mentioned India is doing well. So how much are volumes, India, be this quarter, both Q-on-Q and Y-on-Y?

Rajiv Poddar: As I mentioned, India contributed to about 29% of our sales.

Garvit Goyal: And sir, you mentioned to the earlier participants regarding the brownfield projects, like small brownfield projects we are looking for, but our total capacity is 3,50,000. And we did somewhere

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around 3,00,000 in FY '23, so are you

seeing any kind of risk going ahead because of any kind of slower growth in India's tyre industry going forward?

Rajiv Poddar: No, not in the Indian tyre industry, no.

Moderator: Next question is from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh Just looking into the annual guidance we've given which broadly implies 10%, 12% sequential growth in the second half; and then taking into account all the four segments that broadly we do on the export side, if I was to divide replacement, OEM and then OTR, agri U.S., Europe. Which are the pockets where you think growth will lead to in the next 6, 8 months, you see the maximum demand traction? And which are the ones which are looking more -- weaker? So if you could comment on that. That's the first question.

Rajiv Poddar: So I can comment on that geographically. So, export overall has got uncertainty because of the geopolitical scenario. On the India front, we're seeing strong demand, so which should hold. So that's on the geography front. I think, on the product mix, the categories of agri, OTR, wherever the demand is strong, it is not -- I mean, this is not the end user demand that has moved. It is the confidence that is not there in the system. So overall, it is affecting all the segments on that basis. That's why internationally, we are facing some uncertainties.

Binay Singh And sir, in the opening comment, we added that, in June, we had shipped some units, so that got reflected in sales in this quarter. So then retail sales for the quarter would be slightly lower than -- like, than the dispatches. Or the dispatches...

Rajiv Poddar: Yes. You're right...

Binay Singh Marginally lower.

Rajiv Poddar: Marginally lower, yes.

Binay Singh And sir, just lastly, on the pricing side, we've seen commodity pressures again inch up, so in that

light, do you -- how do you see the margins in the near term? Or will they be sustained at these levels? And also in these markets do you see OEMs will be able to pass on these hikes to the consumer?

Rajiv Poddar: So we believe the EBITDA margins would sustain. And as we've always mentioned, that we take -- our endeavor is to maintain it between 26% to 28%, and we are working towards that.

Moderator: Next question is from the line of Raghunandhan NL from Nuvama Research. Please go ahead.

Raghunandhan NL : Can you give some more color on your efforts as to how you look at the achievement of 10% market share in the medium term ?

Rajiv Poddar: So basically we have identified pockets where we have potential to grow, segments which we have potential to grow. So that's for geographies and segments, so we are working on that . As we mentioned earlier, in my call last quarter, we are looking at new products like solid, tracks, Balkrishna Industries Limited
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etcetera to be added to the product basket to help us get there as well. So it's a mix of everything we will do to help us reach this market share.

Raghunandhan NL : And on the carbon black sales to third parties, broadly, what would be the revenue from that category? Even if you can quantify in terms of percentage in terms of revenue, that will be helpful.

Rajiv Poddar: 6% to 7% of the top line would come from that revenue.

Raghunandhan NL : Got it, sir. And in terms of euro rates for FY '24 and first half of '25, how are you looking at that?

Mr. Bajaj : So '24 full year, i.e. FY 23-24 full year, will be 89, 90 approximately. And for next year, we have covered 25%, 30% only, which is around 93, 94.

Raghunandhan NL : 93 to 94, thank you so much for that sir. One last question . In the recent Volvo results, the global Volvo indicated a weak outlook for the OEM segment for construction equipment in North America and Europe. Compared to the weak underlying industry demand, Balkrishna always does better in terms of market share gains. So, what color

can you share on how you look at the industry and how the market share gains are happening?

Rajiv Poddar: So we are also seeing similar trends.

Moderator: Next question is from the line of Pramod from Incred Capital. Please go ahead.

Pramod: Sir, the first question is with regard to India. I think there is a disparity in your market share by region, so what will be that and how do you plan to cover up that market share gap in the other regions? Because if I understand, with developed markets like Punjab, Haryana and all, your products are well accepted , and you have a superior market share, but what is your plan for other markets and hence the medium -term volume projection for India?

Rajiv Poddar: I think we have a good reach across pan -India. And it's not that we don't have a good market share in other regions. We have a good market share everywhere and are working to grow on that. So the foundations have been laid and the results should be coming in the next few years, which is why we are quite confident of our number that we are telling you.

Pramod: And if I'm not wrong, you are number two in the replacement market now in the tractor. Is that a fair assumption?

Rajiv Poddar: No, I don't have that detail.

Pramod: Okay. And the second question is with regard to the mould capex. So is it fair to understand: You always procured moulds internally, right...

Rajiv Poddar: Yes. We already have our mould shop in Dombivli and are now expanding it. And instead of expansion in our existing plant, we've done it in Bhuj because that's where our current 60% of our production is. And going forward also, that will be where we will be expanding , so we will have the logistic benefits of placing it over there.

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Pramod: And considering you are setting up a new mould facility, I understand it is with your growth ambitions which you have in plans. Does it also mean your maintenance capex will drastically increase, compared to what you guided for INR300 crores?

Rajiv Poddar: No, no.

Pramod: Because you are setting up a new division for the industrial mould. Hence, I wanted to just check on that.

Rajiv Poddar: No, no. It will be in -line on -- even mould the mould shop is already there, the capex is negligible. So, the maintenance capex is negligible, so it should be similar to that.

Moderator: Next question is from the line of Ankit Kanodia from Smart Sync Services. Please go ahead.

Ankit Kanodia: So on the point of market share in India as we talk about. So if you do just back of the envelope calculation: We did about 137,000 metric tons total. And 28% of that comes to about 38,500, but when we look at the Indian market units, so it -- as in the volume number doesn't come in metric tons while we share it in metric tons, but what is available online or outside is basically in million units, so would you be able to share more color on that, as to how much metric ton leads to one unit on an average? That will help us to...

Rajiv Poddar: So we cannot share those details because we are making tyres' weights from 2 kilos a unit to 6,500 kilos a unit, so it's very difficult to give numbers. We've always spoken in metric ton and will continue to do so. So units, in our case, will not be a true representation because of the weight differences...

Ankit Kanodia: Right. So my follow-up question with this is 4% to 5% sounds that is too low for the Indian market because competitors staying which are there in the export market when we look at the Indian market? Do we have the same competitive intensity here? Do we have the same...

Rajiv Poddar: We started the India market only in the last 6 years, so we have been growing and will continue to grow. Our estimates are these are our volume share, and this is where we stand, and we aspire to reach a 10% market share. That's what

it is -- we are working towards.

Moderator: Next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: how much current inventory at a dealer level in the export and domestic market, sir?

Rajiv Poddar: It's at normalized levels.

Abhishek: So it is at two months or three months, sir?

Rajiv Poddar: Between that two to three months range.

Abhishek: And there's an expectation for an increase in RM basket, so in this case, can we see a higher inventory build-up by dealers in the coming days? And that's why dispatches may see positive momentum?

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Rajiv Poddar: We don't -- we are not very sure because of there is uncertainty in the market because of the new developments on the geopolitical side, but we'll wait and watch. We are ready if it comes up, but we'll wait and watch. We are not very sure at this stage.

Abhishek: Okay, sir. And my last question, on the competition side, as few Indian players are being aggressive in export and increasing their capacity in the OHT segment. So, how do you see competition from the Indian players in the export market?

Rajiv Poddar: We have our vision. We have our mission, and we are working towards that. We are only 6% of the global market share, and we intend to reach 10%. We are focused on that. There is a huge market available for players to come and go. There is currently 94% market available. And going forward, this will become 90%, so we have focused on that. And we focus on our vision. That's our way of moving ahead -- with our teams.

Moderator: Thank you. Next question is from the line of Joseph George from IIFL Securities. Please go ahead.

Joseph George: A couple of questions. One, when the RM market was coming off the last two quarters or three quarters, you had cut prices to pass on some benefit. Now that RM basket is starting to increase again, are you likely to increase -- or have you already increased prices? Or are you likely to increase prices, effectively reversing what you did when the basket was coming off?

Rajiv Poddar: So there was a lag that time as well and we are seeing a lag here. We've not taken any price increase. And we are not in the -- in this quarter, looking to do any price increase, but we will wait and watch. Let's see. If there's some sharp movement, we may return to the drawing board and take a call, but at this stage, nothing is pinned for the short term.

Joseph George: Okay, understood. The second question was in relation to the advanced carbon black project. When is it likely to be commissioned? And I'm guessing the entire output will be for external sales, third-party sales, that is not so captive. And how much can it add to revenue whenever it ramps up to 80%, 90% ideal production?

Rajiv Poddar: As we had mentioned, it will be done in the second half of next financial year. We are continuing with that position. As of now, it is progressing well. Yes, you are right. It will be 100% third-party sales. On the revenue should be around INR400 crores to INR600 crores, considered at full capacity, yes.

Moderator: Thank you. Next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik: Good morning Rajiv and team. Rajiv ji, my question was on the capex on the mould capacity, so could you throw some light on a few fronts. Do we expect the number of SKUs to go up from 3,200, what are you targeting there? Secondly, what cost saving are you expecting from this expansion?

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And the last one is historical, how have we accounted for the mould expense? Is it through stores and spares, directed to raw material or through maintenance capex? Just some clarity on that front.

Rajiv Poddar: So I'll go backwards if that's okay to your questions.

Lokesh Manik: S

ure, sir, yes.

Rajiv Poddar: So we capitalize cost of it. Mould plant -- your second question was what cost saving you get. I don't think we are looking at it as a cost -saving but better control over the mould mould's quality, which will impact the end finish of the tyre. So that's what we are looking at.

Lokesh Manik: Okay. And number of SKUs, sir?

Rajiv Poddar: The number of SKUs, we will continue to grow up. This will only accelerate the speed of -- which is there. And also, it is in line with our -- whenever the brownfield projects come up, they will need moulds, so we will have not to look and wait for third party, but we can do it in-house.

Lokesh Manik: But some number, 5,000, 6,000, you have in mind, increase the number of SKUs?

Rajiv Poddar: No. We don't have that in mind because, generally, we are adding close to 100 -odd SKUs every year, which we will continue.

Lokesh Manik: Understood. Would this increase the costs of mould? Because we've had somewhere around INR5 lakhs, INR6 lakhs per mould, so any -- do you see that happening on the cost front?

Rajiv Poddar: So it depends on the size of the mould, because, as I mentioned earlier, we made tyres for ATV and go-carts, which are about 2 kilos, and going up to the larger tyres which are 57 inch and weighing 6.5 tons. So very difficult to give you the cost of the moulds.

Moderator: Thank you. Next question is from the line of Chirag from Keynote Capital. Please go ahead.

Chirag: Most of my questions are answered. I just want to have a couple of more. One, sir, I just wanted to know what contribution from carbon black that we have in this quarter?

Rajiv Poddar: Roughly 6% to 7%.

Chirag: Secondly, sir, on the Indian market, I just want to know. What is our strategy? Is it similar to the pricing strategy of international markets? Or it is like...

Rajiv Poddar: Yes, yes, it's similar. It's similar to the international markets.

Moderator: Next question is from the line of Zubin from Ambit Investment Management. Please go ahead.

Zubin: Sir, I just wanted to know. After quarter 1, we had guided that the realization for this year would be around 300 is what company was targeting. Looking at the last three months, would we still maintain those numbers?

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Mr. Bajaj : For remaining quarters, as we told earlier, the 23% to 25%, we should maintain the EBITDA margin.

Zubin: Right, sir. And sir, sorry. I joined a little late. If you could just again repeat the volume guidance for this -- for FY '24, sir?

Rajiv Poddar: So we have not given volume guidance, but what I've said -- I'll just read out the exact statement that I read. We expect a stable trajectory to continue on volume and a better H2 financial year '24. However, given the H1 FY '24 related challenges and volume performance, we expect volumes to de-grow marginally the whole financial year for this year.

Moderator: Thank you. Next question is from the line of Meeta from Circulate Capital. Please go ahead.

Meeta: I want your thoughts on the extended producer responsibility, which is coming into force and reclaimed rubber getting into the tyres?

Mr. Bajaj : For reclaimed rubber, whatever percentage is possible, we are already using it. And for others, we are working with our supply channel partners - on how we can do the better and on sustainable basis.

Meeta: But the EPR law states that the amount of reclaimed rubber to be used is pretty high. And going ahead, wouldn't that be a challenge?

Mr. Bajaj : Yes, it will be challenging because we must maintain the quality. We can use only a certain percentage, not above that.

Meeta: How much is percentage that you're using today?

Rajiv Poddar: We don't have that detail.

Meeta: And how are you building your supply chain? Because building a supply chain, you can only use commercial vehicles re-

aimed into the new tyres, right?

Rajiv Poddar: Ma'am, this is a work -in-progress. We may not be able to share details of it online, so we'll -- I'll

request you to wait and watch, once we have more concrete things to announce on this.

Moderator: Thank you. Next question is from the line of Disha Sheth from Anvil Share & Stock. Please go ahead.

Disha Sheth: Yes. Sir, this might be a part of a repeat question. I just wanted to confirm on the same sense. We can see a quarter -on-quarter improvement in sales numbers, so can we expect, from here on, we can expect things to improve quarter -on-quarter and year by year and worst is over. If you can...

Rajiv Poddar: Yes. We are waiting and watching. We are hoping for that. We are ready. On the volume front, and the EBITDA front, as my colleague mentioned, we are estimating some improvements to come in. And this is what we have always -- mentioned in the last quarter call as well.

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Disha Sheth: Okay. And sir, as India volumes are growing, it is around 30% of sales. So as it grows faster than Europe and US, it may affect the margins because we will not have that labor arbitrage which we have in the export market. So if you can throw some light?

Rajiv Poddar: So firstly, this 30% is a base effect of the European market slowdown because, once that comes back, those markets, those volumes will also come back. So that is why it may not give you a true reflection of this.

As far as realization is concerned, regardless of the effect of labor arbitrage or not, we are getting similar realizations from India and overseas, so we are not too bothered about where those markets are -- where the products are being sold. Because for us both markets are giving us similar realizations.

Moderator: Thank you, ma'am. Next question is from the line of Jinesh Gandhi from Motilal Oswal. Please go ahead.

Jinesh Gandhi: Sir, quickly, I want to check on the capex part. We have already spent about INR595 crores in the first half and are guiding for INR900 crores, so is the large part of the project largely done given balance is just about INR300 crores for the second half?

Rajiv Poddar: Most of the capex is -- and we've already completed the cycles. And that's why this is reflecting in the numbers.

Jinesh Gandhi: Okay. And secondly, in this quarter, if I look at the gross margins, they were broadly stable on Q-o-Q basis. And this was despite better euro -INR realization and probably some savings on RM costs and better mix in form of higher OTR. So why margins are stable on Q -o-Q basis?

Any sense on that? Yes, I was referring to gross margins?

Rajiv Poddar: Margins have -- gross margins will remain stable, so because most of the items where the cost was getting impact was on freight and all which comes below after gross margin.

Jinesh Gandhi: Okay, but higher OTR and euro -INR would have some benefit on gross margin, right? Or that gets...

Moderator: Thank you. The next follow -up question is from the line of Mumuksh from Anand Rath. Please go ahead.

Mumuksh: Sir, the rest of the world has also declined for the last few quarters. What are the challenges in those markets? And how do you see the market share improving over a medium term?

Rajiv Poddar: So as we've been mentioning, the overall international market is going through uncertainty and many headwinds. So we are fighting on those and waiting to see how it progresses.

Mumuksh: And how do you see the market share there, sir, in the rest of the world regions? Which markets do you see large potential, sir?

Rajiv Poddar: All over there. As we've mentioned, it is in the CIS countries of Europe, the Americas put together and also some parts of Asia.

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Moderator: Thank you. Next question is from the line of Abhishek f

rom Dolat Capital. Please go ahead.

Abhishek: Sir, how is the current situation in -- of export in CIS countries? I know it was impacted badly due to the Russia and Ukraine tussles. Can we expect that second half will be better in these geographies?

Rajiv Poddar: It's too early to comment because the geopolitical tensions in this region are not yet over, so we are waiting and watching. We have put our distribution network and all is in place, so we'll wait and watch. We'll come back with more clarity towards the next quarter.

Abhishek Jain: And sir, how do you see the potential of Australian and Brazilian market and, especially in the terms of OTR segment in the coming days? What kind of volumes are you projecting there?

Rajiv Poddar: So I mean we are working normally. For us, we are seeing some growth. And we are waiting in -- I mean we are also pushing in those regions.

Moderator: Thank you very much. I now hand the conference over to the management for closing comments.

Rajiv Poddar: So we thank everybody for taking time out and coming to our call. We'll see you in the end of Q3. Thank you. Have a good day.

Moderator: Thank you, sir. Thank you very much. On behalf of Balkrishna Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jan 2024

Balkrishna Industries Ltd.

CIN No.: L99999MH1961PLC012185

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BIL/SE/2023-2024 29th January, 2024

To , BSE Limited, National Stock Exchange of India Ltd,
Phiroze Jeejeebhoy Towers, 5
th Floor, Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001. Bandra (E), Mumbai 400 051.

Scrip Code: 502355 (Equity)

Scrip Code : 973556 (Debt) Trading Symbol: BALKRISIND

Dear Sir/Madam,

Subject: Transcript of Conference call with Investors/Analysts conducted to discuss on the Q3 & 9M FY24 Results .

In continuation of our letter dated 19th January, 2024 and 25th January, 2024 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/Analysts on the Q3 & 9M FY24 Results of the Company held on 25th January, 2024. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/ww/us/investors-desk> .

You are requested to kindly take the above information on record and disseminate.

Thanking you, Yours faithfully,

For Balkrishna Industries Limited

Vipul Shah Director & Company Secretary and Compliance Officer

DIN: 05199526

Encl: As Above

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"Balkrishna Industries Limited

Q3 and 9M FY'24 Earnings Conference Call"

January 25, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges — BSE Limited and National Stock Exchange of India Limited and the Company website on 25th January 2024 will prevail

MANAGEMENT : M R. RAJIV PODDAR – JOINT MANAGING DIRECTOR –
BALKRISHNA INDUSTRIES LIMITED

MR. MADHUSUDAN BAJAJ – SENIOR PRESIDENT ,
COMMERCIAL AND CHIEF FINANCIAL OFFICER –
BALKRISHNA INDUSTRIES LIMITED

MR. RAVINARAYAN JOSHI – DEPUTY CHIEF
FINANCIAL OFFICER – BALKRISHNA INDUSTRIES
LIMITED

MR. SUSHIL MISHRA – HEAD, ACCOUNTS –
BALKRISHNA INDUSTRIES LIMITED

SGA -- INVESTOR RELATIONS ADVISORS –
BALKRISHNA INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Balkrishna Industries Limited Q3 and 9 Months FY '24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajiv Poddar, Joint Managing Director. Thank you and over to you, sir.

Rajiv Poddar: Thank you, Zico. Good morning, everyone, and thank you for joining us today. Along with me, I have Mr. Bajaj, Senior President, Commercial and CFO; Mr. Ravi Joshi, Deputy CFO; Mr. Sushil Mishra, Head Accounts; and SGA, our investor relationships advisor.

Let me begin with performance updates. In the October earnings call, we communicated of better Q3 and H2. Q3 financial year '24 fared on expected lines, BKT garnered market share, thereby increasing sales, leading to volume growth of 9% year-on-year for Q3 FY '24.

With this, I now move on to the operational highlights. For the quarter, our volumes stood at 72,749 metric tons, a growth of 9% year-on-year. For 9 months financial year '24, volume stood at 210,543 metric tons. Our standalone revenue for the quarter stood at INR2,316 crores, registering a growth of 5% year-on-year. This includes realized gain on foreign exchange pertaining to sales of INR36 crores.

For 9 months of the financial year, the revenue stood at INR6,678 crores. This includes realized gain on foreign exchange pertaining to sales of INR53 crores.

For 9 months of the financial year, 46% of the sales came from Europe, 28% from India, 17% from the Americas and the balance from the rest of the world.

In terms of channel contribution, 72% was contributed from the replacement segment, while OEM contributed 27%, with the balance coming from offtake. In terms of category, the Agricultural segment contributed 59%, while OTR Industrial & Construction contributed to 38%, and the balance came from other segments. The standalone EBITDA for the quarter was at INR588 crores, registering a growth of 40% year-on-year.

The margin came at 25.4%. The marginal improvement was on account of operating leverage on account of volume increase and cost rationalization efforts. For 9 months of the financial year, the EBITDA was at INR1,622 crores, registering a growth of 6% year-on-year. The 9-month margin stood at 24.3%.

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Other income for the quarter stood at INR70 crores, while 9 months, it was INR187 crores. Profit after tax stood for the quarter at INR309 crores, registering a growth of 210%. For 9 months of the financial year, PAT came at INR957 crores with a growth of 16% year-on-year.

Our gross debt stood at INR2,881 crores at the end of 31st December, '23, of which about 65% is related to working capital debt. Our cash and cash equivalents were at INR2,552 crores.

Accordingly, our net debt is at INR330 crores.

The Board of Directors have declared a third interim dividend of INR4 per share. This is in addition to the 2 earlier interim dividends of INR 4 per share, each paid over the year.

Going into Q4, with the geopolitical situation, coupled with the freight situation, in which started in December end, early January, there may be flattish sales for the Q4 on the back of anticipated delays in delivery schedules. Further, this may have

an impact on margins in the short term.

With this, I conclude my opening remarks and leave the floor open for question and answer.

Thank you.

Moderator: We will now begin the question-and-answer session. Question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Thanks for the opportunity, sir. Sir, my question is on the volume growth. So just to clarify, you expect Q4 volumes to be flat compared to the last year, is that what you mentioned?

Rajiv Poddar: Yes.

Siddhartha Bera: Okay. Because, sir, we have seen, generally, Q4 has been one of the strongest quarters in a year, and we sort of had expected about 290 for this year. So that probably then will have some risk

in a near term?

Rajiv Poddar: So current geopolitical scenario and shipping issues, which are going on, are there. So, we are not very sure where we will end up at this stage, but as I indicated, it will be flattish.

Siddhartha Bera: Okay. But sir, in general, apart from the Red Sea issues and all, how are you looking at the end-level demand from, say, agri and OTR markets? Are there any signs of pickup in the U.S. or Europe end markets? Or how is the scenario there?

Rajiv Poddar: Yes, it's going -- I mean, the demand is -- it was picking up towards the end of the year, which continues. So that is not a very big issue.

Siddhartha Bera: Okay. And going ahead, do you expect the growth momentum to recover at some point given the outlook you have or the demand you said you have from the dealers? Or do you think that recovery may take longer, depending on your expectations?

Rajiv Poddar: No, we see it improving depending on the Red Sea and shipping issues.

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Siddhartha Bera: Okay. Got it. Lastly, sir, on the cost side, you mentioned that there will be some margin pressures. But generally, if you look at the freight costs, how did it behave for you in the quarter? And is there -- we will probably be able to pass it on to the end consumer? Or should we expect that also to take some time to get passed on?

Rajiv Poddar: So, we are trying to pass it on. It will not be passed on immediately. . We are also waiting and watching, so we are passing on some. We are trying to pass on some bits over the period. And if this situation continues, we will end up passing the whole thing, but that will take time. That's why I said, in the short term, it will impact our margin.

Moderator: Our next question is from the line of Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi: My question pertains to your outlook for fourth quarter. Are you indicating it to be flat on a Q-o-Q basis or expecting some growth and seasonally strong fourth quarter?

Rajiv Poddar: So Q3 this time and year-on-year Q4 numbers are quite similar. So, we're expecting it to be flat in that range.

Jinesh Gandhi: Okay, okay. Secondly, when we talk about retail demand being doing okay in the sense, are you referring to -- it being stable and not declining? Or are you seeing growth in the end markets as well?

Rajiv Poddar: Stable to gradual improvement.

Jinesh Gandhi: Lastly, can you talk about the pricing action we may have taken in 3Q and 4Q in the end markets along with Euro, INR rate?

Rajiv Poddar: No, no price increase in the quarter so far.

Jinesh Gandhi: Okay. So, no reduction as well?

Rajiv Poddar: No, no.

Jinesh Gandhi: Okay. What was the Euro, INR realization?

Madhusuan Bajaj: INR89 to INR90.

Moderator: Our next question is from the line of Ankit Kanodia from Smart Sync Services.

Ankit Kanodia: My first question is related to our Indian market. So, in the last 6 or 7 years, we have ramped up our Indian operations really fast, as I'm seeing operations with sales in India. So, now that we have close to 30% of sales from India, do we see the growth rate in the Indian market sustain this high volume level?

Rajiv Poddar: Yes. India has -- I mean the potential in India is already there and continues to grow. So as India

-- everybody is projecting India to be growing faster. Even we expect our growth rates to be good over here.

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Ankit Kanodia: Great. So, my follow-up to this question would be, sir, then it would be fair to assume that maybe 3 to 4 years down the line, India would be either at par with Europe or maybe even more than Europe. So if you can share more color on the margin front, on the type of products which we -

- or the product mix here and the competitive intensity compared to Europe? If you can just share some more color and compare the Indian market with the European market, that would be very helpful, sir?

Rajiv Poddar: So basically, the overall volume will also increase. If you -- earlier what we had said that overall, when the volumes also pick up, the growth will come in a similar ratio. So, Europe also will kick in. Also, overall, the share may stabilize, but our growth will continue. So, India's share may stabilize at these numbers as the other markets pick up.

Ankit Kanodia: Okay. And on the competitive intensity and the kind of product mix, if you would like to share more...

Rajiv Poddar: I mean we have the entire range, and we are growing that. As we have said earlier, we are also enhancing our basket every time. On the contrary, we have enhanced our basket substantially. So that is being done. It's an ongoing process. And we are growing- we are in the marketplace working with that.

Ankit Kanodia: No, my question, sir, was related to, do we have any change in product mix when we are serving Indian customers? Or we have seen kind of products for both European and Indian market?

Rajiv Poddar: So, we have a special product for Indian market. But for international also, the product is there. So, they are all separate -- we're treating every market separately and building products based on that.

Ankit Kanodia: Margin profile, I would -- European market would be better than Indian market, right?

Rajiv Poddar: Similar. I mean, marginally better, but not a big impact.

Ankit Kanodia: One last on competitive intensity in the European market versus the Indian market, what would be your view there?

Rajiv Poddar: So, both have their own unique situations, and we have marginal difference, as I said, so nothing major. So, there's no -- nothing major on that.

Moderator: Our next question is from the line of Raghunandhan N.L. from Nuvama Research.

Raghunandhan N. L: Congratulations on a good number in Q3. Sir, I understand there are temporary issues in the near term. But as you rightly said, the recovery is also likely in other geographies. And we have seen that in this quarter, where the share of Europe has come back to 49%. So just trying to understand how would you look at the outlook for Europe going forward, which is the major market for us. And also, mainly in the agri segment, how do you expect to see an improvement given that 2023 was a more challenging year for agri compared to 2024? At least the initial thoughts are it should be better. So, over a 1- to 2-year period, how you are looking at Europe and the agri segment?

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Rajiv Poddar: Too many questions bundled. I'll try and answer them, so -- one by one. So overall, Europe is seeing the demand to be stable, but on the trend towards improving. That's how we see it. We are geared to capture that market as and when it starts returning. So, we are all geared up for that.

Raghunandhan N. L: Got it. And in terms of the near term, there are -- because of the Red Sea crises, there are delays in shipments. Also, there is some increase in the freight cost. Any initial thoughts or what could be the cost impact in the very near term?

Rajiv Poddar: I mean, as I mentioned earlier, there will be some impact on the margin. We are evaluating the exact i

mpact and will see how it goes.

Raghunandhan N. L: Got it. And lastly, on the carbon black sales for 9 months FY '24, either as a percentage of revenue or if you have an absolute number, if you can share here, what has been the revenue?

And how do you see the new capacity led growth for next year?

Madhusudan Bajaj: Carbon revenue is 7.5% of the total revenue currently. And next year, we further expect it to go 8% to 9% next year.

Moderator: Our next question is from the line of Mumuksh Mandlesha from Anand Rathi.

Mumuksh Mandlesha: Congratulations on a good set of results. Sir, you talked about the market share gain, which led to growth during the quarter. Can you indicate where are we in terms of market share and how we are progressing toward the 10% market share target, which we had? Should it be achievable in the next few years? And can you indicate what the major driving factors for the improvement in market share would be?

Rajiv Poddar: So, our market share, as I mentioned, was about -- just over 5% globally. And yes, we are -- it's between 5% and 6%. And we are working towards hitting our target of 10% and should be possible in the next few years. So that's what we are working towards.

Mumuksh Mandlesha: And sir, it would be led by industry consolidation, sir?

Rajiv Poddar: No, there is ample demand, and we are working towards that, but there would also be some market share gains as we go along.

Mumuksh Mandlesha: Got it, sir. Sir, other expense has come down compared to the previous quarter. So -- I mean, it supported by the better volumes. So how do you see the particular marketing expenses over the medium term?

Rajiv Poddar: So operating cost has come down because of multiple things. As I said, operating -- cost rationalization has come in, and freight costs have come down. So, all those things have had an impact.

Mumuksh Mandlesha: And how do you see the marketing expenses for this year and over the medium term, sir?

Rajiv Poddar: We will continue at the same levels that it has been doing -- that we've been doing.

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Mumuksh Mandlesha: Got it, sir. Sir, how do you see the RM cost ahead as the crude prices have softened. So, do you see the benefit in coming quarters?

Madhusudan Bajaj: No, we don't see any benefit because the crude price is coming down, so other raw material will go down, but natural rubber is increasing. It will offset that decrease or increase.

Moderator: Our next question is from the line of Pramod Amthe from InCred Capital.

Pramod Amthe: Sir, I wanted to check, considering you talked about supply chain issues, what is your inventory levels at the dealers in Europe and U.S.?

Rajiv Poddar: As I mentioned in last quarter, it has started coming down. And it is at the reduced level, so there's no impact on that.

Pramod Amthe: So, in that direction, if the supplies further get constrained with the shipment, do you think them to go below the comfortable levels this quarter?

Rajiv Poddar: Yes, may do. It depends on how the shipping scenario plays out. But if it has a concern, it will go below comfort level.

Pramod Amthe: And usually, they are, what, 4 to 6 weeks at the dealers so how do you -- when you say comfortable last quarter...

Rajiv Poddar: About 45 days. So, we are in that range -- 30 days to 45 days, in that range. So, they will be towards the closure part of 30, then towards 45.

Pramod Amthe: Okay. Second one is with regard to the freight cost, which you again alluded to saying of disturbance. Where does the freight cost stand in first 9 months? And considering the disturbance, where you expect it to go? And looking at the past experience, where such disruptions happen, how long does it take you to pass it on to the end market?

Rajiv Poddar: So, for the first 9 months, our shipping costs are in the range of 3% to 4%, where they normally are. Q4, we are yet evaluating. So, we

don't have the numbers to share for Q4. But first 9 months was around 4%.

Pramod Amthe: And based on historical experience, sir, how much time it take for you to pass on, because you had some contracts that you pass on easily and some are not and take time. So, do you still feel it's a short-term disturbance or is this the last prolonged supply chain for challenges?

Rajiv Poddar: So, we can't comment on that because -- I mean, we don't know how the geopolitical scenarios play out. But on the face of it, we hope it is short term. What we are hearing that it is going to be short term. So that is there. If it plays out in to a longer play, we will start passing on, and it will take us up to 2 quarters from when we start passing on to pass on the whole thing.

Pramod Amthe: Sure. Sir, last one is with regard to interest cost. It seems to have spiked up pretty drastically versus your net debt, which has come down. So, what has happened there? And is it a more sustainable trend, almost INR35 crores per quarter?

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Ravi Joshi: Part of it is related to the negative MTM on the long-term borrowing, which is in euro. So, if you compare the levels at the end of September, vis-a-vis, end of December, part of it has been categorized in the finance cost.

Moderator: Our next question is from the line of Abhishek Singhal from Naredi Investments Private Limited.

Abhishek Singhal: How much percentage should be used to recycle rubber according to EPR policy? And how much percentage are you using now? And if you do not fulfill this compliance what effect will it have on the company's financials?

Rajiv Poddar: We can't share those details because they are confidential towards our technical designing. So, whatever is the compliance, we are within that, but I can't give you on top of those numbers.

Moderator: Our next question is from the line of Abhishek from Dolat Capital.

Abhishek: Sir, because of the disruption in Red Sea, there will be RM supply issue to European peers as well. So, production cut is expected. So how do you see the benefit of inventory clearance and dispatches?

Madhusudan Bajaj: So, what you're telling is right. They are importing from Asia the natural rubber, some synthetic rubber, some chemicals, where we will be affected. We may get the additional order. From the raw material point of view, we will not have any shortcomings, sir. So let us see and wait.

Abhishek: So, can we expect that dispatches and order intakes will accelerate in the coming quarter because of -- if this issue get longer?

Madhusudan Bajaj: If issues escalate and their factories are closed, we may get..

Abhishek: So many Indian companies is setting plant in Brazil. You have also forayed into this market. So how do you see potential of this market -- the Brazilian market?

Rajiv Poddar: No. We can't comment about other people setting up. We don't intend to set up over there. About -- potentially the market is good. We are servicing that through our distribution network. So, we are quite covered through our partners over there.

Abhishek: Okay, sir. And you have a deep plan for the OTR segment and looking to -- for capacity addition. So how do you see growth in this segment for the next 2, 3 years?

Rajiv Poddar: We feel we have a good potential, and this is a market we need to pick up and we are focusing

on that.

Moderator: Our next question is from the line of Sabyasachi Mukerji from Bajaj Finserv AMC.

Sabyasachi Mukerji: Do you want to put any volume guidance for the next year, FY '25?

Rajiv Poddar: No, no.

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Sabyasachi Mukerji: Sir, where am I coming from is that historically, wherever in BKT history, whenever we have seen a volume decline, the following year has been actually really good, be it FY '16, where we saw volume decline or FY '20 as well. Do you foresee similar

kind of a thing in FY '25 playing out?

Rajiv Poddar: It's too early to say. Please remember, we are sitting on the backdrop of two ongoing wars with a lot of geopolitical tension. And also, we don't know how that will play out. We are also waiting and watching to see how it is getting done. So, it's too early to comment on that.

Rajiv Poddar: Also, yes, we are capacity-wise ready to serve the market as and when the demand comes back.

Sabyasachi Mukerji: Okay. Okay. That's good to hear. Second question is on this ongoing Red Sea situation. What has been your experience in late December or early January in terms of the freight rates and also the container availability. How much increase have you seen in the rates or container cost?

Rajiv Poddar: So, there has been a substantial increase in the rates. We're not seeing any issue on supply of containers, but it is a rate that has gone up substantially.

Sabyasachi Mukerji: Any number you want to put? Has it gone to 2x, 3x, 4x...

Rajiv Poddar: No, I can't put a number.

Moderator: Our next question is from Viraj's line from SIMPL.

Viraj: Just one question. If you can just give some color in terms of demand environment both in agri and OTR across different markets. So, what kind of consumption and consumption growth are we seeing? And how is the inventory kind of in different markets? So, the 30 to 45 days, which markets you would see -- still see a higher level of inventory and where we are seeing a much more leaner inventory. Any more color you can give on that?

Rajiv Poddar: So, as I mentioned, there are two issues. I'll reclarify. Demand is one aspect where we are seeing stabilization and moving towards improvement. The other constraint is there sea supply because of the supply issues, which are in the shipping lines and the Red Sea and the whole political scenario being played there.

So, if you keep those two separate, the demand is still stable and is looking towards improvement as of now. So that should answer that question. Second question was on the 35 days to 40 days, which geographies. It is -- I mean overall average of the whole global scenario that our distributors are carrying now. It's difficult for us to point to particular guidance or regional services the level here and there. But by and large, everybody is within this range of 30 to 45 days at the moment.

Viraj: Sir, the reason again asking on inventory is what we understand in agri, especially, say, U.S. or Europe or even LatAm, the season has not been that great. So just trying to understand, do you see any further risk in other inventory further building up? Or any perspective you may have?

Rajiv Poddar: No, we don't have a negative view on that. So, as I mentioned, the demand, we are seeing stable to -- and moving towards improvement. So that's the line that we -- that's our view, basically.

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Moderator: Our next question is from the line of Tej Patel from Niveshaay.

Tej Patel: Yes. So, I have a couple of questions. The first one, what is the current carbon black prices? And is there any oversupply situation in both Indian and global markets?

Madhusudan Bajaj: Current prices are hovering around INR100. And in India, yes, there is excess supply because everyone has extended the capacity. But globally, it is almost balanced because Russia, which used to supply to Europe and U.S.A., that supply is not coming to those countries now.

Tej Patel: Okay. Okay. And one more question is like I've seen that a lot of players are making this carbon black, also providing carbon black to lithium-ion batteries. So, are we making those grids of carbon black? Or do we plan to enter to those space also?

Madhusudan Bajaj: No, we have not yet planned for that one. That requires another technology. So, we have not yet thought for it.

Moderator: Our next question is from the line of Prakhar Soni from Value Research.

Prakhar Soni: I just wanted to ask how is the capex plan that you had placed for the year. Has that been

completed? And how is the mold manufacturing facility going?

Rajiv Poddar: Going on schedule.

Prakhar Soni: Okay. And the rest of the capex have been completed except the mold manufacturing? Or do we have any further capex for the year?

Rajiv Poddar: Whatever we had announced, is all completed apart from these 2, and there are going on as per schedule.

Prakhar Soni: Can you throw some light on the impact of the mold manufacturing facility on the revenue and like PAT in the future?

Rajiv Poddar: No. As we had mentioned when we were setting it up, it will also have no impact on revenue. It is only to give us better access to make our moulds and keep our designs and all intact so that the quality impact will be there. No revenue impact.

Moderator: Our next question is from the line of Saif Sohrab Gujar from ICICI Prudential AMC.

Saif Sohrab Gujar: First question is on the hedge rate. So, what was it for the last quarter? And how much it was for FY '25?

Madhusudan Bajaj: Last quarter was INR89 to INR90. And for the next year, it is INR91, INR92.

Saif Sohrab Gujar: Okay. And second is just a follow-up from the previous question, which was asked on carbon black. Regarding this advanced carbon black of 30,000 MTP, what is status on that...

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Rajiv Poddar: As I mentioned, it is going on schedule. And we will update when there is a completion or any milestone. But as of now, we are on schedule to what we had earlier mentioned for date of completion.

Saif Sohrab Gujar: Okay. And from the existing capacity, we have around 2 lakh metric ton, how much of it is utilized? What is the utilization level currently?

Rajiv Poddar: Our existing capacity is 170,000. Post this expansion of advanced carbon, we'll take it to 200,000.

Madhusudan Bajaj: And current utilization is around 85% to 90%.

Madhusudan Bajaj: Of 170,000 MT.

Moderator: Our next question is from the line of Disha Sheth, who's an investor.

Disha Sheth: Sir, I just wanted to check any volume -- if I missed any volume guidance for FY '24 and '25.

Rajiv Poddar: No, you have not missed. We've not given any guidance. It's too early to give any guidance.

Disha Sheth: Depending on your order book, how is the scenario? We- because after so many quarters, we saw year-on-year volume growth. So, according to you, depending on the order book, what do you think about the volumes? Is it improving?

Rajiv Poddar: We can't comment on this quarter, ma'am.

Disha Sheth: No -- okay, okay. And sir, and what utilization are we working on, capacity utilization?

Rajiv Poddar: Around 75%, 80%.

Disha Sheth: Okay. And sir, as volume picks up that we saw in this quarter, do we -- what do you -- do we get the operating leverage benefit that -- other expenses are currently very high because of the low volume scenario so what's the...

Rajiv Poddar: As I mentioned in my commentary, the enhanced production has led to operating efficiencies, which has impacted our margins.

Disha Sheth: Okay. And sir, like in your view, is the worst over in terms of demand? And can we see a volume pick up from your? Like the trend of 72,000, should it be maintained?

Rajiv Poddar: Yes. As I mentioned, our expectation going forward is a flattish quarter. So, you should see it maintained.

Moderator: Ladies and gentlemen, that was the last question. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Rajiv Poddar: Thank you to everybody for coming on the call, and we'll see you next quarter. Thank you.

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January 25, 2024

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Moderator: On behalf of Balkrishna Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

Balkrishna Industries Ltd.

CIN No.: L99999MH1961PLC012185

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BIL/SE/2024-25 24

th May, 2024

To, BSE Limited National Stock Exchange of India Ltd

Phiroze Jeejeebhoy Towers 5

th Floor, Exchange Plaza

Dalal Street Bandra Kurla Complex Mumbai – 400 001 Bandra (E), Mumbai 400 051

Scrip Code: 502355 (Equity)

Scrip Code : 973556 (Debt) Trading Symbol: BALKRISIND

Dear Sir/Madam,

Subject: Transcript of Conference call with Investors/Analysts conducted on 18th May, 2024 to discuss the Q4 & FY24 Results of the Company.

In continuation of our letter dated 13th May, 2024 and 20th May, 2024 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/Analysts on Q4 & FY24 Results of the Company held on 18th May, 2024. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/www/us/investors-desk>.

You are requested to kindly take the above information on record and disseminate.

Thanking you, Yours faithfully, For Balkrishna Industries Limited

Vipul Shah

Director & Company Secretary

and Compliance Officer DIN: 05199526 Encl: As Above

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"Balkrishna Industries Limited Q4 FY-24 Earnings Conference Call"

May 18, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges — BSE Limited and National Stock Exchange of India Limited and the Company website on 20th May, 2024 will prevail

MANAGEMENT : MR. RAJIV PODDAR – JOINT MANAGING DIRECTOR ,
MR. M.S. BAJAJ – CHIEF FINANCIAL OFFICER ,
MR. RAVINARAYAN JOSHI – DEPUTY CHIEF
FINANCIAL OFFICER -

MR. SUSHIL MISHRA – HEAD, ACCOUNTS ,
BALKRISHNA INDUSTRIES LIMITED .
SGA – INVESTOR RELATIONS ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to the Balkrishna Industries Limited Q 4 and FY24 Earnings Conference Call.

This conference call may contain forward -looking statements about the Company , which are based on the beliefs, opinions and expectations of the Company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajiv Poddar – Joint Managing Director. Thank you and over to you, sir.

Rajiv Poddar: Thank you, Sejal . Good morning everyone. And thank you for joining us today. Along with me, I have Mr. Bajaj – our CFO; Mr. Ravi Joshi – our Deputy CFO; Mr. Sushil Mishra – our Head Accounts and SGA our Investor Relationships Advisor.

Let me begin with performance updates :

We are glad to report , that contrary to our expectation of delays in shipment, due to the Red Sea crisis, the business picked up sharply, which led to a double -digit volume growth both year-on-year and Q-on-Q basis . While the cost of logistics has increased, we were able to meet the requirements of end customers who continue to see normalcy in demand in their end markets.

The prices of key commodities, infra activity in major economies, and Indian market growth are leading to a positive uptake in our end markets. And the same is reflecting in the sales performance of our Company . For the Financial Year '24 , we ended with a sales volume of 292,628 metric tonnes which is a minor de-growth from last year's levels .

In the month of March, during the last quarter, income tax authorities conducted search operations at our office premises and manufacturing units. We have fully cooperated with the officials. We will update the Stock Exchange on the outcome of the above search operation upon receipt of the same from the IT Department . We wish to reiterate that the Company adheres to higher standards of ethical conduct and legal compliance.

Coming to the ongoing CAPEX :

We are working on the advanced carbon black project with a capacity of 30,000 metric tonnes per annum. The completion of this project at Bhuj is expected in the first half of this Financial Year . We also announced the mold manufacturing CAPEX . We expect this to be completed in the current quarter.

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Another update for this quarter is pertaining to the EPR regulations. On 21st July 2022, the Ministry of Environment, Forest and Climate change issued a notice containing regulations on Extended Producer Responsibility (EPR) for waste tyres, which amongst others is also applicable to tyre manufacturers. The obligation is to be fulfilled by the purchasing certificates from recyclers registered with the Central Pollution Board. As on 31st March 2023, the Company was unable to reliably estimate its liability due to the lack of infrastructure for the same. Consequently, no provision was made for this obligation. In the current year, the necessary framework has been established, allowing the Company to estimate the liability and accordingly Rs.11.25 crores have been provided in the books in the current year , which has been included under the head of other expenses for the current quarter. In line with regulation , calculation for the obligation is based on the domestic revenue of Financial Year 2020-21(used for computing obligation for FY 2022 -23) and of Financial Year '2021-22(used for computing

obligation for
FY 2023 -24)..

With this , I now move on to the operational highlights :

For the quarter our volume stood at 82,085 metric tonnes, a growth of 13% year-on-year. For Financial Year '24 volumes stood at 292,628 metric tonnes a marginal de -growth of 3% year-on-year

Our standalone revenue for the quarter stood at Rs. 2697 crores registering a growth of 16% year-on-year. This includes realized gain on foreign exchange pertaining to the sales of Rs. 24 crores. For Financial Year '24 the revenue stood at Rs.9375 crores . This includes realized gain on

foreign exchange pertaining to the sales of Rs.77 crores .

For the last Financial Year , 47% of our sales came from Europe , 27% from India , 17% from Americas then balance from rest of the world. In terms of channel contribution 71% was contributed from replacement, while OEM contributed to 27% and the balance came from uptake. In terms of category, agricultural contributed 61% , while OTR Industrial and Construction contributed 36% and the balance came from other segments.

The standalone EBITDA for the quarter was at Rs.699 crores registering a growth of 42% year-on-year. The margin came at 25.9%. For the Financial Year , the EBITDA was at Rs. 2,322 crores, registering a growth of 14%. The Financial Year margin stood at 24.8%.

Other income for the quarter stood at Rs. 87 crores while for the Financial Year it was Rs. 275 crores . Profit after tax stood at Rs.481 crores for the Quarter registering a growth of 88%. For the whole Financial Year PAT came at Rs.1,438 crores a growth of 33% year-on-year.

Our CAPEX spends for the Financial Year were at Rs. 1140 crores. For Financial Year FY25 we expect routine maintenance CAPEX along with some last mile completion spends for the advanced carbon black project and mold manufacturing CAPEX both of which is slated to be completed in the first half of this Financial Year .

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Our gross debt was at Rs.3,036 crores at the end of 31st March 24. Our cash and cash equivalents were at Rs.2746 crore for the year. Accordingly, we have a net debt of approximately Rs789.290 crores. Further, I would like to update that in April 24 we have repaid Rs.175 crores of long term debt as per the repayment schedule.

The Board of Directors have declared a final dividend of Rs.4 per equity share subject to the approval of shareholders at the ensuing AGM. This is in addition to the three interim dividends of Rs.4 each paid over the year. With this, I conclude my opening remarks and I leave the floor open to question -and-answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: A couple of questions from my side. One is , can you talk about the demand environment you talked about the fourth quarter seeing a recovery conflict of expectation . So have we started the process of inventory built up , or that has started now and what is the outlook for FY 25?

Rajiv Poddar: So the channel inventory is now rebuilding and being maintained at the same level. As far as the outlook for the year it's too early to give any guidance or any reason because of the geopolitical scenario that is happening across the world.

Jinesh Gandhi: Okay , but at least we should not be seeing any material decline from where we are today ?

Rajiv Poddar: As of today, visibly there is no reason for seeing that.

Jinesh Gandhi: And secondly, with respect to this quarter, we have seen several moments in our cost and realization side so margins have improved on Q -o-Q basis. But can you talk about the kind of price increases which we took on in this quarter vis-à-vis third quarter and kind of cost inflation which we saw both on RM and on the freight side that will be helpful.

Rajiv Poddar: So we are

evaluating a price increase. We are waiting and watching in the marketplace. So we will be taking a price increase but when and how much we are yet deciding we haven't yet taken a call on that.

Jinesh Gandhi: We haven't taken any price hike in fourth quarter ?

Rajiv Poddar: No.

Jinesh Gandhi: Okay. Then what was the cost inflation on the RM side in this quarter, the natural rubber inflation, and other commodities ?

M.S. Bajaj : So, in the coming quarter we see Rs.1 or Rs.2 increase in the total cost of the raw materials.

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Jinesh Gandhi: And in 4th Quarter ?

M.S. Bajaj : Coming quarter.

Jinesh Gandhi: My question is for the fourth quarter. From Q3 to Q4 what kind of increase we saw?

M.S. Bajaj : Last quarter price was Rs.152 per kg.

Jinesh Gandhi: You mean fourth quarter?

M.S. Bajaj : Overall basket of the raw material cost was Rs.152 per kg.

Jinesh Gandhi: For the fourth quarter, right ?

Rajiv Poddar: Yes.

Jinesh Gandhi: And Q3 would be what about Rs.148, Rs.149 or lower?

Rajiv Poddar: It was about Rs.149, Rs.150. So, we are expecting a marginal increase in Q4 and similar marginal increase in Q1 as well.

Moderator: Thank you. The next question is on the line of Arjun Khanna from Kotak Mutual Funds . Please go ahead.

Arjun Khanna: Sir, the first question is again to E PR, in terms of percentage of sales, where do you expect this number to settle up in terms of domestic sales ?

M.S. Bajaj : The current year for '23-24 it will be 100% of our domestic which needs to be completed in Y plus two basis.

Arjun Khanna: sir. I meant earlier cost, so some of our players have brought out cost of maybe 1.2% of domestic revenues or maybe 1.4 ?

M.S. Bajaj : So, it will be less than a percent, because what we could achieve this time is closer to Rs.2.5 per kg and as and when there will be more recyclers price may settle down .

Arjun Khanna: So, the fair range is maybe Rs.1 to Rs.2 rupees a kilo would that be the right understanding ?

M.S. Bajaj: At this juncture maybe closer to Rs.2 a right estimate .

Arjun Khanna: Sir the second question is regarding the CAPEX outlook while you did mention the mold facility -and 30,000 tonne of Speciality carbon black coming through , but in terms of our CAPEX layout for this year, what is our outlook in terms of spends, because we spent almost 1100 crores in FY24?

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Rajiv Poddar: Between Rs 500 to Rs 600 crores.

Arjun Khanna: Right. So, the way things are moving would probably be a net cash Company at the end of this fiscal, are there thoughts on increasing the dividend policy , etc?

Rajiv Poddar: So, as we it looks like yes, we should be a cash positive Company . Regarding the dividend policy the Board has to decide, and whatever they decide we will proceed as per that .

Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities . Please go ahead.

Mumuksh Mandlesha: Just on the freight rates sir, so we were able to pass on the order freight cost impact to the dealers, distributors there sir?

Rajiv Poddar: We have been able to pass on some of it mainly the surcharge part which is about 50% of the freight include .

Mumuksh Mandlesha: Okay . And so, there would be any impact next quarter also incrementally ?

Rajiv Poddar: We don't see that.

Mumuksh Mandlesha: Okay, got it. Sir on the currency rates, what is the currency rate for Q4 and what you expected for FY 25?

M.S. Bajaj: So Q4 was Rs. 90 Euro hedge rate and for the next year we expect Rs.92.

Mumuksh Mandlesha: Okay. Sir on EP R regulation, any impact was taken in for last year and this year 11 crore, there was also impact for last year for FY 23. So, any impact of that sir?

M.S. Bajaj: We have already taken this Rs.11 crore for the FY 2020 -21 and 20 21-22.

M.S. Bajaj: When you say it is related to price to the customer or in the books .

Mumuksh Mandlesha: In the book, there were two year impact for the EPR?

Rajiv Poddar: If you see my notes, I mentioned it is for both years in my speech .

Mumuksh Mandlesha: Okay. And just lastly on the carbon black sales , what was the revenue for this quarter and full year sir ?

Rajiv Poddar: So it is about approximately about 7% of our revenue is from carbon black .

Moderator: Thank you. The next question is from the lineup Raghunandhan N.L. from Nuvama Institutional Equities .. Please go ahead.

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Raghunandhan N.L.: Rajiv sir as you started off , saying on Q4 numbers are extremely strong, even 82000 metric tonne, absolute term also it's a very strong number. Growth has mainly come from the agricultural and American sector s, which have seen higher growth than other categories. If you can talk a bit about how you are seeing the recovery in demand in underlying market, you are continuing to see market share gains, and how the restocking with dealers are panning out ?

Rajiv Poddar: So thank you for the message. As we have been saying, America is something that we have been focusing on. And, that's where the jump has, the hard work that we have been doing over there is sort of coming back and benefiting us. As far as the demand goes, it is as I mentioned, in my thing, the demand is returning to normalcy. But there is a lot of uncertainty due to geopolitical situations. Hence, it is difficult to make a call for the whole year, and the demand seems to be holding up.

Raghunandhan N.L.: Got it sir. And in your earlier comment when you said that, there shouldn't be a decline from the current level you were referring to the Q4 level right, we should be able to hold on to that level of performance or even better going ahead?

Rajiv Poddar: For the full year number, full year number of 292 K.

Raghunandhan N.L.: Got it. And on the carbon black site for FY 25, with the capacity also going up, what is the kind of growth you are expecting?

M.S. Bajaj: So from 170,000 metric ton ne, it will be to 200,000 metric tonne .

Raghunandhan N.L.: And as you are contemplating a price hike, would it be fair to assume that the freight cost to revenue, which is around 8%, that should reduce going ahead . So going forward , margins should see an uptake from the current level maybe towards 27 %, 28% would that be possible for FY25 or FY26 ?

Rajiv Poddar: No, I think the price hike is being taken more to , we are looking at some raw material inflation increase, so to cover that and the freight increase to cover that.

Moderator: Thank you . The next question is from the line of Siddhartha Bera from Nomura . Please go ahead.

Siddhartha Bera: Sir, my first question is on this volume side. Basically, if I look at India also for this year we have done very well in terms of growth, while the industry has not grown as much on the OE side. So some thoughts there what is driving that and is it more led by the re placement or OE or any color if you can give here?

Rajiv Poddar: For the Indian market , it is replacement market growth and some market share gains , so it's a combination of both .

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Siddhartha Bera: Okay. So, do you think this is likely to sustain in the coming year or there is more scope to gain market share, and what will be the market share right now?

Rajiv Poddar: Market share right now would be between 7% to 10% , its difficult to put a exact number and we are able to , we are hoping to sustain that and as I already mentioned in my earlier notes also that India is going to be a focus market for us.

Siddhartha Bera: Okay . So largely the double -digit type of growth we should continue to expect in the coming year as well for the Indian market would that be c

orrect?

Rajiv Poddar: I can't put a number to the percentage of growth. But yes, India will overall continue to grow.

Siddhartha Bera: Okay. And sir second question is on the pricing side, if you look at sequentially Q4, there has been about a 3% increase. So this is basically the pass through of the freight cost or you said they did not take any significant price hikes. So, just wanted to understand is it more because of mix or the parcel of the freight cost?

Rajiv Poddar: So, today it is the pass through of the freight costs, as well as some product mix improvement, this is a combination of multiple things basically. Also, better hedge rates so, a combination of all the three have impacted in this.

Siddhartha Bera: Okay , got it. Sir lastly , in terms of pricing, how much are you planning to sort of take in the current or coming quarters to offset most of the commodity cost?

Rajiv Poddar: We are working on that. We haven't taken a call on what is the exact amount but we are working on that.

Moderator: Thank you. The next question is from the line of Abhishek Jain from Alfaccurate Advisories Private Limited. Please go ahead.

Abhishek Jain: Sir, b ecause of the Red Sea issues there was a n inventory building in the last quarter. So just wanted to understand that how much inventory line at a channel level right now versus and what is normally ?

Rajiv Poddar: So, it's at the desired level, the normal level , which is about close to 40 to 45 days.

Abhishek Jain: Okay . And what is the outlook for this quarter - volume growth ? Will this the inventory acceleration will continue ?

Rajiv Poddar: No, we can't comment on this quarter we are going through it so we won't be able to comment on that.

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Abhishek Jain: Okay. And in the advance carbon black project expected to be commissioned in the first quarter FY25. So, just wanted to understand what kind of the revenue and the margin would be in this particular segment ?

Rajiv Poddar: So for the margin, we initially it could be 200 to 300 basis points more for an extra 30,000 over the routine carbon black.

Moderator: Thank you. The next question is from the line of Pramod Amthe from InCred Equities . Please go ahead.

Pramod Amthe: So the first one is if I have to analyze this quarter tonnage , it's already at around 330 ,000. So overall looking at your balance sheet strand and the end market coming back .

Rajiv Poddar: If you analyze this year, what is the question with the numbers then?

Pramod Amthe: Sorry sir?

Rajiv Poddar: No, you said 330, but from where are you getting that number, that's why I am.

Pramod Amthe: 84 which you have made the tonnage for this quarter, if I multiply by four on annual basis.

Rajiv Poddar: As I mentioned that in my earlier commentary that, go by the number of 292 and we will, look from going from there. So, I'm not sure if this math that you are putting would, it's too early to comment on which way the markets would react looking at the geopolitical scenario. So just want to check that.

Pramod Amthe: Sure. But you don't think it's time to relook at your capacity for the next three or four years basis?

Rajiv Poddar: No, for the next couple of years we are okay. And as I mentioned in my commentary last quarter, that we have sufficient land bank and everything. So, it's smaller Brownfield projects, we can set up projects quickly as and when required. So 12 to 15 months will be a good enough timeframe to set up new capacity.

Pramod Amthe: So, the second one is with regard to advance carbon black project, this is a new product per se. So, can you give some indication, how is the ASP in this project versus your traditional 170,000 project and what are the type of customers and the also enquires which you are getting which should be fulfilled over the next, over a one-year period?

Rajiv Poddar:

ar: It's too early to give any comment on that. But basically, we will be looking at paint, ink, so those kinds of users, it should be 20 % to 30% higher, but as we go through the journey, we will be able to give you more clarity on that.

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Pramod Amthe: Okay. And also, would you be able to comment any new size we will be introducing in next two years to expand your addressable market in terms of both agri and industrial?

Rajiv Poddar: Probably that's an ongoing project. So we keep on adding new product ranges to the SKU basket as and when we go. So it's not a new thing for us. It's a very routine method for us to keep on adding that.

Moderator: Thank you. The next question is from the line of Basudev Banerjee from ICICI Securities. Please go ahead.

Basudev Banerjee: Few questions, one definitely out look for the years to give him advance is talking the geopolitical environment. So even if you give us some idea that almost half of Q1 is over. And you said any challenge inventory addition does not meet 82,000, it was pure function of retail demand. So how first half of this quarter is panning out if you can give some color, is it more or less in line with retail demand in Q4?

Rajiv Poddar: Sorry, sir, but I can't comment on this ongoing quarter.

Basudev Banerjee: Sure. Second thing is the new products you are showcasing, like those Tracks and the larger diameters, so are they scaling up and what is the timeline now that you think they will substantially add to the revenue?

Rajiv Poddar: So we are going through the various testing phases, they are moving up the closer and closer to normal production. So, in the next two to three years, we should become a part of routine production.

Basudev Banerjee: Sure. And last question is, if I look at last couple of years or even last one year, where India volume mix used to be 15% or that has moved up to 25%, 30% or even more than 30% in select content. So, there has been a huge change in India volume mix altogether and per kg metrics has only improved. So broadly one can assume that India volume mix is not diluting overall margin. So, how should one look at that you are an established player for over decades. And India opportunity is coming into your numbers after so many years on a larger scale basis. So on a strategic basis, how should one think that, why so late or what has changed in the market, making you realize to target that market on a serious note?

Rajiv Poddar: Sir, it's not nothing is late, or anything is just earlier when it's a journey. So when we didn't have capacity, we could not address a certain segment. And that's what we had mentioned: the addition of capacity at Bhuj, we have some new capacity available and which we will use for the Indian market. So that was one. Number two, also, as we go through the Indian journey, in the last couple of, last few years that Indian markets have become more machine driven, more automated, earlier being more disorganized. So those things are looking at that factors is what forced us to look at India as a market. And that's we focused on it and we are getting the results.

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Basudev Banerjee: So, broadly it will be right to assume that India, farm machinery or industrial machinery where such large tyres are required, that market is maturing where your product requirement is also improving. And that is helping you to make a larger volume here?

Rajiv Poddar: Yes, currently it is improving, the government policies are in the development of infrastructure, and all are helping in this sector.

Moderator: Thank you. The next question is from the line of Sonal Gupta from HSBC Mutual Fund. Please

go ahead.

Sonal Gupta: My questions sort of been answered. But , I am just going back to the question on capacity addition, the next

set of capacity addition you still see as a smaller Brownfield capacity addition of 30 ,000, 40,000 units, tonne?

Rajiv Poddar : Yes, that's what, at this stage we are envisaging smaller Brownfield capacity addition .

Sonal Gupta: Okay. And just in terms of the carbon black, could you sort of indicate, what sort of contribution with this business , will the margins in this business be similar to the overall or would be much lower than that?

Rajiv Poddar: Marginally lower.

Moderator: Thank you. The next question is from the line of Disha Sheth from Anvil Research . Please go ahead.

Disha Sheth: Sir wanted to check from 170 K, how much we have carbon black capacity, how much is used for our operations and how much is saleable to other ?

Rajiv Poddar: Approximately 50% is used in -house and Approximately 50% is sold outside .

Disha Sheth: And sir because of this facility, you mentioned something 200 to 300 bps margin, I didn't get that point . And then someone asked about the carbon black , how much is the carbon black?

Rajiv Poddar: The question that was asked to me was, with the advanced carbon black coming, how much difference in addition in margin would come because of the Speciality Carbon . So versus regular carbon , so I had answer in connection to that.

Disha Sheth: Okay . So on our overall Company , you feel it was 200 to 300 bps margin improvement ?

Rajiv Poddar: No, only for that additional 30,000 tonnes of additional Speciality Carbon for that 30,000 we will get 200 to 300 basis points more compared to the 170,000 tonnes of regular carbon . Overall , in the Company , it is too smaller numbers to have an impact.

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Disha Sheth: I agree. And sir that 82,000 which we are doing right now volume , do we think we can maintain that or are we see our growth over that?

Rajiv Poddar: No, as I have mentioned, my guidance give is over the 292,000 which is for the whole year, not on a particular quarter. And so we should look at the 292 k and we are looking at a growth from there.

Disha Sheth: Okay. And sir we mentioned in the opening remarks, that the margins for the next quarter should be around because of the raw material increase right 2% to 3% impact ?

Rajiv Poddar: No, I don't think I mentioned anything like that. I'm not sure from where you got that .

Disha Sheth: No, you - said 150 was the average for this quarter 1 52. For Q1, what was the average if we have the inventory there?

Rajiv Poddar: It is the raw material price, ma'am. It was not percentage per kg price that he has mentioned. My colleague has mentioned price per kg.

Moderator: Thank you. The next question is from the line of Chirag Maru from Keynote Capital. Please go ahead.

Chirag Maru: Sir, I have three question , one is on carbon black. The advanced carbon black capacity that we are adding is for the purpose that we already have good demand coming from that product from the client side right ?

Rajiv Poddar: So, advance carbon we have not yet started, we are going to establish the plant in the first half. So after that, we will have to see how the market responds .

Chirag Maru: Sir actually the thought was the reason why we were adding the advanced carbon black was that , already we were expecting that we would see good capacity utilization from the first year itself.

And it was based on the demand else I don't know the reason why we are adding this advanced carbon black capacity. Could you just highlight me that once, what was the reason to add this capacity?

M.S. Bajaj : So our existing customers who are using our regular carbon they need the advanced carbon and looking into the performance of our regular carbon , some of the customers requested that we should start this one because it has a good demand. So that is why we have started this one.

Chirag Maru: Thank you for the clarification. What k

ind of gross block asset turns we can expect on this capacity?

Rajiv Poddar: Of carbon , advanced carbon or of tyre or what you want?

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Chirag Maru: Of advanced carbon black.

M.S. Bajaj : Rs. 300 to Rs. 350 crores .

Chirag Maru: Thank you. Sir, my next question is related to non-agri tyres. Sir, I just wanted to understand what are our perspective and our vision related to penetrating into this market and what are the steps that we are taking to increase our market share?

M.S. Bajaj : So we are working on that. It's a process, where our tyres are going, they are performing , testing and so, it's an ongoing process. So, we are working on that if you see initially we used to be at about 70 %, 75% of agri, that has come down to 67 % or 61%. But on a higher turnover, so agri is also growing and our other sector has gone to 36%, industrial construction OTR of a higher enhanced turnover. So, that is already giving you results, if you look at it on a standalone basis tonnage wise.

Chirag Maru: Right sir. Any particular target that we have set for like five years per se, like this is the kind of size we want to achieve in terms of volume for industrial and construction ?

Rajiv Poddar: So, our vision is to be in the next five years 10% market share of the entire basket of off- highway tyre manufacturing , currently we are about 5% to 6% .

Chirag Maru: Perfect, thank you for that . And sir third, I wanted to understand again on this industrial and construction tyre per se only , like what is the added advantage that the customer tries to look at when they try to get this product from the tyre manufacturers like why is it on a particular business is this only the pricing point that we try to attract the client like having 10% to 15% discount from the peers or is it the quality of the product ?

Rajiv Poddar: It is purely quality we do not sell on price , we only sell on quality . Also the customer is looking for quality because they understand that people can sell on cheaper price, but eventually it's cost per kilometer or cost per operating hour is what they calculate and there , that is where BKT is able to prove its quality and prove valuable to the end user. That's why they are coming and asking for our product.

Moderator: Thank you. The next question is from the line of Tej Patel from Niveshaay. Please go ahead.

Tej Patel: Sir my first question is , what are the current prices for carbon black and what is the current demand supply scenario in the country given major companies are doing huge CAPEX, so is there any risk of oversupply in the industry which can affect the margins , that's the first question .

M.S. Bajaj : So, current prices are around Rs.102 per kg and currently, yes India per se if you talk then the production is more than the capacity and imports also come and export is also there. But looking into the demand globally , we would be able to sell because our product is being approved by all tyre majors. And we can easily sell even if we expand.

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Tej Patel: So, you don't see any impact on margin because of over supply also ?

M.S. Bajaj : No.

Tej Patel: And sir pardon me is this question sounds repetitive because my line got dropped in between.

So, you said around Rs 11 crores you have charged to the P&L for the EPR for the last two years.

So then how much are we anticipating for the next year and what are the current pricing for this credits?

M.S. Bajaj : Approximately Rs 15 crore will be there for the next year.

Moderator: Thank you. The next question is from the line of Peter from LIC Mutual Funds. Please go ahead.

Peter: Sir just wanted to ask one question. Some of the European manufacturers have stated that they had to reduce production because of the geopolitical tensions and the freight issues. So , has

our

Company been a beneficiary in terms of having more sales because of this issue?

Rajiv Poddar: Difficult to exactly pinpoint, but yes, the numbers are saying there has been some it's been a good set of numbers for the quarter driven by growth. So somewhere we must have gained something from that, but difficult to put exact number to that.

Peter: And given that, they are not fully out of that issue that they face and furthermore newer sanctions in and around by their regional governments make some raw materials that they procure at making it a higher cost effect. Do you think that, on the pricing front they will be challenged so, companies like us who import into that region will continue to benefit on that front ?

Rajiv Poddar: Yes.

Moderator: Thank you. The next question is from the line of Siddhartha Bera from Nomura . Please go ahead.

Siddhartha Bera: Sir, I missed that commodity cost increase which you are seeing for the first quarter , what was that?

M.S. Bajaj : Rs.1 to Rs.2 per kg.

Siddhartha Bera: Okay . Because sir if you look at the global rubber prices, they have jumped quite a bit in the last two quarters so , is it that we are not seeing that sort of increase for you ?

M.S. Bajaj : So, some channel inventory is also there for us, because we are importers. So there is some transit material so that is why impacted lesser

Siddhartha Bera: Okay. So, it will get reflected more later probably in quarter two ?

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M.S. Bajaj : Quarter -to-quarter.

Siddhartha Bera: Okay, got it. And sir globally also on the replacement side, commentary from many players have been quite muted. Are you also seeing similar type of trend for you or according to yours elf for the replacement sites, globally like for US the demand is much stronger and you are confident of the growth sustaining?

Rajiv Poddar: We are talking about it being stable for us.

Moderator: Thank you. The next question is on the line of Jinesh Gandhi from Ambit Capital . Please go ahead.

Jinesh Gandhi: With respect to this EPR provisioning. So, obviously, India has come up with this regulation now, but I am presuming for European and US you would be already meeting with the regulations and providing for that already in our P&L is that's the correct understanding or that also can come in ?

Rajiv Poddar: They are already there and we are already complying with that from the last couple of years it is being done by our channel partners, and they are taking care of it.

Jinesh Gandhi: Okay , so that's taken care by channel partners . Second question pertains to margin. So obviously, in the near term , you talked about, there are pressures on the commodity side. But if I look at the full Financial Year , FY25, from where we are today, what are the factors we are looking at in terms of positives and negatives from a margin evolution perspective ?

Rajiv Poddar: We expect to maintain year-end margins for the whole year.

Jinesh Gandhi: Full year with FY24 margins should be maintained?

Jinesh Gandhi: Yes.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to the management for closing comments.

Rajiv Poddar: Thank you everybody for attending and taking time out. We will see you all next quarter take care.

Moderator: On behalf of Balkrishna Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

Balkrishna Industries Ltd.

CIN No.: L99999MH1961PLC012185

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BIL/SE/2024-25 19th August, 2024

To,
BSE Limited, National Stock Exchange of India Ltd,
Phiroze Jeejeebhoy Towers, 5th Floor, Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001. Bandra (E), Mumbai 400 051.

Scrip Code: 502355 (Equity)

Scrip Code : 973556 (Debt) Trading Symbol: BALKRISIND

Dear Sir/Madam,

Subject: Transcript of Conference call with Investors/Analysts conducted on 10th August, 2024 to discuss the Q1 FY2025 Results.

In continuation of our letter dated 5th August, 2024 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/Analysts on Q1 FY 25 Results of the Company held on 10th August, 2024. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/www/us/investors-desk> .

You are requested to kindly take the above information on record and disseminate.

Thanking you,

Yours faithfully,
For Balkrishna Industries Limited

Vipul Shah
Director & Company Secretary
and Compliance Officer
DIN: 05199526

Encl: As Above

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"Balkrishna Industries Limited
Q1 FY '25 Earnings Conference Call"
August 10, 2024

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange viz. BSE Limited and National Stock Exchange of India Limited and the Company website on 10th August 2024 will prevail."

MANAGEMENT : MR. RAJIV PODDAR – JOINT MANAGING DIRECTOR
MR. MADHUSUDAN BAJAJ – SENIOR PRESIDENT
COMMERCIAL AND CHIEF FINANCIAL OFFICER

MR. RAVINARAYAN JOSHI – DEPUTY CHIEF
FINANCIAL OFFICER
MR. SUSHIL MISHRA – HEAD ACCOUNTS
SGA – INVESTOR RELATIONS ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to the Balkrishna Industries Limited Q1 FY'25 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajiv Poddar, Joint Managing Director. Thank you, and over to you, sir.

Rajiv Poddar: Thank you, Sejal.

Good morning and thank you everyone for joining us today. Along with me, I have Mr. Bajaj, Senior President- Commercial and CFO; Mr. Ravi Joshi, Deputy CFO; Mr. Sushil Mishra, Head - Accounts and SGA, our Investor Relations Advisors. Let me begin with performance updates. In Q1 of the financial year '25 the demand trends were healthy, reflected in our sales volume growth of 24% year-on-year. Please note that the growth percentage has a positive impact due to lower sales in the same quarter last year on account of cyclonic issues in Western India in June '23.

Despite the strong performance in Q1, we are witnessing macro challenges accentuated by recessionary fears in USA, Geopolitical sanctions and inflationary raw material scenario coupled with high freight costs are there. This will result in a tepid demand environment for the remainder of the year. However, we believe we will be able to achieve a minor sales volume growth in this financial year.

On ESG front, we have continued to extend our power requirements through renewable energy. We have 5 megawatt of wind power and 7 megawatt of solar power operational across our plants as of today.

Let me now share some thoughts on the European Union Deforestation Regulation. As you may be aware with effect from 30th December '24, tire deliveries to EU need to be in adherence with the EUDR or the European Union Deforestation Regulation. This regulation requires that the natural rubber used in the EU supplies does not come from the land deforested after 31st December 2020 as well as in adherence to local laws. We will provide further details in due course.

Further, in order to promote sustainable practices beyond our manufacturing units, BKT recently announced its membership to the Global Platform for Sustainable Natural Rubber or the GPSNR. With this, BKT is taking a step forward in promoting long-term sustainable practices, culminating in a more environmentally conscious and friendly production in line with the principles defined by GPSNR.

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As a member of GPSNR, we will have access to a platform that aims to standardize manufacturers sustainability reporting and digital platforms for compliance with the requirements of the EUDR. Coming to the ongoing capex. We are working on advanced carbon black project with a capacity of 30,000 metric tons. This project is progressing well and is as per schedule.

Further, we have commenced the operations of our new mould manufacturing plant at Bhuj. Please note this plant will provide us mould for our internal consumption and help better our quality levels.

Now let me share with you a new capex that the Board has approved. We have seen good acceptance and success of our OTR range of tires. This has given us confidence to add capacity. Accordingly, we are embarking on a new capex spend of up to INR1,300 crores for 35,000 metric ton per annum at Bhuj. Thi

s will be executed in various phases.

With this, I now move to operational highlights.

For the quarter, our volume stood at 83,570 metric tons a growth of 24% year-on-year. Our standalone revenue for the quarter stood at INR2,741 crores registering a growth of 30% year-on-year. This includes realized gain of foreign exchange pertaining to the sales of INR52 crores.

For the quarter 1 of financial year '25, 47% of our sales came from Europe, 29% came from India, 14% came from Americas and the balance from the rest of the world.

In terms of channel distribution 74% contributed from replacement, while OEM contributed for 25% with the balance coming from offtake.

In terms of category, agriculture contributed to 60% while OTR industrial construction contributed to 36% and the balance came from other segments.

The standalone EBITDA for the quarter was INR714 crores registering a growth of 47% year-on-year. The margin came at 26.04%. Other income for the quarter stood at INR83 crores.

Profit after tax for the quarter was recorded at INR477 crores registering a growth of 53%. Our capex spends for the quarter 1 of this year were INR200 crores.

Our gross debt stood at INR2,771 crores at the end of 30th June '24. Our cash and cash equivalents were INR2,946 crores. Accordingly, we have a net cash of approximately INR175 crores.

The Board of Directors has declared an interim dividend of INR4 per equity share.

With this, I conclude my opening remarks and leave the floor open for questions and answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Siddhartha Bera from Nomura. Please go ahead.

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Siddhartha Bera: Congrats, sir, on a great set of numbers. Sir, first, on the demand side, generally, we have seen Q4 being the strongest quarter in terms of year. And this time, Q1 numbers have also been ahead.

So clearly, volumes have been quite good. So for the year, would you like to give out any guidance which you usually give, like how much volume growth you are expecting if you look at the entire year?

Rajiv Poddar: So as I said in my opening speech, we are anticipating minor growth from last year.

Siddhartha Bera: Okay. So sir basically I think what we understand is near term, the numbers or demand has slowed down a bit. Are you sort of getting similar signs? And how do you expect the recovery to play out going ahead?

Rajiv Poddar: Yes, we are seeing demand slowing down and that's why we are saying that despite this quarter, by the remainder of the year, we will only be able to get a minor growth.

Siddhartha Bera: Got it, sir. second question is on the freight costs. So if we look at this quarter, it has come down compared to last quarter despite freight rates and all going up. So can you throw some more color about how do we think about the costs, both on the commodity as well as freight, in the coming quarter?

M. S. Bajaj: So freight rates were already negotiated. That is why the freight cost was lesser in the last quarter. But in the coming quarters, the freight rate has gone up, so you will see the impact in the coming quarters.

Siddhartha Bera: And sir, what about commodity? How much can we expect to...

M. S. Bajaj: Commodity prices are also going up. So raw material, approximately 2% to 3%, will increase the raw material cost.

Siddhartha Bera: Got it. Sir, have we taken any price hikes to pass on some of these freight and raw material costs till now?

Rajiv Poddar: No, till now, we have not been able to take any price hike. Going forward, the market demand is a little weak. Hence, we are trying to see what we can do and what we can pass on. But so far, we have not taken anything.

Siddhartha Bera: Got it, sir. last question is on probably the capex side. Last time when we expanded Bhuj capacity by 50,000, the capex was much lower at a

about INR800 crores to INR900 crores, I think. Now

with only 35,000 expansion, the spend seems a bit higher. So any thoughts why the spend is much higher? And how much capex do we plan to do probably for this year?

Rajiv Poddar: So you're right that the values are different because this is more towards the mining tires. And also for this capacity, some utilities and all also need to be added, which will also be taking care of some future requirements. So that is all being done in the current cycle.

Siddhartha Bera: Okay sir. Thanks I will come back in the queue.

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Moderator: Thank you. The next question is from the line of Raghu Nandhan from Nuvama Wealth Management. Please go ahead.

Raghu Nandhan: Thank you, sir, for the opportunity and congratulations on a strong set of results. Sir, firstly, on the USD euro rate for the quarter, how much was it and how is the hedge rate for the full year?

M. S. Bajaj: So this quarter was INR92 euro and next hedging is around 92.5 we can say for next quarter.

Raghu Nandhan: Got it, sir. And the last 2 quarters have seen better growth in agri, especially in the Europe region. But going forward, you're saying a tepid growth. So can you talk a bit about how is the on-ground sentiment? What are your thoughts about it?

Rajiv Poddar: So, we are yet seeing a market weaknesses come in this, also there are geopolitical scenarios with the backdrop of everything that's happening across various regions of Europe and Middle East, and also U.S. recession fears are there. So, all of that put together, we are noticing a weak demand at the end user space.

Raghu Nandhan: Understood, sir. And lastly, on the freight cost, you said there would be an increase in the coming quarter. How much would be the increase? What is the range you would expect? Currently, we are at around 6.4% of revenue in Q1. What should we build for Q2?

M. S. Bajaj: It should be 8% to 9% approximately.

Raghu Nandhan: And just capex number I missed for FY '25. How much was that?

Rajiv Poddar: Our capex in this quarter is INR200 crores approximately.

Raghu Nandhan: And for full year, sir?

Rajiv Poddar: Full year would be between INR600 crores to INR700 crores.

Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Thank you sir for the opportunity and congratulations on good results sir. Sir as you mentioned I mean demand has softened in recent time. What could be our channel inventory, sir?

M. S. Bajaj: It is increasing. Channel inventory is increasing, and OEMs demand is softer also.

Mumuksh Mandlesha: On the freight cost sir has any partially the surcharge has been passed on to the customers?

Rajiv Poddar: Yes.

Mumuksh Mandlesha: Okay. So that's why we're seeing a smaller impact going ahead also. Sir, even the increase in the surcharge, I mean, the freight surcharge has delayed our price hike planning, sir?

Rajiv Poddar: Yes, that is also impacted. You're right.

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Mumuksh Mandlesha: Got it, sir. on the OTR capex, any broadly, what kind of a timeline would be the implementation of this capex?

Rajiv Poddar: We'll come back to you in the coming quarters.

Mumuksh Mandlesha: Got it, sir. And just lastly, what could be the carbon black revenue share to third party, sir?

M. S. Bajaj: 50%, sir.

Rajiv Poddar : 50% of the carbon

M. S. Bajaj: On the carbon product sir.

Mumuksh Mandlesha: Okay. And that would be around 6% to 7%, sir?

M. S. Bajaj: Approximately 8% of our sales.

Mumuksh Mandlesha: Thank you so much for the opportunity.

Moderator: Thank you. The next question is from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.

Ashutosh Tiwari: Congrats on good numbers. Firstly, you mentioned that channel inventory is increasing. Is it like

meaningfully increase or only normal increase?

Rajiv Poddar: Yes. So it is the Q1, which numbers you've seen has helped them increase it. And now we are seeing a softening, thereby, we are seeing tepid demand for the remaining of the period.

Ashutosh Tiwari: So is there a case that probably because of red sea issues, our transit time has gone up that's why probably because of supply chain disruptions, the distributors have stocked up a bit more during the last quarter?

Rajiv Poddar: Yes, one of the reasons. That is also one of the reasons.

Ashutosh Tiwari: And you talked about this OTR capex. Will it being a large thing would be your 48-inch plus tires? Or how should one look at it?

Rajiv Poddar: No, it's the whole mix of mining tires.

Ashutosh Tiwari: Whole mix. And especially because we had entered 5 to 6 years back in this ultra-large mining tires and that was one of the growth areas that we had targeted. So how is the progress in that?

And probably if you can share maybe around roughly what percent of overall volumes today is coming from that 48-inch plus?

Rajiv Poddar: So there is a good acceptance. And that's why when this new product mix expansion that we are looking is been mainly for mining segment. So that itself indicates that our products are doing well, and I don't have the breakup of what is the exact figures of 47 inch and above.

Ashutosh Tiwari: And it would be a mix of bias and radial both, or only radial?
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Rajiv Poddar: Only radials.

Ashutosh Tiwari: Okay. And lastly, on this rest of the world is doing well, like especially last quarter, this is like CIS countries?

M. S. Bajaj: Mainly India.

Rajiv Poddar: No, the rest of the world is apart from Americas, Europe and India, everything else, so it's Asia, Middle East, Africa, west...

Ashutosh Tiwari: Sir any particular reason which is doing well for us?

Rajiv Poddar: No, all over so all over that.

Ashutosh Tiwari: Okay. Thanks. Thanks. That's all from my side.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: First question on the cost inflation expected in 2Q. So we are expecting 2% to 3% increase in RM basket and a similar increase on the freight side. and currently, we don't have visibility of price hike. So do we expect a substantial pressure on margins in 2Q? I mean against 26%, you expect it to go back to 20% to 24%?

M. S. Bajaj: Last year, full year, our EBITDA margin was around 24.8%, and we will be striving for the same range for the whole of the year.

Jinesh Gandhi: Okay. Got it. And secondly, while we talked about 24% plus growth in our wholesale volumes, any sense of how retail volumes are trending on the ground? Are they flattish? Or we are seeing some growth there? Or they are still declining?

Rajiv Poddar: No, we are seeing it to be weak. That is why the channel buildup that I mentioned earlier has taken place.

Jinesh Gandhi: Okay. So it's still declining. Got it. And lastly, with respect to the OTR capex which we're doing. So I mean a very basic question. Would intensity of SKUs be higher in OTR or agri has higher number of SKUs?

Rajiv Poddar: Yes, they will be higher.

Jinesh Gandhi: Higher in OTR?

Rajiv Poddar: Yes.

Jinesh Gandhi: And hence capex also be slightly higher because of higher moulds requirement. Is that correct understanding?

Rajiv Poddar: Yes.

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Moderator: Thank you. The next question is from the line of Pramod Amthe from InCred Equities. Please go ahead.

Pramod Amthe: So when you're talking about the slowdown, is it related to industrials or agri or both? Where are you seeing specifically?

Rajiv Poddar: Both.

Pramod Amthe: Okay. And if I had to look at your industrial for this quarter itself, it's down almost around 18%, 20%. So in that context do

you see any sense to go for a capacity addition now or you can delay it?

Rajiv Poddar: Sorry, I don't know which number you are referring to because...

Pramod Amthe: The tonnage which you have given for Y-o-Y, if I had to look at compared versus last year?

Management: On the industrial construction mining OTR tires we have a 19.3% Y-o-Y growth. Across all the segments, whether it's agri, OTR there is a higher double-digit growth. So there is no difference from a Y-o-Y perspective...

Rajiv Poddar: Nearly 20%, so that's why I'm confused which number are you referring to, sir.

Pramod Amthe: Maybe my base numbers are different and hence I see that coming down...

Rajiv Poddar: It will be wrong to comment on wrong numbers.

Pramod Amthe: Okay, sure. Let me correct that. But you are still not commenting on the timeline when you want to implement this, right or usually the...

Rajiv Poddar: We have got the approval. We will work it out and announce it in the coming quarters.

Pramod Amthe: Okay, sir. And if I had to look at the ASP trend for OTR versus agri, it's substantially different if I look at ASP per ton or per kg and since you're doing a more capex, that's one. Second, in the current capacity what is the split you have versus agri versus OTR?

Rajiv Poddar: So ASP for the supergiant is higher, but the rest is similar. there's a marginal difference. So this

whole mining project will be scattered across the entire range. So we expect it to be not a very different ASP. And the other question that you have, we'll come back to you later. I don't have those details.

Pramod Amthe: Because I want to get a relevance of what this 35,000 ton is on what base you currently have. That is the reason. And the last one is this time you haven't given the forex sheet. So in that context, what is the forex impact on expenses? Sales you have given.

Management: On sales it is INR52 crores, which is we have disclosed in our presentation. On other expenses, it is about INR11 crores.

Pramod Amthe: Okay sure. Thanks and all the best.

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Moderator: Thank you. The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna: The first question is while you talk of this slowdown, sir, are we seeing any market share impact? Obviously, sales have been robust in the first quarter. But over the year, do you see an impact to our market share? Are we losing share, or do you think we are largely maintaining or gaining share?

Rajiv Poddar: No, we will be maintaining.

Arjun Khanna: Sure. Sir, the second question is in terms of the capex announced, you've mentioned it for augmenting capacity and also utility infra. Is it possible to give a breakup of this amount?

Rajiv Poddar: No, we'll come back to you in the coming quarters.

Arjun Khanna: Sure. Sir, in terms of specialty carbon black, we had mentioned in the earlier call that we are on track for the first half of this fiscal year. Are we on track for the sales, so we should see commissioning in the first half?

Rajiv Poddar: Yes. I already announced in my opening remarks also that it's progressing well, and we'll be commencing in as per schedule. So we had announced it in the first half of this year, and we will be on course for that.

Arjun Khanna: Great. My final question is on the EPR. We have previously mentioned it's difficult to find out the exact liability. Have we crystallized that amount now? And have we provided for the previous years?

Sushil Mishra: So, for EPR whatever the obligation is applicable so that we provided in this quarter. That is around roughly INR4 crores for this quarter.

Arjun Khanna: Sure. And for previous years are they fully provided?

Sushil Mishra: Yes, it was already provided. And in that we are gaining something that we had already reversed in this quarter.

Arjun Khanna: So the net impact for this quarter you

said was INR4 crores.

Sushil Mishra: Correct.

Arjun Khanna: Sure. Thank you so much and wishing you all the best.

Moderator: Thank you. The next question is from the line of Rishi Vora from Kotak Securities. Please go ahead.

Rishi Vora: Congratulations on good results. Sir, can you just elaborate on this EU Deforestation Regulation? Like currently where we are sourcing our natural rubber from? And what would be

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the implication, if any? Will our cost go up or it's just a regulatory thing which we need to comply to?

Ravi Joshi: So firstly, the coverage was about that we need to make sure that the rubber what we are procuring has not caused deforestation after December 2020. And at the same point in time, it is sourced from a land wherein all the local laws while cultivating is being adhered to. As far as cost is concerned, it will have obviously some marginal impact on the cost for the rubber piece.

Rishi Vora: So that would happen from any quantification today would you like to give or maybe at a later point?

Ravi Joshi: We'll keep you posted over a period of time.

Rishi Vora: And currently, where would be sourcing our NR from? It would be a combination of India and Southeast Asian countries?

M. S. Bajaj: Yes. From all Thailand, Indonesia, Malaysia as well as African countries, Vietnam. So wherever we get the best deal, we buy from there.

Rishi Vora: Understood okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Rohit Jain from Tara Capital Partners. Please go ahead.

Rohit Jain: I just had a clarification question. Did you say that the volume is going to be flat Y-o-Y for the entire year or is it going to be flat Y-o-Y for the remaining 3 quarters?

Rajiv Poddar: Entire year.

Rohit Jain: For the entire year, it is going to be flat Y-o-Y. Understood. And...

Rajiv Poddar: As I said, it will be with a minor growth. At the end of the year, we are confident of achieving a minor growth.

Rohit Jain: Got it. Fair enough. And this freight increase that you mentioned, is this going to be passed on to the consumers with a lag or is there going to be an initial bigger hit and then gradually, we'll be able to pass it on?

Rajiv Poddar: So we are working and trying to see how we can pass it on, but we will get back to you in due course on that.

Moderator: Thank you. The next question is from the line of Basudeb Banerjee from ICICI Securities. Please go ahead.

Moderator: We have lost the connection of the current participant. We will move on to the next participant. The next follow up question is from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.

Balkrishna Industries Limited

August 10, 2024

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Ashutosh Tiwari: Yes, sir. On this India growth, obviously, we are doing pretty well over the year. This is coming from both agri or OTR or maybe agri is growing faster than this?

Rajiv Poddar: Both the product mix are growing fast.

Ashutosh Tiwari: And I mean, what kind of market share we probably would have in India agri, if you have some idea on that?

M. S. Bajaj: Very difficult to give you an exact number, but between 6% to 7%.

Ashutosh Tiwari: Okay. And roughly, what we break up in India, like say, between the OTR and agri?

Rajiv Poddar: So that we don't have you can take it up later offline.

Ashutosh Tiwari: Okay. And this EUDR regulation that you talked about, I mean, is there already some mechanism in place that you can really find out that where this rubber is sourced from? I mean, all the modalities are there globally or what would really comply?

M. S. Bajaj: Yes, system is already in place it is yet to be evaluated or it could be really procured, but we have already tied up with the manufacturers to supply that type of rubber.

Ashutosh Tiwari: And any idea like I'm sure that some of the companies will be sourcing even today that kin

d of

rubber. How is that price versus normal natural rubber price?

M. S. Bajaj: It will be costlier than that, by maybe approximately \$300 per metric ton.

Ashutosh Tiwari: On a base of roughly how much?

M. S. Bajaj: 1,800 on the base of natural rubber...

Ashutosh Tiwari: And you have to comply, like completely whatever export happens or there should be that this rubber only?

M. S. Bajaj: Not on all, only for the European Union.

Ashutosh Tiwari: All the sales should be using that rubber only?

M. S. Bajaj: Only for the European Union, not all.

Ashutosh Tiwari: Yes. But any, let's say, like do the command some pricing premium as well as the tires made from that kind of rubber or there is no difference...

M. S. Bajaj: Everyone has to use that one. So definitely there has to be some pricing, whether it is manufactured in the Europe or in India or anywhere, everyone has to use that type of rubber that will have the extra cost. So time will tell on this how they are able to pass to everyone.

Moderator: Thank you. The next follow-up question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

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August 10, 2024

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Jinesh Gandhi: Just quick question on the EPR part. You mentioned there have been some reversals in 1Q of the prior period and net EPR provisioning is INR4 crores. What would be the quantum of reversals and what could be a normalized EPR provisioning for 1Q?

Sushil Mishra: Actually in last year we have provided on the basis of some assumption based on the market rate. But after that we negotiated with the vendor, and we purchased at lower rate. So we reversed some amount that is a minor amount. And after that, we point this quarter we have provided the exact amount, so the net impact is around INR3 crores to INR4 crores.

Jinesh Gandhi: The net EPR impact is INR3 crores to INR4 crores in 1Q and reversal again would be similar or higher than that?

sushil Mishra: Nominal amount it is INR1.5 crores or INR2 crores.

Moderator: Thank you. The next follow-up question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Yes. Sir, any outlook for the Indian market, sir?

Rajiv Poddar: It continues to remain positive for us, and we look to expand our way in Indian market.

Mumuksh Mandlesha: Okay. And sir, because of the EUDR, sir, and the price hike, would there could be some any pre-buying on account of that factor, sir?

M. S. Bajaj: Pre buying.

Mumuksh Mandlesha: Any pre-buying could happen because of the regulation norms sir where there could be a pre-buying, sir, because of price hikes, sir?

M. S. Bajaj: Pre-buying before December because whatever material goes after 31st December, it has to go the EUDR complied rubber only. So we have contracted, but it will come in the fourth quarter only.

Mumuksh Mandlesha: Thank you so much for this.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Rajiv Poddar: So thank you everyone for taking the time out and looking forward to meeting you all in the next quarter. Thank you.

Moderator: On behalf of Balkrishna Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

Balkrishna Industries Ltd.

CIN No.: L99999MH1961PLC012185

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Registered Office: B-66, Waluj MIDC, Waluj Industrial Area, Chhatrapati Sambhaji Nagar– 431 136, Maharashtra, India

BIL/SE/2024-2025 30th October, 2024

To,
BSE Limited, National Stock Exchange of India Ltd,
Phiroze Jeejeebhoy Towers, 5th Floor, Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001. Bandra (E), Mumbai 400 051.

Scrip Code: 502355 (Equity)

Scrip Code : 973556 (Debt) Trading Symbol: BALKRISIND

Dear Sir/Madam,

Subject: Transcript of Conference call with Investors/Analysts conducted on 26th October, 2024 to discuss the Q2 H1 FY25 Results.

In continuation of our letter dated 21st October, 2024 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/Analysts on Q2 H1 FY25 Results of the Company held on 26th October, 2024. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/www/us/investors-desk>.

You are requested to kindly take the above information on record and disseminate.

Thanking you,

Yours faithfully,
For Balkrishna Industries Limited

Vipul Shah
Director & Company Secretary
and Compliance Officer
DIN: 05199526

Encl: As Above
Page 1 of 8

"Balkrishna Industries Limited
Q2 and H1 FY '25 Earnings Conference Call "
October 26, 2024

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 26 October 2024 will prevail."

MANAGEMENT : MR. RAJIV PODDAR – JOINT MANAGING DIRECTOR
MR. MADHUSUDAN BAJAJ – SENIOR PRESIDENT ,
COMMERCIAL AND CHIEF FINANCIAL OFFICER
MR. RAVINARAYAN JOSHI – DEPUTY CHIEF
FINANCIAL OFFICER

MR. SUSHIL MISHRA – HEAD, ACCOUNTS
SGA - INVESTOR RELATIONS ADVISORS

Balkrishna Industries Limited
October 26, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Balkrishna Industries Limited Q2 and H1 FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajiv Poddar, Joint Managing Director. Thank you, and over to you, sir.

Rajiv Poddar: Thank you. Good morning, everyone, and thank you for joining us today. Along with me, I have Mr. Bajaj, Senior President, Commercial and CFO; Mr. Ravi Joshi, Deputy CFO; Mr. Sushil Mishra, Head, Accounts; and SGA, our Investor Relations Advisors.

Let me begin with performance updates. The second quarter panned out as per our expectations. We are witnessing macro challenges accentuated by recessionary fears in USA, geopolitical tensions, and an inflationary raw material scenario, coupled with high sea freight costs. This has resulted in a weak demand scenario across our major markets, barring India, where we continue to witness a stable demand environment.

We expect this weakness in international markets to continue for the remainder of the year. In spite of these challenges, we believe we will be able to achieve a minor sales volume growth in the financial year '25, as guided in our previous earnings calls.

We have completed the capex for 30,000 metric ton per annum of high value of advanced carbon materials and commissioned the plant in September month. This is for the non-tyre grade carbon black, which will be used in plastics, inks, paints, and other special industries.

During the last Board meeting, we also announced the tyre capex. We have now begun the implementation of the first phase of this capex, which is towards the OTR range of tyres. We expect this completion of Phase 1 in the first half of financial year '26.

With this, I now move on to operational highlights. For the quarter, our volume stood at 73,298 metric ton, a growth of 4% year-on-year. For H1, volumes stood at 156,867 metric ton, a volume growth of 14% year-on-year.

Our stand-alone revenue for the second quarter stood at INR2,465 crores, registering a growth of 10% year-on-year. This includes realized gain on foreign exchange pertaining to sales of INR29 crores.

For the first half of this year, stand-alone revenue stood at INR5,207 crores, registering a growth of 19% year-on-year. This includes realized gain on foreign exchange pertaining to sales of INR-

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81 crores. For the first half of this year, 44% of sales came from Europe, 29% from India, 16% from Americas and the balance from rest of the world.

In terms of channel contribution, 73% was contributed from replacement segment, while OEM contributed to 25% and the balance coming from offtake.

In terms of category, Agricultural segment contributed to 59%, while OTR industrial construction contributed to 37% and the balance came from other segments.

The stand-alone EBITDA for the quarter was INR619 crores, registering a growth of 13% year-on-year basis. The margin came at 25.11%. For the first half of this year, the stand-alone EBITDA came at INR1,333 crores, registering a growth of 29% year-on-year. The margin for the first half was at 25.6%.

Other income

for the quarter stood at INR105 crores, while for the first half of this year, it was INR187 crores.

Profit after tax stood for the quarter at INR350 crores, registering a growth of 4%. While for the first half of this year, we have recorded INR827 crores of profit, registering a growth of 28%.

Our capex spend for the first half of this year were INR540 crores.

Our gross debt stood at INR3,062 crores at the end of 30th September '24. Our cash and cash

equivalents were INR2,994 crores. Accordingly, we have a net debt of approximately INR68 crores.

The Board of Directors had declared a second interim dividend of INR4 per share. This brings the dividends to INR8 per share, including the first interim dividend.

Before I conclude and leave the floor open for opening questions, I would like to wish all of you a very happy advance d Diwali. Thank you.

Moderator: Thank you very much sir. We will now begin the question -and-answer session. Our first question is from the line of Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi: Quickly, 2 questions. One is in previous call, we had talked about increase in RM cost, increase in freight cost and in turn margins in that context should have come substantially lower, but it seems that you've done an exceptionally good job on margin management. So any price hikes taken and if you can quantify the impact of RM cost in this quarter and the upcoming quarter?

Madhusudan Bajaj : We have taken the price hike in Q2, not in the last quarter.

Jinesh Gandhi: Yes, what would be the price hike in Q2?

Rajiv Poddar: The impact of that will come in Q3, and it will be very marginal, maybe about 1% to 2%.

Jinesh Gandhi: And RM impact in Q2, can you quantify that, how much impact we saw?

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Madhusudan Bajaj : In Q2 to Q3, RM impact may be similar, whatever increase we have given.

Jinesh Gandhi: In Q2, it was how much? On the commodity basket, what kind of increase we saw?

Madhusudan Bajaj : 3% to 4% on the raw material. And on the sales price, it will be half approximately.

Jinesh Gandhi: And last question is on demand outlook, you talked about weakness continuing in second half as well. This is the impact which you are seeing on the retail demand or is this still inventory correction which is taking place? I believe inventory correction is largely done, but if retails are weak, then is there further inventory correction which we have seen?

Rajiv Poddar: At the moment, it is mainly demand outlook.

Jinesh Gandhi: So inventory is comfortable?

Rajiv Poddar: Yes.

Moderator: Our next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.

Mumuksh Mandlesha: Happy Diwali. Sir, there has been increase in production stops for European players. Is it due to weak demand or they are losing market share? And also, we're seeing a lot of M&A activities in this space in Europe market. So how do you see that playing in terms of pricing and market share, sir?

Rajiv Poddar: Yes. So I think on the other players in Europe for that we can't comment. And on M&A, there is no impact, as we have mentioned. We are also waiting and watching.

Mumuksh Mandlesha: Sir, in terms of OEM demand, which was very weaker this quarter, any improvement of traction there you see in the Q3 quarter, sir?

Rajiv Poddar: We are working towards it, but not seeing in the immediate future.

Mumuksh Mandlesha: Sir, in terms of EUDR regulation, how is the preparation for the supply for the regulation? I just want to check the date of implementation for the regulation, sir. Is there any change there?

Madhusudan Bajaj : So there is a change in the EUDR regulation. European Union is postponing it for 1 year, but it has to be passed in the parliament, which is likely to happen in November. So all said and done, it is likely to be postponed. But we are ready with

h the EUDR production. We can do as and when it is implemented.

Mumuksh Mandlesha: And sir, lastly, what was the euro -INR rate for Q2? And what do you expect for H2 and FY '26, sir?

Madhusudan Bajaj : So last quarter, it was Rs 91. And rest of the year, we are expecting Rs 92.

Moderator: Our next question is from the line of Raghunandhan NL from Nuvama Research.

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Raghunandhan NL: And the performance has been very good considering the challenging circumstances. Sir, firstly, on the demand side, can you speak about the distributor inventory levels? Is it higher than normal levels? And specifically, if you can comment about how you're seeing the Agri demand in replacement for Europe and North America?

Rajiv Poddar: So as the demand at the inventory level, we are seeing it to be at normal levels. But as I mentioned, the demand is slowing down, so that is what the challenge is which we are working towards.

Raghunandhan NL: And anything specific on the Agri side, where you are seeing any kind of -- or by when do you

hope things could improve on the demand side?

Rajiv Poddar: It's a little early to comment on that. We are watching and being actively present in the market.

So we are keeping an eye for that.

Raghunandhan NL: Understood, sir. On Carbon Black revenue, how was it in the current quarter? And how do you expect it to increase going ahead with the new capacity being operational?

Madhusudan Bajaj : So new capacities for the speciality carbon, so this has come only in the September. So in the coming quarter, you will see the impact of this one. And currently, we are selling approximately 50% of our carbon produce in the market.

Raghunandhan NL: And how much would that be in revenue?

Madhusudan Bajaj : It is less than 10%. -of total revenue .

Raghunandhan NL: And lastly, before I fall back to the queue, given that you have a better euro realization for H2 and you also have the benefit of a 1% to 2% price hike, which will come in Q3, how do you see the margin range broadly for the full year? Would you expect, given that first half you have done 25.5%, how do you see the full year range?

Madhusudan Bajaj : We expect similar around 25%, as we told in the last call also. So it will be around 25%.

Moderator: Our next question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Where is the bigger challenge in terms of demand, OE replacement, where do you see bigger stress? And what will drive that recovery, if you have some insight, what should we look forward to for the recovery to play out?

Rajiv Poddar: So at the moment, demand is weak all over. It's not replacement or OE. Overall in Europe and North America, it's a little weak. And I think we are also waiting and watching. It's very difficult to pinpoint to one thing and say, this is what will drive the recovery or something. There are a lot of factors currently affecting, geopolitical situations, tensions and also, we are waiting and watching.

Siddhartha Bera: Have you seen any sort of pickup in exports or market share gain for Indian players in US compared to China? Have we sort of seen any sort of trend like that?

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Rajiv Poddar: No, no.

Siddhartha Bera: Sir, on the cost side then, if you can highlight, freight cost of late seems to have come down a bit. So shall we expect normalization in freight cost in the second half from where we are in Q2?

Or do you think this will take longer?

Rajiv Poddar: No, we are expecting freight to hold at these levels for a while, but let's see. At this moment, we are not seeing any further reduction.

Siddhartha Bera: And sir, lastly on this other expense this quarter, there has been a decline on a Y-o-Y basis. So is it that some cost have not come in quarter or if you can throw some color on w

hy it is down?

Sushi I Mishra : Yes, it is because of a decrease in promotional expenses. Last quarter, there was a major expenditure in IPL. So this quarter, there was no such expenses. And apart from this, there was a reduction in production also.

Siddhartha Bera: So this should normalize as and when you start this promotional expenditure. That is what we should assume?

Rajiv Poddar: Yes.

Siddhartha Bera: Lastly, on the capex side, first half, we did about INR500 crores. So you have guided earlier for INR700 crores to INR800 crores for the year. So what is the updated guidance if you have for the year?

Rajiv Poddar: So between INR800 crores and INR1,000 crores.

Moderator: Our next question is from the line of Abhinav Ganeshan from SBI Pension Funds.

Abhinav Ganeshan: Wish you a very happy Diwali and congrats on a great set of numbers. I just had 2 questions. First one is regarding our volume. So we have done 1.56 lakh tons. So can we estimate that we will be able to match our FY '23 high volume of 3.02 lakh tons?

Rajiv Poddar: As I mentioned in my opening remarks that we believe we will be able to achieve a minor sales volume growth over the financial year '25. So this is what we are holding to.

Abhinav Ganeshan: so it would be like a low single -digit number? That would be fair to assume?

Rajiv Poddar: I cannot comment on that. I can give you what this guidance is. You can put the number whatever you feel. But our volume guidance is in that line.

Abhinav Ganeshan: And one more question is with raw material cost that is natural rubber and even crude oil being a little lower in the current quarter. So can we see some of that benefits flow through for us in Q3 and Q4, if you could give some thoughts?

Madhusudan Bajaj : There may not be any immediate relief for this price going down because we are the importer, so our raw materials are already in pipelines. This impact, if crude prices are getting reduced, will be seen in the fourth quarter.

Balkrishna Industries Limited

Moderator: So we'll move on to the next question, which is from the line of Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi: Two follow-ups. One is you said you don't expect freight cost to further reduce. However, we have seen a sequential increase in freight costs. So from the second quarter level, should there be reduction in freight costs in second half? Or that 7.4% of sales is what where it should sustain based on the current visibility?

Madhusudan Bajaj : There will be marginal reduction from the second quarter to third quarter.

Jinesh Gandhi: And secondly, on the tax rate. So we have seen a reduction in tax rate on Q-o-Q basis and seems to be quite low. Is there any one-off in that? Any tax write-backs, which is for the prior period?

And otherwise, how should we look at tax rate from a full year perspective?

Sushil Mishra : Tax rate includes so many things like there are a lower tax income - in investment. And apart from this, there are other things - like unrealized exchange gain, loss that we can add or less in the tax calculation. So that's the reason for reduction in tax rate .

Jinesh Gandhi: So about 23%, 24% is where it should be overall tax rate?

Rajiv Poddar: Yes.

Moderator: Our next question is from the line of Sriram R, who is an Individual Investor.

Sriram R : Sir, with this India -China border dispute being resolved. So do we get to see some investments from Chinese players into our sector? Or are we open to forming JVs with them? What is your sense?

Rajiv Poddar: No, we don't see any such investment, and we don't know. If an opportunity comes, we will evaluate it at that time. But currently, we don't have any particular opportunity to evaluate.

Sriram R : But are you open to forming JVs with them or if you can just elaborate on this, it will be helpful ...

Rajiv Poddar: We can't comment on that.

If an opportunity comes, we will evaluate it and then take a call. But we cannot comment before and after -- we cannot speculate on that.

Moderator: Our next question is from the line of Ajox Frederick from Sundram Mutual Fund.

Ajox Frederick: Sir, sequentially, the realization has gone up, and you mentioned that you have not taken price hike during the quarter. So is it due to the mix -- improved mix, we are seeing -- increased realization?

Rajiv Poddar: Yes, it's a product mix and hedge rates, both.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr.

Rajiv Poddar for closing comments.

Balkrishna Industries Limited

October 26, 2024

Rajiv Poddar: Thank you once again to all the participants. And we look forward to seeing you next quarter. And once again, wishing you a very, very happy Diwali. Thank you.

Moderator: On behalf of Balkrishna Industries Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Jan 2025

Balkrishna Industries Ltd.

CIN No.: L99999MH1961PLC012185

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BIL/SE/2024-2025 30

th January, 2025

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BSE Limited, National Stock Exchange of India Ltd,

Phiroze Jeejeebhoy Towers, 5th Floor, Exchange Plaza,

Dalal Street, Bandra Kurla Complex,

Mumbai – 400 001. Bandra (E), Mumbai 400 051.

Scrip Code: 502355 (Equity) Scrip Code : 973556 (Debt) Trading Symbol: BALKRISIND

Dear Sir/Madam,

Subject: Transcript of Conference call with Investors/Analysts conducted on 27th January, 2025 to discuss the Q3 & 9 Months FY25 Results.

In continuation of our letter dated 20th January, 2025 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/Analysts on Q3 & 9 Months FY25 Results of the Company held on 27th January, 2025. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/www/us/investors-desk>.

You are requested to kindly take the above information on record and disseminate.

Thanking you, Yours faithfully, For Balkrishna Industries Limited

Vipul Shah Director & Company Secretary

and Compliance Officer

DIN: 05199526 Encl: As Above

Page 1 of 11

"Balkrishna Industries Limited

Q3 & 9 Months FY '25 Earnings Conference Call"

January 27, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 27 January 2025 will prevail.

MANAGEMENT : MR. RAJIV PODDAR – JOINT MANAGING DIRECTOR

MR. MADHUSUDAN BAJAJ – SENIOR PRESIDENT ,

COMMERCIAL AND CHIEF FINANCIAL OFFICER

MR. RAVI JOSHI – DEPUTY CHIEF FINANCIAL OFFICER

MR. SUSHIL MISHRA – HEAD, ACCOUNTS

SGA - INVESTOR RELATIONS ADVISORS

Balkrishna Industries Limited

January 27, 2025

Page 2 of 11

Moderator: Ladies and gentlemen, good day, and welcome to the Balkrishna Industries Limited Q3 and 9 Months FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the

company as of the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajiv Poddar, Joint Managing Director. Thank you, and over to you, sir.

Rajiv Poddar: Good morning, everyone, and thank you for joining us today. Along with me, I have Mr. Bajaj, Senior President, Commercial and CFO; Mr. Ravi Joshi, Deputy CFO; Mr. Sushil Mishra, Head - Accounts; and SGA, our Investor Relationships Advisers.

Let me begin with performance updates. Market scenario continues to be challenging. However, our strong product profile, backed by brand investments, has led us to achieve minor sales growth on a year-on-year basis in Q3. We are confident and hold on to our forecast of achieving minor sales volume growth in this financial year.

Post the completion of capex of 30,000 metric tons per annum of high-value advanced carbon material plant in September last year, we are undergoing testing with end customers. This advanced carbon black material is for non-tire grade carbon back to be used in plastics, ink, paint industry.

The capex for 35,000 metric ton per annum of OTR range of tires was announced in August last year. The first phase of this capex is progressing as per schedule, and we expect to complete it in the first half of financial year '26.

In line with our vision to achieve a global market share of 10% in off-highway tire market over the next few years, we are continuously strengthening our senior management team. In this connection, I'm happy to welcome Mr. Satish Sharma to our team as Senior President for Strategy and Business Development. He brings with him a rich experience of over 3 decades in the tire industry.

With this, I now move on to operational highlights.

For the quarter, our volumes stood at 76,343 metric tons, a growth of 5% year-on-year. For nine months, volume stood at 233,211 metric tons, a growth of 11% year-on-year.

Our standalone revenue for the quarter stood at INR2,571 crores, registering a growth of 11% year-on-year. This includes realized gain on foreign exchange pertaining to sales of INR31 crores. For nine months, standalone revenue stood at INR7,778 crores, registering a growth of Balkrishna Industries Limited

January 27, 2025

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16% year-on-year. This includes realized gains on foreign exchange pertaining to sales of INR111 crores.

For the nine months of financial year '25, approximately 43% of the sales came from Europe, 29% from India and 16% from Americas and the balance comes from rest of the world. In terms of channel contribution, roughly 73% was contributed from replacement segment, while OEM contributed to about 25% and the balance came from offtake. In terms of category, agriculture contributed to 59%. OTR, industrial, construction contributed to 38%, and the balance came from other segments.

The standalone EBITDA for the quarter was at INR639 crores, registering a growth of 9% year-on-year. The margin came at 24.8%. For nine months, the standalone EBITDA was at INR1,979 crores, registering a growth of 22% year-on-year. The margin for nine months stood at 25.4%. Other income stood for the quarter at INR24 c

rores, while for nine months, it was INR211 crores.

Profit after tax for the quarter stood at INR439 crores registering a growth of 42%. For nine months, we have recorded INR1,266 crores, registering a growth of 32%.

Our capex for 9 months of this financial year were at approximately INR968 crores.

Our gross debt stood at INR3,045 crores at the end of 31st December '24. Our cash and cash equivalents were at INR2,942 crores. Accordingly, we have a net debt of approximately INR103 crores.

The Board of Directors has declared a third interim dividend of INR4 per equity share. This brings the total dividend for this financial year to INR12 per share, including the earlier 2 interim dividends.

With this, I conclude my opening remarks and leave the floor open for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Sir, my first question is slightly more color, if you can give, on the demand outlook across regions. We do see that Europe mix has come down further, implying that it probably has declined in the quarter. So any signs you are seeing there in terms of recovery? By when can we

expect growth to sort of come back there?

And second is, similarly, if you look at the other regions, for example, especially the rest of the world, we have seen a very strong growth in that segment. So some color there, which country is probably driving this and how to think about the outlook here?

Rajiv Poddar: So as I mentioned in my opening scenario, the market scenario continues to remain challenging. And as you have noticed, yes, rightly that Europe has been very challenging, and you are seeing the impact of that. However, Americas has grown and India has grown. So these are the two areas which we have been earlier mentioning in our quarterly calls that these are the areas of concern and focus for us, and you're seeing the response in those two areas.

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Siddhartha Bera: And any color on the rest of the world, sir, which country is probably driving that and how sustainable the growth there is? Any one-offs otherwise?

Rajiv Poddar: So I think it's sustainable in those regions, and that is all part of our overall branding and investments that we have done across the globe, which is now coming into play.

Siddhartha Bera: Got it. Second, sir, is on the OE side as well, while globally, we have seen companies talking about channel destocking and weak demand, our OE volumes have grown. So any particular sort of company where we have gained market share? Or do you think this segment also can see some softness going ahead? So some color there?

Rajiv Poddar: No, I think OE was something that we've been focusing on, and that's why it is there, but there is no substantial increase of a player or market share. It's just a general business which is growing.

Siddhartha Bera: Okay. And what about the channel inventory levels now, have they gone down even further? What are the levels? And how should we think about the ramp-up there?

Rajiv Poddar: It is at same levels. So I think everybody is waiting and watching what happens on the geopolitical scenarios, what happens on the shipping times and price cost, both. So I think there is a lot of wait-and-watch scenario for us to comment on that.

Moderator: The next question is from Raghunandhan N. L. from Nuvama.

Raghunandhan N. L.: Sir, firstly, compared to the company expectation of marginal growth in FY '25, we have done very well. YTD growth for us is at 11%. As you indicated, brand investments have supported growth. One clarification, in opening remarks, did you indicate marginal growth for Q4 FY '25 or full year FY '25?

Rajiv Poddar: Full year. I repeat my statement, we are confident and hold on to our forecast of achieving minor sales volume growth in the whole financial year '25.

ncial year '25.

Raghunandhan N. L.: Understood, sir. So you still hold that concern on the challenging environment, as you highlighted even for the answer in the previous participant.

Rajiv Poddar: Yes.

Raghunandhan N. L.: Secondly, on the cost side to Mr. Bajaj. Sir, if you can indicate on the Q3, how much was the impact of raw material cost? And what are your expectation for Q4? Another cost item, freight cost seems to have reduced in Q3. What is the expectation here for Q4?

Madhusudan Bajaj: So on raw material, we indicated that the price is going up for 100 to 200 basis points, it should impact the margins. But the major impact of that cost will be coming in the coming quarter because of the lag of the shipping time, material comes in this quarter. So that 100 to 200 bps cost is likely to go up in the next quarter. And coming forward, the raw material prices are stable.

Raghunandhan N. L.: Understood. And on the freight, sir?

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Madhusudan Bajaj: Freight cost, whatever has been reduced that we have indicated in last time, now it is on the stable.

Raghunandhan N. L.: On the freight side. Got it, sir.

Moderator: The next question is from Mumuksh Mandlesha from Anand Rathi.

Mumuksh Mandlesha: Sir, in Europe, particularly, can you speak how has been the growth for the agri and the OEM segment, sir? And sir, in the near term, considering the base of Q4 last year, do you see Q4 being flatish? Or do you see some growth in Q4 also, sir?

Rajiv Poddar: So I can't comment on individual breakup of Europe at the moment. I don't have the numbers.

Regarding the upcoming quarter, as I said, the market scenario continues to be challenging. And hence, I would not like to comment on this quarter. But for the whole year, we are confident of achieving minor sales volume growth for this financial year. So we are quite confident of that.

Mumuksh Mandlesha: Got it, sir. Sir, in this quarter, the freight costs have come down. Is there any freight surcharge

also being changed, sir? Has the freight surcharge also been coming down along with the freight cost, sir?

Rajiv Poddar: -Yes, and the freight cost has been coming down.

Mumuksh Mandlesha: Okay. So the benefit is coming to our numbers?

Rajiv Poddar: Yes.

Mumuksh Mandlesha: Okay. And sir, this quarter, the employee cost has increased by 10% QoQ. Any reason for the increase, sir?

Rajiv Poddar: So yes, as we mentioned, the capex is done, which has come into play. So that has an added impact on the employee cost.

Mumuksh Mandlesha: Got it, sir. And lastly, sir, what was the euro-INR rate for the Q3 quarter? And what is expected ahead, sir?

Madhusudan Bajaj: So it was Rs 91 for the last quarter and the whole of the year. And for the balance period, we expect Rs 92 to Rs 93.

Moderator: Next question is from Pramod Amthe from InCred Equities.

Pramod Amthe: Sir, first question is, do you see any opportunity to expand into domestic tire sub segments?

Rajiv Poddar: Not at this stage.

Pramod Amthe: Okay. And in that context, the new hirings which are made both in the strategy and in the R&D, how do they fit in?

Rajiv Poddar: So that has nothing to do with this. So R&D, it's an ongoing business call. And for the new hiring strategy is, as I mentioned, is towards achieving our vision in off-highway.

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Pramod Amthe: Okay. And sir, this is with regard to the carbon black project, what is to be expected in terms of tonnage or sales contribution for FY '26, the new carbon project? And will it be day one EBITDA neutral or how to look at it?

Madhusudan Bajaj: So the specialty carbon business is very less, 30,000 tons, and it is initially there -sSamples are being given and tested. So it will take time to ramp up.

Pramod Amthe: Okay. And anything on the profitability side?

Madhusudan Bajaj: Probably it will be at

par with the industry, maybe slightly better.

Pramod Amthe: Okay. And so in that sense, it will be still below the corporate average? Is that the fair assumption?

Madhusudan Bajaj: Can be.

Moderator: The next question is from Abhishek Jain from AlfAccurate Advisors.

Abhishek Jain: Congrats on a decent set of numbers. Sir, in the US market, we have seen a very impressive growth in this quarter. So just wanted to understand, what is the outlook? Is there any concern on the tariff side in the US? And what is the current structure of the tariff?

Rajiv Poddar: So too early to comment. We'll have to wait and watch what comes, then only we can comment. Otherwise, at the moment, we can't comment what he will do.

Abhishek Jain: And what is the current structure?

Rajiv Poddar: What is the current?

Abhishek Jain: Structure of the tariff in the US from Indian tariff?

Rajiv Poddar: There is no tariff.

Abhishek Jain: Okay. And sir, how much percentage of the volume comes from the Mexico and Canada in overall US volume?

Rajiv Poddar: I don't have the breakup of geography, so I can't share that breakup a little bit of Americas, which I have shared.

Moderator: The next question is from Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi: Yes. So did we take any price hike in Q3?

Rajiv Poddar: No.

Jinesh Gandhi: Any price hikes in fourth quarter so far, in January so far?

Rajiv Poddar: No.

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Jinesh Gandhi: No, okay. Second question pertains to the advanced carbon black 30,000 ton capacity. So what could be the peak revenue potential from this plant? And should we expect that to play out in FY '26 or it will take a little longer to ramp it up?

Madhusudan Bajaj: It may take a little more time also and difficult to make out currently because there are many products, so which product will be developed fast. So price depends on product to product. So maybe two quarters later, we will be able to give you the projections.

Jinesh Gandhi: Got it.. And lastly, any sense on what should be the capex for FY '26 or we'll have to wait for finalize it?

Rajiv Poddar: At the moment, we have got that first phase of the 35,000 metric ton of OTR range of tires, which is ongoing. So at the moment, only that is lined up.

Moderator: Next question is from Abhinav G. from SBI Pension Funds.

Abhinav G.: Just wanted some clarification on two things. First is on the ROW market, if you can just mention geographically which countries are these? And also on your channel side, when you say others, are we talking about mining tires? Or what is that, if you can just clarify?

Rajiv Poddar: On the ROW, it is everything apart from Europe, Americas and India. So it is Africa, Middle East, Asia, Australia and New Zealand. So I mean, geography, that is what is covered. On the others, mining is coming under OTR set of tires. But it is your smaller golf carts and ATVs and all of that. So that is all what is -- I mean, some other solids and all which are there, which contribute in that.

Abhinav G.: Okay. So that is quite clear. One more thing, just wanted to understand, now this on the European deforest regulations, last time we had mentioned that, that has got postponed by 1 year. So are we getting any clarity that it will get applicable Q3 next year? Or is this still work in progress?

And do we see any channel fill-in before these regulations kick in? What's the take there?

Rajiv Poddar: It is not in Q3. It is deferred to 1st Jan of next year. But apart from that, there is no further update on that.

Moderator: Next question is from Ravi Gupta from InCred Equities.

Ravi Gupta: So as Trump elected in the USA and the recession fears for the USA. has been eased, also the concern over geopolitical tension also eased, does this give you confidence to achieve double-digit volume in FY '26 as we have done in this nine months?

Rajiv Poddar: I think it's too early. Let thin

gs start rolling out. We are hopeful and we are ready, as I mentioned earlier also, we have production capacity. We are doing all our investments. We are developing products. We are focusing on everything that we can do. As soon as the scenarios improve, we will be able to do. But we are fingers crossed and we are hopeful, everybody prays for things to improve. So let's see. But it's too early what happens in the market scenario, where things get resolved, no other geopolitical scenario should turn up. So it's too early to comment.

Moderator: Next question is from Ajox Frederick from Sundaram Mutual Fund.

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Ajox Frederick: Sir, my question is on rest of the world. We seem to be doing very well quarter-on-quarter. So can you help me understand what exactly is driving this? And you mentioned that it is sustainable as well. So which country is driving it or some more color, basically, on the rest of the world?

Rajiv Poddar: I mean it's very difficult to give a breakup of a particular country. It's all over. I mean, as I mentioned, there's a product profile which helped us get these numbers. There is the brand investments which are going on across the globe, we've always mentioned that, that will play up and help us be recognized, which is coming in.

So these are the things. It's very difficult to say A country or B country or C country, it's all over. It's a mix of geographies in the rest of the world which has come. We've always mentioned about Americas being an area of focus for us, and you're seeing the changes. We mentioned India is an area of focus. The branding, because we are based in India, is more visible to all of you. So that is helping us get recognition.

All these countries, the base is also lower than in Europe. So that is also helping see the numbers in percentage go up.

Ajox Frederick: Understood, sir. So your branding budget for rest of the world has increased phenomenal versus the others?

Rajiv Poddar: No, no, no. It is what we have always had the same branding. But it takes a few years for it to start getting recognized.

Ajox Frederick: Okay., sir. Got it. And sir, secondly, on the overall outlook, you mentioned the marginal growth. But right now, we are running at very strong rates, right? So I mean, again, except for Europe, others are also doing well. So where is this concern coming from for the year?

Rajiv Poddar: So as you can see, our largest geography yet continues to be Europe. And the concern is from Europe, how that will play out.

Moderator: Next question is from Viraj from SiMPL.

Viraj: Just two questions. First, and I think you made a commentary on the OE demand in Europe and the rest of the markets, North America, I missed that. Can you just give some perspective what else that you're reading in terms of OE demand in Ag and the mining, construction space? That is one. And second, the concern for Europe, can you just elaborate more in terms of what are the dynamics playing out there?

Rajiv Poddar: So if I've understood your question correctly, you're asking me for what is my breakup. So I'll

repeat my commentary. For the nine months, 43% of sales has come from Europe, 29% has come from India, 16% has come from Americas and balance has come from rest of the world. In terms of channel contribution was your second question. So 73% came from replacement segment, 25% came from OE and the balance came from offtake.

Viraj: No, sir. Actually, I was asking what is the OE demand trends you're seeing currently across major markets, Europe and North America? That is the first question.

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Rajiv Poddar: Stable and flattish.

Viraj: So going forward, what is the communication you're giving both in the aftermarket and the OE demand in major markets, North America, Europe, in both agriculture and construction, mining segm

ents?

Rajiv Poddar: As I said in my opening commentary, the market scenario continues to be challenging. We are hoping that same thing. So we are also waiting and watching to comment on anything in the future.

However, that said, we are confident to hold to our forecast that we have made at the start of the year of achieving minor sales volume growth in this financial year.

Viraj: And in terms of the whole supply chain lead times being longer because of the Red Sea, given that, that is now easing, do you see any issues in terms of higher inventory levels or any of that?

Because the last few months, we've also seen a lot of higher order placement from the channel.

So do you see any of those issues surfacing again?

Rajiv Poddar: No, not at this stage.

Moderator: Next question is from Ganesh Nagarsekar from Bharat Bet Research.

Ganesh Nagarsekar: So my question was regarding our Americas demand. So broadly, you said you've been seeing some improvement there. So could you kind of highlight the top 2 drivers for that? And going into the next few quarters, do you see that trend continuing? Or what's your kind of visibility into that?

Rajiv Poddar: So the top two drivers has been the focus that we've been doing over the years in terms of product for Americas, in terms of infrastructure for Americas. So that is now kicking in. Going forward, we are quite hopeful that this should stabilize and continue to grow over there. I mean the American market should stabilize, and we should see some growth from whole of America.

Ganesh Nagarsekar: Understood. And just one second question. So on capex for the year, I think we had guided INR800 crores to INR1,000 crores. And I think nine months, we are at INR970 crores. So broadly for the year, what is the kind of spend that we're looking at? And for next year, if you could kind of provide some guidance as such?

Rajiv Poddar: Roughly about between INR1,100 crores and INR1,200 crores for next year.

Moderator: Next question is from Ankit Kanodia from Smart Sync Services.

Ankit Kanodia: Most of my questions have been answered. Sir, I just had one question. What I mean is that over the last 3 and 3.5 years, our stock price has almost been plateaued. We are at the same level.

And from a business perspective, from peaking the volumes in FY '23, the volumes came down, and now we are slowly seeing the volumes inching up. And given that the strong cash flows we have, the kind of cash we have on books and the high dividend payout, at the Board level, do we also discuss about a possible buyback at some point of time?

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Rajiv Poddar: No, not at this stage.

Ankit Kanodia: Any reason you would want to share why you are not looking at...

Rajiv Poddar: We are constantly investing in the capex and the growth of the company, whether it is in terms of promotion, in terms of product mix, in terms of setting up new capacities, so which will continue. So we will use the money for those purposes.

Moderator: Next question is from Sonal Gupta from HSBC Mutual Fund.

Sonal Gupta: Just overall on the European market side, could you give us a sense of like on a calendar year, say, CY '24 versus '23, what sort of a decline would you have seen in the market on the underlying basis?

Rajiv Poddar: Minor degrowth is there. I don't have the exact numbers, but it is a very minor degrowth, what I recollect.

Sonal Gupta: Okay.. And in terms of channel inventory also, I mean, is it above normal? Or where do you see it currently?

Rajiv Poddar: It is at normal levels.

Sonal Gupta: Normal levels. And just lastly, on the India side, I mean like we continue to do extremely well in India. So I mean like in the markets that we are catering to, I mean, roughly, what sort of market share would we now have in India?

Rajiv Poddar: So overall in both the off-highway would be similar to international levels of 6% to 7%. Agri

would be closer to 10%, and the others are growing up. So approximately 6% to 7%, I would say, for the whole off-highway business.

Sonal Gupta: Got it. So off-highway and agri, what is the others? Sorry, which are the segments you're looking at?

Rajiv Poddar: So industrial, construction, mining is there in the off-highway business. So those sectors is lower. Agri is at 10%, and those sectors would be between 3% and 4%. But cumulatively, in the whole Indian market, we would be at about 6% roughly, between 6% and 7%, but closer to 6%.

Moderator: The next question is from Lokesh Manik from Vallum Capital.

Lokesh Manik: My question was in 2015, India, we were doing sales volume of about 20,000 tons, 25,000 tons, and we've been able to scale that successfully today to about 80,000 tons, 90,000 tons. 3 to 5 years down the line, do you see the same trajectory for rest of the world or for US, whichever your focus area is?

Rajiv Poddar: For Americas, for sure, we are focusing, and we believe there is tremendous area of growth which will continue. Rest of the world, we are looking at it geography by geography. So it will be difficult to give you a generic answer for that.

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Lokesh Manik: Would it be fair to understand US would be implemented first and then rest of the world would follow after 5 years?

Rajiv Poddar: Both are going to happen simultaneously. It's not that we'll do this first and that second. Both are going to happen simultaneously.

Lokesh Manik: But 5 years, you see the market for 80,000 tons for each of these geographies for BKT? 5 years down the line, yes, US and rest of the world.

Rajiv Poddar: Rest of the world, we'll have to club it up separately. I mean we can't give you a clubbed answer because so many geographies put together. If any one particular geography becomes big, then we will separate that out into another one and leave the rest of the world separate.

Lokesh Manik: Fair enough. Just a corollary to that, within the rest of the world, do you see any market having that size potential like India or US in your view?

Rajiv Poddar: Yes. I mean Asia has, Australia has, also Africa. There are all the geographies have, so it's very difficult to say this one or that one. But all the geographies have, but it's just where we are working on all, so which one reacts faster is what we can do.

Moderator: Next question is from Chirag from Keynote Capitals.

Chirag: Most of my questions are answered. Just a couple of them. One is that, sir, what is our revenue for 9M from carbon black?

Madhusudan Bajaj: Approximately 9%. Less than 10%.

Chirag: Okay. And secondly, just wanted to know, currently from the advanced carbon black, we are targeting three industries, right, plastic, ink and paint. Any thoughts of getting into -- or the carbon black that we are going to manufacture, are there any usage of this product into lithium-ion batteries?

Rajiv Poddar: Not yet.

Moderator: We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Rajiv Poddar: Thank you once again to everybody for your time, and we look forward to meeting you in the next quarter. Thank you.

Moderator: Thank you very much. On behalf of Balkrishna Industries, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: May 2025

Balkrishna Industries Ltd.

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BIL/SE/2025-2026 30th May, 2025

To,
BSE Limited, National Stock Exchange of India Ltd,
Phiroze Jeejeebhoy Towers, 5th Floor, Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001. Bandra (E), Mumbai 400 051.

Scrip Code: 502355 (Equity)

Scrip Code : 973556 (Debt) Trading Symbol: BALKRISIND

Dear Sir/Madam,

Subject: Transcript of Conference call with Investors/Analysts conducted on 24th May, 2025 to discuss the Q4 & FY25 Results.

In continuation of our letter dated 19th May, 2025 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/Analysts related to Q4 & FY25 Results of the Company held on 24th May, 2025. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/www/us/investors-desk>.

You are requested to kindly take the above information on record and disseminate.

Thanking you,

Yours faithfully,
For Balkrishna Industries Limited

Vipul Shah
Director & Company Secretary
and Compliance Officer
DIN: 05199526

Encl: As Above
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"Balkrishna Industries Limited
Q4 & FY '25 Earnings Conference Call"
May 24, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 24 May 2025 will prevail.

MANAGEMENT : MR. RAJIV PODDAR – JOINT MANAGING DIRECTOR
MR. MADHUSUDAN BAJAJ – SENIOR PRESIDENT &
DIRECTOR (COMMERCIAL) & CHIEF FINANCIAL
OFFICER
MR. RAVI JOSHI – DEPUTY CHIEF FINANCIAL OFFICER
MR. SATISH SHARMA - SENIOR PRESIDENT &
DIRECTOR - BUSINESS DEVELOPMENT & STRATEGY
MR. SUSHIL MISHRA – HEAD, ACCOUNTS
SGA - INVESTOR RELATIONS ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Balkrishna Industries Limited Q4 and FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company on date of this call, these statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Rajiv Poddar, Joint Managing Director. Thank you and over to you, sir.

Rajiv Poddar: Good morning. Thank you for that. Thank you to everyone for coming on this call today and being here. I am joined along with Mr. Bajaj, Senior President & Director (Commercial) & CFO; Mr. Satish Sharma, Senior President & Director - Business Development & Strategy; Mr. Ravi Joshi, Deputy CFO; Mr. Sushil Mishra, Head of Accounts; and SGA, our Investor Relations Advisor.

Let me first begin with an overview of our 5-year strategic plan. At BKT, we have set a clear and shared ambition to reach a revenue milestone of approximately INR23,000 crores by 2030. To achieve this, we are moving forward along with 3 levers of growth.

Lever 1, the OHT business: Here, we aim to achieve 70% contribution on the enhanced revenue by the financial year 2030.

Lever 2, carbon black: Here, we aim to achieve 10% contribution of enhanced revenue by the financial year 2030 from third-party sales.

And lever 3: We now plan to enter new tire categories for the Indian market. This should deliver around 20% of enhanced revenue by the financial year 2030. However, the major contribution of this will come in the back end of this journey.

I will now provide more details about all 3 levers individually.

Lever one, the off-highway tire business. We have achieved global leadership in agricultural tire sector, and we intend to reinforce this position across all geographies. At the same time, we are ready with a strong product portfolio in other sectors, that is, rubber tracks, mining, industrial and construction tires.

Our commercial entry into the rubber track segment has been well received and in response to growing demand, the Board of Directors has approved the expansion of our dedicated manufacturing facility for rubber tracks. This project is expected to commence production in the Balkrishna Industries Limited

May 24, 2025

second half of financial year '26 and will enhance both our product offering and market reach in the agriculture sector.

In the Mining segment, we are proud to say that we are the only Indian tire manufacturer to have developed the all-steel radial technology on our own, and we produce currently up to 57-inch. With full range in both bias and radial technology now in our portfolio, the global mining tire market offers us a clear runway for accelerated growth. Geographically, we maintained steady progress in Europe, while driving expansion across Americas, India and select high potential markets. Our current production capacity stands at 360,000 metric tons per annum. And with the already announced capex of 35,000 metric tons and some debottlenecking, we are ready to scale up this production to 425,000 metric tons per annum.

This gives us the capacity to target an 8% share of the overall market share globally. Any signs of improvement in the global macroeconomic and geopolitical environment will act as a catalyst for us to achieve the aspiration of 10% global

market share. However, reaching 10% continues

to remain our strategic goal to be pursued through modular carefully phased investments.

Lever 2, carbon black. Over the past 3 years, we have laid a solid foundation for our carbon black business. Our product is now well accepted by major OEMs in India and globally. We aim to position ourselves as a preferred and strategic tire supplier to the tire industry.

We also see significant revenue and margin potential in non-tire segments, including the advanced carbon black line of us, which has gone on stream last year. To capitalize on synergies with our tire operations and leverage energy and raw material integration, the Board of Directors has approved the expansion of our carbon black plant from 200,000 metric tons per annum to

360,000 metric tons per annum. Along with this, a 24 - megawatt cogeneration power plant will be added , taking the power capacity to 64 megawatt at Bhuj. This expansion is expected to be completed by early '26.

Lever 3, new tire verticals for India. India's economy is growing and so is the demand for all tire categories. Further, we also take inspiration from our own journey in the Indian OHT segment over the last 5 years. From a modest presence, we now hold over 15% share in the agricultural replacement market and have also established dominance in other OHT subsegments.

The brand investments that we have done in the Indian market over the last few years have further played a significant role in our success. Following the successful development of our all-steel radial platform, we believe we now have the right technological base to extend value to newer customer groups.

With this, we are planning a modular entry into the premium passenger car segment and commercial vehicle radial tire segment with the initial focus on the replacement market for India. The commercial vehicle radial tire pilot will launch in Q4 of financial year '25, '26, and then it will gradually be ramped up.

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The PCR tires pilot will follow in Q3 of financial year '26, '27, and then it will gradually ramp up.

By 2030, these new verticals are expected to contribute around 20% of our overall sales, leading to approximately 5% market share in India, allowing BKT to participate in non-OHT total addressable market of additional INR80,000 crores in India alone.

I now move to capital expenditure. To support these 3 levers, we have outlined a capex plan of INR3,500 crores to be spent over the next 3 years. Please note, this is to be funded mainly through internal accruals.

Let me now touch briefly on our competitive advantages.

Our carbon black plant is integrated to generate power, which is consumed directly by our tire facilities. It helps us mitigate one of the key cost components in tire manufacturing. Additionally, it also gives us control over one of the key raw materials in the tire manufacturing journey.

Second, we already own the land, have upstream equipment in place and also possess talent and systems required to scale up as we move in this journey.

Thirdly, our past investments in brand building in India will now generate greater value across our wider revenue base .

On the basis of the above stated competitive advantages, we expect blended margins post full commercialization to be in the range of 23% to 25%. This will allow us to grow our absolute EBITDA significantly.

On enhanced revenue, backed by our superior product mix and operational strength, we do not anticipate significant decline in ROCE once we achieve our full potential. I hope this has provided a clear and structured view of our strategic direction for the next 5 years.

Let me now give you financial highlights. Despite ongoing geopolitical tensions and global economic uncertainty, we have delivered strong performance. We achieved our highest ever annual sales revenue

driven by our global footprint and resilient business model. Volume growth exceeded expectations, highlighting the robustness of our business strategy and also a well-laid out execution plan by our team.

Looking ahead, we remain focused on strengthening our product lines and market presence. Any improvement in market conditions will act as a strong tailwind in this journey. For the quarter, our volume stood at 82,062 metric tons, similar to the same period last year.

For the full year, volumes stood at 315,273 metric tons, recording a growth of 8% year-on-year. Our stand-alone revenue for the quarter stood at INR2,838 crores, registering a growth of 5% year-on-year. This includes realized gain on foreign exchange pertaining to the sales of INR91 crores.

For the whole year, the stand-alone revenue stood at INR10,615 crores, registering a growth of 13% year-on-year. This includes realized gains on foreign exchange pertaining to the sales of

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INR202 crores. The stand-alone EBITDA for the quarter was at INR703 crores with a margin of 24.8%. For the whole year, the stand-alone EBITDA was at INR2,682 crores, registering a growth of 16% year-on-year basis.

The margin for the full year stood at 25.3%. Other income for the quarter stood at INR55 crores,

while for the full financial year '25, it was INR267 crores.

Profit after tax for the quarter was recorded at INR362 crores, down by 25%. This was primarily on the account of M2M loss to the tune of INR58 crores and higher financial costs compared to the same quarter last year. For the whole year, the financial year of '25, we have recorded INR1,628 crores, registering a growth of 13%.

For this financial year, our capex spend was INR1,500 crores. Our gross debt stood at INR3,212 crores at the end of 31st March '25. Our cash and cash equivalents were INR3,327 crores.

Accordingly, we have a net cash of INR115 crores approximately.

The Board of Directors has declared a final dividend of INR4 per equity share, subject to shareholder approval in the AGM. This brings the dividends to INR16 per share, including the earlier 3 interim dividends that were given.

I reiterate once again before ending that this vision is not just a destination, but we see it as a continuous journey of organic growth via modular expansions driven by long-term commitment to product and operational excellence, brand building and most importantly, stakeholder value creation. At BKT, we are focusing not on the near term, but for the next 25 years of business growth.

With this, I conclude my remarks and leave the floor open to Q&A.

Moderator: Thank you very much. The first question is from the line of Siddhartha Bera from Nomura. Please proceed.

Siddhartha Bera: Sir, first question again is on this new segments which we are planning to enter over the next 5 years. Some more clarity if you can share because these are quite competitive segments in terms of the number of players who are there, been operating here for quite some time and we probably being one of the quite late entrants now.

So what gives us the confidence of, probably, the right to win here? And how do you think in terms of the product or the brand, the sort of ramp-up will be here? I'm sure you need to maybe invest a lot more on network brand building as well. So some color there, how you think about some of the investments now as we enter these new segments going ahead?

Satish Sharma: This is Satish Sharma this side. Like you rightly said, nothing is ever easy, but our strategy is based on various principles that we have. The first and foremost is the way Rajiv explained that the way we have entered and demonstrated success in the agriculture and other segments of off-highway in the Indian market over the last 5 years is very much evidenced in the kind of things that we can do in the market. And in

dia is a growing economy.

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The other thing is that our all-steel radial technology in off-highway also lends itself very strongly to our entry into the truck bus radial market in India, which is the commercial vehicle segment, given the fact that the Indian economy is growing at 6.5%, there is a growth in all these categories. Given our business model and our demonstrated success, we do believe that we can create a difference in the Indian market, and we are fairly confident about doing that.

Siddhartha Bera: Got it, sir. On the investments, like I was checking, we do spend around 5% every year to sort of improve the brand visibility in both India and global markets. So now with this new foray, do you think that also changes because you need to maybe reach out more to -- and we are targeting the replacement segment.

So we maybe need to reach out more to the consumers in India. and on the network also. So do you think the re will also be some change to the investment plans you have over the next few years in these areas?

Rajiv Poddar: No, we see ourselves maintaining the level. And you'll see the benefit towards the end of this 5-year journey, you will see a cumulative benefit coming in. And as the enhanced turnover starts getting -- we start reaching it, you'll see the spends in percentage terms come down. So the benefit once it is reaped, you will see it come down.

Siddhartha Bera: Got it, sir. Lastly, sir, on this capex spend of INR3,500 crores, possible to break up how much you are planning for each segment? And what does it mean for our capex spend for FY '26?

Rajiv Poddar: No, we don't have -- I mean, we are not ready with the breakup since the budget has just been approved to be spent by the Board of Directors over the next 3 years. Now we will work out in more detail.

Siddhartha Bera: But sir, for FY '26, how much should we assume? Any color there?

Rajiv Poddar: About INR1,000 crores to INR1,500 crores.

Moderator: The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management.

Arjun Khanna: Sir, just continuing with the previous participant's question. So when you say pilot plants of PCR and TBR, what capacities are we talking about for the pilot plant? And b, in terms of selling the output, are we just looking at the domestic market, or are we potentially looking at exporting and tying up with OEMs abroad?

Satish Sharma : Yes. So I was saying that the truck bus radial tires, we are going to come from our existing already announced mining TBR capacity in the earlier times. So that will allow us an early entry in the truck bus radial market.

And as far as car radial is concerned, it's going to be a little later in the time horizon. The entry is in the domestic market only and in a phased manner. So the capacity planning, etcetera, is still being worked on.

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Arjun Khanna: Sure. So there is no capacity also let us know at this point in time for both of the segments?

Rajiv Poddar: No. As we said, we are working on that, and we don't have that breakup.

Arjun Khanna: Right. Sir, the second question is just moving to the core business currently. Is there any guidance you could provide us with for FY '26 in terms of volume given that we are starting the year? And secondly, in terms of the specialty carbon black, could you help us with how that trending is given that it would have come on stream during FY '25?

Rajiv Poddar: So regarding the core business of ours, the off-highway, we cannot give any guidance on the current global scenario because it's very volatile with the trade wars going on in one part of the world, geopolitical wars going on in the other parts of the world. So we cannot give you any visibility on that. As far as the carbon black specialty is concerned, I'll give it

to Mr. Bajaj.

Madhusudan Bajaj: So carbon specialty business started only in September last year. So only trials are going on. It will take some time to take the business forward.

Arjun Khanna: Sure. And do we see what would be the outlook for FY '26? Would we see peak utilization in '27?

Rajiv Poddar: For the advanced carbon black?

Madhusudan Bajaj: No. Are you asking for new capacity or advanced carbon?

Arjun Khanna: For the specialty carbon black sir?

Madhusudan Bajaj: '27, yes, we should see some utilization will be there.

Moderator: The next question is from the line of Basudeb Banerjee from CLSA. Please proceed.

Basudeb Banerjee: A couple of questions. This kind of tariff uncertainty scenario and geopolitical aspect which you highlighted, so what is the inventory situation in your end distribution? Has there been any prebuying before hearing the tariff as such? So, how do you look at this wholesale number from an inventory perspective?

Rajiv Poddar: So inventory at our distributor level is stable at the level that we wanted to -- desired level, so it's stable.

Basudeb Banerjee: Okay. That's perfect. And second thing, sir, as you rightly said, domestic OHT tire market being around INR80,000 crores and your desired revenue of INR4,300 crores is 5%. But by FY '30, this INR80,000 crores might move up to INR1 lakh crore plus and then the market share after FY '30 at your initial investment is going to be sub 4%. So do you think that at such a marginal presence, it will help you to derive industry competitive profitability as such from that angle?

Satish Sharma : So like Rajiv has already explained that we derive a fair amount of competitive advantages, in the way that we plan to enter the market. And we see that playing out for us. Regarding the marginal presence that you mentioned, our plan will continuously evolve given the -- and we will base it on the response that we get from the market. And we are hoping that we'll get a

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strong response. And if that plays out the way we envisaged, we will keep evolving our own plan to enter the market.

Basudeb Banerjee: That's great. And last quick question, Rajiv sir, or Bajaj, this new project, which you said INR3,500 crores combined capex and existing business capex of INR1,000 crores to INR1,500 crores, then would it be right to assume INR2,500 crores kind of capex in '26, '27, '28 each year?

Madhusudan Bajaj : 3 years, INR3,500 crores we envisage will be spent.

Basudeb Banerjee: That is for the new projects and existing OHT business, maintenance and growth capex that...

Madhusudan Bajaj : Yes. That will be separate.

Basudeb Banerjee: So combined capex per year can be INR2,500 crores?

Rajiv Poddar: It will be between INR1,500 crores and INR1,800 crores at a peak because those capex may also come down once you've already done those capex. So it won't be continued in the OHT business so much.

Basudeb Banerjee: Okay. So largely the new project capex will be more towards FY '28 to '30 and not '26 to '27. And by that time the OHT capex will slow down?

Rajiv Poddar: It will be '26 and '27 and then you will start reaping the benefits of it in '28 to '30.

Moderator: The next question is from the line of Pramod Amthe from InCred Equities.

Pramod Amthe: First of all, I wanted to understand what criteria did you use other than your expertise in the normal radial technology to expand the new segment. The reason to ask is, are there any financial ROCE parameters used? Or why didn't you try to enter 2-wheelers, which might be relevant considering the rural penetration for 2-wheelers?

Rajiv Poddar: So we've used a mix of a lot of -- I mean, there are a lot of parameters which go behind the scene to make decision and convince the Board. But that was all for internally to be used to convince the Board. And now that they have given those

clearance, we are going ahead with our project.

It may not be possible for us to explain all the decisions at points that we were looking at to convince our Board. But lot of parameters were definitely looked into.

Pramod Amthe: And any reason to keep the 2-wheeler tires out or you may look at it at a later stage?

Satish Sharma : We are already present in 2-wheelers, albeit in a very small way, and we hope to grow that business as well.

Pramod Amthe: So my question is more like the new segments which you are entering, there seems to be a continuous process -driven tire production versus the existing one where you specialize into a batch production for OHT or farm tires. So what type of manufacturing expertise you need and what we need to as investors watch out in terms of scrap or efficiency of the existing plants to bring in?

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Satish Sharma : So firstly, you're very right in your observation, my compliments to you. So from our existing manufacturing, there are -- obviously, we'll draw synergies and capabilities, which are also needed in the business that we are getting into. At the same time, we have to develop new capabilities. So we are pretty much ready to deliver what it takes in adding the new capabilities which are needed.

But at the same time, we are going to be enormously helped by the existing capabilities. After all, it's a tire manufacturing process, which is not very different, though the nature of businesses as you pointed out is different. So it's a mixed bag there.

Pramod Amthe: Sure. Thanks for the detailed answer. If I can ask one more question. You guys have been smart enough to identify niches between the tires and command the market share or the profitability.

Do you see such opportunities within the broader truck tire space or within the car tire space, which exist which you can exploit over a period of next 3, 4 years?

Satish Sharma : Thanks for complementing us on the strength that you have identified. We do hope to carry this strength forward.

Rajiv Poddar: And just to add on to that, we are looking at such niches and that's why we are confident that despite entering competitive segments, our overall -- at peak, once we achieve full expansion and revenue, our EBITDA margins may not be diluted that much because we are going to focus on premium niches within these sectors. So we are not going to be catering at generic levels. We will continue our specialized approach that is what has brought us to this level will be continued in that. So that's why we are confident of our EBITDA margins and ROCE being at the levels where they are currently.

Pramod Amthe: Sure. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Raghunandan from Nuvama Research. Please proceed.

Raghunandan : Thank you, sir for the opportunity. Firstly, on the point which you highlighted that the focus will be on premium niches. Can you elaborate more on the target segments within the PCR, would you be focusing on certain diameter and above? And within the TBR, what would be the focus areas for you?

Rajiv Poddar: Let us work on it. We would not like to diverge this information at this moment, but as and when things play out, we'll definitely keep everybody aware of what we are doing, but not at this stage.

Raghunandan: Got it, sir. And I understand that out of INR3,500 crores, the exact breakup plans everything are yet to be finalized. Not asking for the near-term number, but by 2030 you are working with about, say INR4,600 crores of revenue target, which would mean that even if I assume a 1.5x gross asset turnover, a minimum capex of INR3,000 crores would be required. Would that be a fair way to think about the long-term capex requirement?

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Rajiv Poddar: Roughly, yes by rule of thumb. Roughly, but

t with that we have to remove the -- some of the synergies that are already there. As I mentioned, we have the land, we have some upscale equipment. So you can remove that and reduce that cost, which will be accommodated in the OHT and carbon business. That's why we are quite confident that with this spend of INR3,500 crores, we should be able to hit our expected revenue of INR23,000 crores.

Raghunandan: Understood. So with this INR3,500 crores, we should be ready to achieve the target of that 30% revenue from both carbon black and 20% revenue from TBR and PCR?

Rajiv Poddar: Yes.

Raghunandan: Got it. Sir, on the U.S. tariff which you alluded to, currently would you be incurring 10% base tariff for current exports to U.S.? And is this passed on to customers or are you absorbing the impact?

Ravi Joshi : So it is being partly split between us and the customers.

Raghunandan: Got it. So currently, I mean, the earlier tariff was, say, 2.5% to 3% and now it has gone to 10%. So that delta of, say, 7% you are saying is partly being passed on and partly being absorbed. Would that be right?

Ravi Joshi : So the tariff is over and above whatever was there existing. So 10% is being split between us and the customer.

Raghunandan : Got it, sir. And very near term, can you indicate your expectation for commodity cost for Q1 and freight expectation, whether you expect any benefit on gross margin?

Madhusudan Bajaj : Okay. So freight is almost stable and raw material prices are coming slight down. So maybe some benefit we will see in the next quarter.

Raghunandan: Can you quantify, sir, would it be like 2%, 3% benefit on a Q -on-Q basis, Q1 versus Q4?

Madhusudan Bajaj : About approximately 1%.

Raghunandan: Got it, sir. And lastly, can you share the hedge rate for FY '26?

Ravi Joshi : We don't have handy number as of now. We'll circle back with you.

Raghunandan: Thank you so much, sir. Wishing you all the best on all the new plants.

Moderator: Thank you. The next question is from the line of Lokesh from Vallum Capital. Please go ahead.

Lokesh: Yes, hi. Good morning to Rajiv and team. My first question was on the margins. If we see the peers in the Indian market, they enjoy somewhere around 12% on an average cycle adjusted EBITDA margins. So just briefly what gives you the confidence that margins will not be dilutive? I mean you're talking about a double jump when you say 23% to 25%, you'll be able to maintain your long -term average within these segments. So it's a big jump. So just trying to understand?

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Rajiv Poddar: So firstly, let me clarify. In the next 2 years, operational financial years, there will be no dilution because our new business will not come on stream. One, as I mentioned that revenue and the sales will come towards the back end of this. Secondly, it will be a very small component of my overall business. It is going to be rather small. It's going to -- 70% of my revenue comes from the OHT part of the business.

And thirdly, as I mentioned earlier, we are going to focus on premium niches and not at a very mass level and generic sort of commodity business within those segments also. So all these three put together and certain competitive advantages that we enjoy, all of that put together, we are quite confident along with my team to be able to maintain our blended margin. So we are not talking about individual margin of new vertical or carbon or OHT. We are talking about a blended margin to be maintained at these levels.

Lokesh: Right. Fair enough. Rajiv, second question was on the rubber track. If you can just throw some light on some more details on what these applications are and where they're going, And just a follow -up to that is in the -- with your new strategy to enter new tires in India, are you targeting replication of your distribution network as in your current distribution network is also being in OHT and are they also present in TBR and PCR, which is giving you the confidence to scale?

Rajiv Poddar: So regarding the rubber tracks, as you are aware that we had started our pilot project earlier and we've got good response, good feedback from our products. And with that success, we are now looking to expand it. We are going to be catering to agricultural tracks as well as construction and industrial tracks. This completes the whole gamut of applications in the rubber track segment.

As far as the distribution network for the new verticals, we are yet working on it. We have just got our approval now and we will start working. So it's too early to comment on what kind of a network we will use and all. But yes, we have a lot of in -house strength and knowledge about the route that we need to take, but we are going to start putting it into action, and we will come back with more details as and when it plays out in the marketplace.

Lokesh: Just last clarification. Rubber track will be domestic and export, both?

Rajiv Poddar: Yes. All of our OHT line is going to be for global market, including India. It is just the new

verticals, which are going to be pertaining to Indian market.

Lokesh: So that should take you to the 8% conservative market share and the 10% if the macros in your favor?

Rajiv Poddar: Yes. So yes, absolutely, you're correct. So you've actually taken the words out what I was going to tell you that we are currently at 6% and we are seeing the business growing to about 8%.

However, as I mentioned, our global vision yet remains our ambition remains to be 10%. Please note that we are under a slow-moving economy. There are wars happening, there are trade wars happening. Uncertain times are there. So that is why we are looking at it very conservatively.

In case anything changes and there's a catalyst, we are absolutely ready to pounce on that opportunity and go back to our original vision of 10%. So that yet remains our ambition at BKT.

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Lokesh: Fair enough. That's it from my side. All the very best. Thank you so much.

Moderator: Thank you. The next question is from the line of Sonal Gupta from HSBC Mutual Fund. Please proceed.

Sonal Gupta: Hi, good morning and thanks for taking my question Sir, just like you've announced this plan on premium PCR, etcetera. So premium, I mean, like are we talking about price positioning or are we talking that we'll be in the 16-inch and above sort of category, that's the target?

Rajiv Poddar: As I mentioned earlier, it's too early to give out these details. As and when we have executed our plans, we will share those details, but it's too early to share that at the moment.

Sonal Gupta: And I mean related to that, right, like would we need any sort of technological tie-ups here?

Rajiv Poddar: No. So far as BKT we have done more complicated stuff like the mining tires, radial technology, as I mentioned in my opening comments. So we do not envisage a requirement for any tie-up.

We are quite confident of our in-house capability.

Sonal Gupta: Got it. And could you give me what is the revenue from carbon black for FY25?

Rajiv Poddar: It is roughly about 8% to 9%.

Sonal Gupta: 8%. I mean, like over the medium term, just trying to get like is your understanding now that on the OHT side, we'll sort of be able to grow at about 10% odd. And then, given that the cash flows we're generating, we can invest in these new areas to speed up our growth. Is that the thought process?

Rajiv A. Poddar: Yes.

Sonal Gupta: Okay. Got it, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Amar Kant Gaur from Axis Capital. Please proceed.

Amar Kant Gaur: Hi, good morning everybody. Thanks for taking my question. I had two-pronged questions. One is if you could maybe elaborate a little bit more on

maybe lowering your market share target?

And maybe throw some light on how has that market share trended over the last 3 to 4 years?

Rajiv Poddar: We have not lowered any target. Sorry, your voice...

Amar Kant Gaur: In the near term.

Rajiv Poddar: Yes. Sorry, your voice was muffled. We couldn't pick that up.

Amar Kant Gaur: Yes. So maybe you can throw some light on how has our market share trended over the last maybe 5, 6, 8 years and from that, maybe build upon what now we are looking at maybe 8%

kind of market share versus 10% that we had earlier?

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Rajiv Poddar: So over the last few years, we have constantly been taking market share. We have grown from modest levels of 2% to 3%. And for a long time, we were at about 4% to 5% and now we are at about 6%. So that's of the global OHT market segment and as I mentioned earlier, that we are - currently under the current geopolitical and uncertain economic times, we are envisaging it to grow to 8% market share globally.

In case if there is any improvement from here, we are ready to go back to our vision of 10%, which is our dream and ambition. In case that can be speed up or hastened up, we will not leave an opportunity to bounce on that. But we are conservatively saying that by 2030, we now see it to be 8%. So anything from here will be an improvement in the conditions, which will only help us improve our vision to get to 10%. So that yet remains our strategic goal.

Amar Kant Gaur: Okay. Thanks for that. My next question is on the new lines of business that we are building in.

And you talked about maybe the new businesses not being very ROCE dilutive. So what would be the internal targets or anything aspirations that you would have in these new businesses that make you confident that you'll be able to maintain your ROCEs to current levels?

Rajiv Poddar: We are working on that internally. I would not like to disclose my strategy out at the moment. As I mentioned earlier, once it is played out in the marketplace, we'll come back and share those details with you.

Amar Kant Gaur: And sir, finally, on -- again, on the new lines of businesses. So now we see that you guys are quite resilient in terms of our business, in terms of RM volatility having an impact on your overall margins, gross and EBITDA. And now that we are getting into 30% of our business would be outside of this and would be more exposed to raw material volatility. How do you cope with that? Do you have any thoughts on that? Because that will lead us to be more cyclical in terms of our margins?

Rajiv Poddar: I think it's a work in progress. We have proved in the current set of business also that we are able to counter a lot of scenarios, and that has been our strength. We will continue that strength. And as and when any issues are coming up, we will come up with a way to tackle it. It's too early to give you a definitive answer on our strategy and thought process because we would like to let it play out in the marketplace and then come back to you. But internally, we have covered our basis. If that gives you confidence on our basis.

Amar Kant Gaur: Thanks and all the best.

Moderator: Thank you. The next question is from the line of Joseph George from IIFL. Please proceed.

Joseph George: Hi, thank you for the opportunity. I just have one question, which is on capex. So I just want to get the numbers right. So the INR3,500 crores is only in relation to the new projects. And that you mentioned will be front-ended with heavy spends in FY '26, '27 and maybe a smaller amount in '28 because for new projects, you'll have to do the Cap ex upfront. So is that right?

Rajiv Poddar: Yes, absolutely right.

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Joseph George: Okay. And sir, what is the guidance for the capex on the OHT side? You did not give us specific

numbers, but should we think of similar numbers as we have seen in FY '25 continuing in '26, '27, '28 broadly?

Rajiv Poddar: Yes. So I mean, we have already in our earlier approvals from the Board, we have got a 35,000 metric ton expansion approved, which is ongoing. After that, maintenance will only be spent on the OHT part of the business.

Joseph George: So does that mean much lower levels, maybe INR700 crores to INR1,000 crores annual capex on OHT for the next 2, 3 years? Just trying to get a handle on the number, sir?

Rajiv Poddar: Yes, maybe INR500 crores to INR700 crores on the maintenance side.

Joseph George: On the maintenance side. Understood. And to get to the 425,000, 430,000 tons, you don't have to spend anything more? I mean, nothing immediate?

Rajiv A. Poddar: We will do some minor debottlenecking, but we should be able to do that with the current maintenance spends.

Joseph George: Understood, sir. And the second thing...

Rajiv Poddar: This is after the capex done ..

Joseph George: Understood. And the second clarification I needed was on the margins. So you mentioned that the 23% to 25% margin is something that you're seeing in steady state. That is once the new projects of the India TBR and India PCR reach steady state. Does it mean that in the interim, maybe FY '28, '29, when those businesses are really subscale, we will see lower levels of margins? And then when those businesses reach maybe sufficient scale on an improving trajectory get to '23 to '25?

Rajiv Poddar: Little bit marginally lower. Very marginally lower.

Joseph George: Understood. Just wanting to get a hold on the trajectory. Understood, sir. Thank you.

Moderator: Thank you. The next question is from the line of Shashank Kanodia from ICICI Securities. Please proceed.

Shashank Kanodia: Yes. Thank you team for the opportunity. So, just wanted to check, this is tariff thing, does it put us in any advantage position vis-a-vis other South Asian economies?

Madhusudan Bajaj: Yes, it put us in an advantage position because on Thailand and Vietnam, these countries have tariffs more than India.

Shashank Kanodia: Okay. Sir, have we witnessed any shift in volumes towards vis-a-vis these countries, sir? Is that trend evident now in our numbers?

Madhusudan Bajaj: They are majority on the TBR, PCR those segment. So not any visible sign.

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Shashank Kanodia: Okay. And second, sir, what is the sustainable margins in the carbon black division? Because

some of the peers which are listed and with decent amount of specialty domain are clocking something like 15%, 16% margin at the peak. So what's the margin trajectory right now? And what is the outlook over there?

Rajiv Poddar: We don't have that breakup handy of each division.

Shashank Kanodia: Okay. And are we looking for more of an export play in the carbon black domain or it's going to be more domestic sales because the peers are also kind of expanding aggressively in this domain?

Madhusudan Bajaj: Both. It's currently it is domestic more, but in the coming time, export also.

Shashank Kanodia: Okay. And lastly, given the ASPs that currently, so with 4.25 lakh tones of tonnage, the realizable revenue seems to be closer to INR13,000 -odd crores versus our target of roughly INR16,000 crores by 2030. So how do we reach this 20% gap? So it's going to be more of a product mix change led realizations or you're building some inflation to our ASP?

Rajiv Poddar: It's a mix of everything. So, some marketing spending will take us - improve our ASP, and the product mix will change. There will be a lot of -- there are a lot of factors to put in that inflation will come, dollar will -- exchange rates will come, market positioning will improve, product mix will improve. So it's a mix of everything.

Shashank Kanodia: Sure. Thank you so much. Wish you all the best.

Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please proceed.

Mumuksh Mandlesha: Yes. So sir, this quarter, realizations have improved Q-on-Q by 3%. So what has led to the improvement? Any price hikes have been taken, sir? And in the U.S. market, what kind of price hike have we taken after the trade changes, sir?

Rajiv Poddar: So there has been no price hike. It's product mix and hedge rate. And U.S., there is no price hike, as my colleague mentioned, we are sharing the -- I mean, some sort of share arrangement is there for the trade war impact.

Mumuksh Mandlesha: Got it, sir. That's all from my side. Thank you so much.

Moderator: Thank you. The next question is from the line of Aditya Vikram from DB Securities. Please proceed.

Aditya Vikram: Hi, sir. Thank you for taking my question. One of the things that we have noticed is that Q-o-Q and Y-o-Y, the margins have dipped down, right? What led to these pressures? Can you please call it out as to the raw material prices have been benign, but still the margin has come down?

Madhusudan Bajaj: No. During our last call, we also said that raw material prices are going up and will be peaking this quarter. So there will be some decline. There can be 1% or 2% decline in the margin and it is in line with that.

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Aditya Vikram: Okay. Thank you. And sir, so going forward, what would be the steady state of margin which we are trying to achieve as a firm? Considering all the geopolitical pressures and everything which is surrounding us, what would be the steady state of margin which we can price in?

Madhusudan B. Bajaj: Around 25%.

Aditya Vikram: Okay. So this is 1 quarter blip, you don't foresee that to continue as a trend even with the trade wars. Okay. Sir, one other question. Most of our businesses are in Europe, right, or most of the revenues which we derive are from European region. Now if Trump's conversation which happened after the results, which were published yesterday, the tariffs are significantly hiked from June 1. Do you see we -- our company to be impacted significantly from that or do you not see a lot of difference in what is happening and how the sales will plan out?

Rajiv Poddar: Too early to comment. There are statements which are coming up on a daily basis. We are tracking it, but too early to comment on this impact.

Aditya Vikram: That is fine, sir. But if at all it happens, do you see a significant pressure on our firm or do we have levers to ensure that these impacts are not impacting us?

Rajiv Poddar: No. My friend, we can't offer any comment on that at the moment.

Aditya Vikram: Okay. Thank you very much, sir.

Moderator: Thank you. The next question is from the line of Alok Shah from Shree PMS. Please proceed.

Alok Shah: Sir, just want to understand the part of the manufacturing process that do we use recycled content in our tire manufacturing? And if yes, then can we foresee an improvement in the future margins of the product?

Rajiv Poddar: Some marginal is used. We cannot but comment a lot on that because that gives up our some recipe decision. So for the macro level, yes, we are using some recycled part of it.

Alok Shah: Okay. And secondly, is there any government regulation coming or any compulsion by the government that you have to use recycled content or some percentage of recycled content in the tires?

Rajiv Poddar: There is no regulation at the moment.

Alok Shah: Okay, sir. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question. I would now like to hand the conference over to the management for closing comments.

Rajiv Poddar: So I'd like to thank everyone for taking the time out and hearing us and we look forward to meeting you next quarter. Thank you. Stay safe.

Moderator: Thank y

ou. On behalf of Balkrishna Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

(no extractable text — likely a scanned image PDF)

Call: Aug 2025

Balkrishna Industries Ltd.

CIN No.: L99999MH1961PLC012185

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BIL/SE/2024-25 1th August, 2025

To,
BSE Limited, National Stock Exchange of India Ltd,
Phiroze Jeejeebhoy Towers, 5th Floor, Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001. Bandra (E), Mumbai 400 051.

Scrip Code: 502355 (Equity)

Scrip Code : 973556 (Debt) Trading Symbol: BALKRISIND

Dear Sir/Madam,

Subject: Transcript of Conference call with Investors/Analysts conducted on 28th July, 2025 to discuss the Q1 FY26 Results.

In continuation of our letter dated 21st July, 2025 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/Analysts related to Q1 FY26 Results of the Company held on 28th July, 2025. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/www/us/investors-desk> .

You are requested to kindly take the above information on record and disseminate.

Thanking you,

Yours faithfully,
For Balkrishna Industries Limited

Vipul Shah
Director & Company Secretary
and Compliance Officer
DIN: 05199526

Encl: As Above

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Q1 FY26 Earnings Conference Call "
July 28, 202 5

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 2 8 July 2025 will prevail.

MANAGEMENT : MR. RAJIV PODDAR – JOINT MANAGING DIRECTOR –
MR. MADHUSUDAN BAJAJ – SENIOR PRESIDENT
COMMERCIAL AND CHIEF FINANCIAL OFFICER
MR. SATISH SHARMA – SENIOR PRESIDENT STRATEGY
AND BUSINESS DEVELOPMENT

MR. RAVI JOSHI – DEPUTY CHIEF FINANCIAL OFFICER
MR. SUSHIL MISHRA – HEAD ACCOUNTS
SGA, INVESTOR RELATIONS ADVISORS

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Moderator: Ladies and gentlemen, good day, and welcome to the Balkrishna Industries Limited Q1 FY '26 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as of the date of this call. These statements are not guarantees of the future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference to Mr. Rajiv Poddar, Joint Managing Director. Thank you and over to you, sir.

Rajiv Poddar: Thank you, Mrs. Hooda. Good morning to everyone and thank you for joining us today. Along with me, I have Mr. Bajaj, Senior President, Commercial and CFO; Mr. Satish Sharma, Senior President, Strategy and Business Development; Mr. Ravi Joshi, Deputy CFO; Mr. Sushil Mishra, Head Accounts and SGA, our IR advisors.

Let me begin with performance updates. Q1 financial year '26 was a volatile quarter on account of tariff-related disruptions. With the tariff announcements, we witnessed a volatile ordering cycle in April. However, since the 90-day pause announcement on tariffs, there was gradual return to normalcy.

Pre-tariff announcements, we were subject to nominal tariff charge, which has now increased to a little over 10%. We don't expect any significant challenges on this new tariff structure.

However, we do believe that the complete normalcy in the ordering cycle will take shape once there is permanent tariff structure in place. In other geographies, we witnessed a stable quarter. Americas witnessed a slight degrowth on account of the macro situation,

Rajiv Poddar: The geopolitical environment and the broader macroeconomic scenario continue to present significant challenges across our key export markets. Amidst ongoing conflicts, trade tensions and economic uncertainties continue to influence cautious sentiments among customers. In addition to these external headwinds, continued tariff uncertainty has further compounded the situation.

Despite these testing conditions, we managed to achieve a sales volume of 80,664 metric tons during the current quarter. While this reflects a marginal decline compared to Q1 of financial year '25, this performance demonstrates a degree of resilience, given the prevailing global headwinds.

India business continues to be strong and for the quarter contributed to approximately 35% to our sales volumes and approximately 14.4% in growth on a year-on-year basis. This growth momentum is a testimony of our brand acceptance and will further accelerate our efforts, as we launch in the PCR and CV segments.

As I was mentioning earlier, in the U.S., the current tariff is 10%, which is shared by our customers and us. And in the near future, with the resolution of the ongoing tariff uncertainties, we are hopeful for a better trade environment and improved business conditions. Given the

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magnitude of challenges and uncertainties in international markets, we have delivered a strong performance and outperformed the industry.

As we return to stable demand environment, we expect to further outperform and improve our market share all over. On the capex front, the earlier announced capex of OTR, along with newly announced capex for Carbon Black, PCR and CVR are expected to operationalize as per schedule.

With this, I now move on to operational highlights. For the quarter, our volume stood at 80,664 metric t

ons, marginally lower as compared to the same period last year.

Our stand-alone revenue for the quarter stood at INR2,759 crores, including realized loss on forex pertaining to sales of INR1 crores. The gross profit margin in Q1 was lower on account of product mix impact as well as 35% of the overall sales volume were contributed from India. The stand-alone EBITDA for the quarter was at INR655 crores with a margin of 23.8%. In

addition to higher India contribution, the EBITDA margin impact was on account of partial absorption of tariffs for U.S. geography and lower absorption for fixed cost due to lower sales volume. Profit after tax stood for the quarter at INR287 crores, which was approximately down 40%.

This was primarily on account of M2M loss to the tune of INR154 crores.

The Board of Directors has declared a first interim dividend of INR4 per equity share.

With this, I now conclude my opening remarks and leave the floor open for Q&A.

Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Raghunandhan from Nuvama Research. Please go ahead.

Raghunandhan: Sir, firstly, on Europe, Europe has seen a decline Y-o-Y at 20%. And Europe farmer sentiments seem to be weak on higher input cost impact of EU regulation. Can you talk a bit about how you are seeing the customer sentiments in the replacement market? And how do you see the recovery in this market going forward?

Rajiv Poddar: So the current sentiments in Europe is weak, and this is reflected in the numbers. Overall economic environment was also weak in Europe. So that is the reason for this continued numbers.

Raghunandhan: So given that now we are 4 months into the year, how do you see the FY '26 outlook, given all the uncertainties? But going ahead, next two quarters we also have a favorable base. Would you expect to be on the positive side for the full year?

Rajiv Poddar: So too early to give a number and comment on that.

Raghunandhan: Got it, sir. And to Mr. Bajaj, sir, if you can indicate the Euro-INR realization and the hedge rate for FY '26?

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Madhusudan Bajaj: So for the current quarter, it was INR93.60. And for the remaining year, it is closer to current rate.

Raghunandhan: Got it, sir. And just a last question before I fall back to the queue. Can you please share the freight cost as a percentage of revenue that you usually used to share? Would it be lower Q-o-Q given that there has been some fall in the global freight prices?

Madhusudan Bajaj: It was marginally lower.

Raghunandhan: Got it, sir. Thank you so much. I will fall back to the queue.

Moderator: Thank you so much. The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Sir, I just want to understand if there has been any correction in the inventory this quarter, particularly in Europe where there was almost 20% down. And in Q4, we saw 8% growth. So has there any inventory adjustment this quarter in Europe? And overall, sir, globally, how is the inventory situation now, sir?

Rajiv Poddar: So nothing specific on the inventory correction. It is just the overall market sentiment.

Mumuksh Mandlesha: Got it, sir. And sir, possible to quantify what was the U.S. tariff impact in this quarter, sir?

Madhusudan Bajaj: Currently, the tariff is 10%. Out of that 60% is customer bearing and 40% we are sharing.

Mumuksh Mandlesha: 40% is your sharing? And that continues for Q2 also, right, sir, as of now?

Madhusudan Bajaj: Yes.

Mumuksh Mandlesha: Got it, sir. And sir, this quarter, other expenses were up 24% Y-o-Y and Q-on-Q. Any reason for the increase in the other expenses, sir? And what should be the run rate ahead, sir?

Rajiv Poddar: It is the duty impact and some marketing impact.

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Mumuksh Mandlesha: Okay. So the U.S. duty impact has come in other expenses, what you're saying?

Rajiv Poddar: Yes.

Mumuksh Mandlesha: Got it. And the marketing being higher...

Rajiv Poddar: Marginally.

Mumuksh Mandlesha: Okay. So the run rate should continue at least for Q2 because the duty would continue that, right, sir?

Rajiv Poddar: Yes.

Mumuksh Mandlesha: Got it, sir. And sir, in this quarter for the RM, sir, what kind of a reduction we saw in Q1? And what kind of benefit further we expect going ahead, sir?

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Madhusudan Bajaj: So it was very nominal price reduction as compared to last quarter. And the coming quarter, we see the similar type of the prices because rubber is going up and other basket is down.

Mumuksh Mandlesha: Flattish for the Q2

Moderator: Thank you. The next question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: Sir, you mentioned that 50% of the tariff impact was absorbed by customers. So if you can give some sense that out of the total demand in the U.S. market, what percentage would be domestically procured? And how competitors have behaved in terms of tariff impact, if they are also importing from outside U.S?

Aditya Jhawar: On the competitive dynamics.

Rajiv Poddar: Just to correct you on net net basis 40%, not 50%.

Aditya Jhawar: Sorry, could you repeat, sir?

Rajiv Poddar: We are bearing 40%. So we are bearing 40%, not 50%...

Aditya Jhawar: You are bearing 40%. 60% is -- okay. Sure, sure, sir. And sir, any sense on how competition has behaved in this environment, sir, in terms of pricing or impact of tariffs? Hello?

Rajiv Poddar: So everybody is in the same boat. I mean we are not sure of how they have done the cost sharing. But the tariff has impacted everybody, even if there's a local manufacturer, his raw materials are coming from Asia, so they would have got impacted with the tariffs.

Aditya Jhawar: Okay. So the pricing gap between us and the competition, even after the increase in tariff is largely of similar magnitude?

Rajiv Poddar: Yes. It should be.

Moderator: Thank you. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Sir, first question, again, on this U.S. tariffs. I understand the tariffs came sometime during the quarter and not for the entire quarter. So will it be possible to share like of the total U.S. revenues for us in Q1? What percentage has got impacted by the tariffs?

Rajiv Poddar: It came on 9th April, if we are not wrong. So that's practically the whole quarter, no? But you're right, it did not come for the whole quarter, but 9 days into the quarter. So it has impacted the whole quarter only practically.

Siddhartha Bera: Okay. Because U.S. volumes have seen a good jump in the quarter. So this is despite the entire quarter being under tariff. And despite that, we have seen a good pickup in the U.S. volumes. Is it the right way to look at it?

Rajiv Poddar: So -- I mean, if you look at it this way, it was originally pre 9th April. It was 26%, which came down. So that -- as I mentioned in my commentary that there was some normalcy, which has

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come in. So they have been buying because of this revised tariff. Now we are waiting for the final note what happens once the governments agree on some tariff rate. We will come to know what the long-term normalcy will be. It's too early to comment before that.

Siddhartha Bera: But sir, generally, what is the thought process like -- because we understand that it may go up even further. So you plan to sort of pass on the entire cost or you probably want to continue with the current scenario of 60%?

Rajiv Poddar: So what we have seen is we were quick to come to a cost-sharing basis, which has impacted in

this quarter. So we will take a call once we have final numbers in front of us. We don't want to comment anything until the final numbers are there, what is the tariff basis? Is it this level higher, lower? We don't know anything. So without knowing anything, it's very difficult to comment.

Siddhartha Bera: Got it, sir. Sir, lastly, on the capex side, would you have any further color like INR3,500 crores we had highlighted will be the next 3 years. Any possible breakup into what can go into TBR, PCR? And how should we understand the ramp-up to be in the next 2, 3 years, if you have some thoughts there?

Rajiv Poddar: No, we are not sharing the breakup of that. We've announced an overall capex, which we will be doing in the next 3 years -- which will come in line in the next 3 years.

Moderator: Thank you. The next question is from the line of Rishi Vora from Kotak Securities. Please go ahead.

Rishi Vora: Sir, my first question is on the realized forex losses. So you highlighted that our hedge rate was INR93.6 for the quarter, Euro-INR, but the full quarter average was around INR97. So why is our losses lesser for the quarter? Can you just explain that math on how it works? How do we hedge -- like what is our hedging policy? Do we hedge 100% of our first year exposure? Or is it like 50%, 60%, 70%?

Ravi Joshi Rishi, so it will not be prudent to compare the normal average with what hedge rate was mentioned. It also accounts for the timing differences, wherein the PCFC was taken earlier, then there was a realization or repayment against that as well as the sales was booked at a different rate in the books. And then the debtor realization happens at a different rate.

So it will not be prudent and probably you will not be end up doing the right math that taking an average of a quarter and then comparing it with what we realized.

Rishi Vora: The second quarter will be more reflective of this quarter's spot rate?

Ravi Joshi: It all depends on what rate prevails at that point in time, at what rate we have booked the sales

in our books.

Rajiv Poddar: And also just to add on to that is the custom rates are a daily parameter. So we are booking and hedging against our sales and all. But when the actual sales gets transacted, what is the custom duty rate on that date. And that is how the gain or losses calculated.

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Rishi Vora: Understood. And our hedging policy would be like 1 year revenue expectation, everything we would be hedging or it's lesser than that?

Ravi Joshi : Yes, we keep on rolling basis and that too very conservative. We only hedge 80% of net receivable, which end up probably 30%, 35% of gross euro revenue. We don't hedge anything on dollars.

Rishi Vora: Understood. I'm assuming dollar would be naturally hedged because commodity...

Ravi Joshi : Naturally hedged, yes.

Rishi Vora: Understood. And my second question is pertaining to full year margin guidance given where we are in terms of commodity tariff pricing. Like any broader guidelines you could share at least in terms of margins or any headwinds, tailwinds you see going into the financial -- into the subsequent quarters?

Madhusudan Bajaj: So we have already given the margin guidance in the even last quarter. It will be around 24%, 25%.

Moderator: Thank you. The next question is from the line of Abhishek Kumar Jain from AlfAccurate . Please go ahead.

Abhishek Jain: So my question was on the European Union. So that has imposed many sanctions on the Russia like that trade restriction on the machinery and Russian oil. So just wanted to understand how do you see direct and indirect impact on your business in Europe?

Madhusudan Bajaj: We don't buy any machinery or direct raw material from Russia. Oil may be coming and some derivatives of the oils locally, I don't know what way it is coming. But otherwise, we are not

impacted from that.

Abhishek Jain: Okay, sir. And you are also falling into the TBR and the PCR segment. So just wanted to understand when we'll start the commercial production and how much operating cost will increase in the near term because of this?

Satish Sharma: June, July '26.

Abhishek Jain: June, July '26?

Satish Sharma : Yes.

Abhishek Jain: Okay. And how much operating cost will increase because of this in the near term in the next 1 or 2 quarters?

Satish Sharma : This, we cannot comment, I think.

Abhishek Jain: Okay, sir. And my last question on the dealer inventory. So in terms of the days, how much is the current dealer inventory in the export side?

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Rajiv Poddar: It's at normal levels. There's no increase or decrease. It's at the normal level.

Abhishek Jain: So it will be 2 months or 3 months?

Rajiv Poddar: Between 2 and 3 months.

Abhishek Jain: Okay, sir. Thanks sir. That's all from my side.

Moderator: Thank you. The next question is from the line of Joseph George from IIFL. Please go ahead.

Joseph George: I just have one question. You mentioned that the euro realization in the coming quarters would be closer to the existing market rate, whereas last quarter, it was INR93, INR94. So what I want to check is -- and you also mentioned that you are maintaining your margin guidance of 24%, 25%. Now this euro benefit that you're getting is a significant amount.

So do you not expect that to flow down to the bottom line? Or do you think it will be competed away because there will be other players as well who are exporting from India, and they will also have similar advantages?

Rajiv Poddar: No. So I think the volume impact will come, as we're saying there is uncertainty. So that may come and have some impact on the running cost, fixed cost, and other costs. and the duties which were unaccounted for will have also come in place. So I mean, a lot of things at this stage are very open to give a comment.

And as far as the EBITDA guidance is, we mentioned that we strive to be in this range. There will be a couple of quarters which will be higher and a couple of quarters, which will be lower. The higher quarters are not a benchmark and the lower quarters are one-off kind of scenario, but

we will strive to be in that range.

Joseph George: Fair enough. Thank you. That's all I had.

Moderator: Thank you. The next question is from the line of Vishal Dudhwala from Trinetra Asset Managers. Please go ahead.

Vishal Dudhwala: I have a couple of questions. First, with global OTR tire demand set to grow mid -single digit in FY '26, driven by uneven monsoons in India and rising construction activity and export market.

How are you calibrating production and segment anything of agri and OTR to capture that growth without compromising margins?

Rajiv Poddar: So we produce only against order. We do not produce to stock. So as the orders are coming, we are producing as per that. And already, I mentioned in my opening remarks that the product mix had some difference. That's why the EBITDA margin was slightly impacted. So that we will take it as per the demand. Very early to comment on what will come and where.

Vishal Dudhwala: Okay. And second is on your asset utilization. Like your new Bhuj OTR facility and expanded rubber track line went live in Q1 '26. So can you share the utilization level you achieved to date versus over 80% target?

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Rajiv Poddar: It is in testing phase, and we will give you more commentary on that towards the end of this year.

Vishal Dudhwala: Okay. And one last follow-up question on your Europe side. Like can you provide an update on the execution of your TBR capacity expansion plan for that region?

Rajiv Poddar: So as I mentioned, all the expansion that we have announced

is going as per schedule. I will not

be giving individual breakup.

Moderator: The next question is from the line of Chirag Maroo from Keynote Capital.

Chirag Maroo: Sir, first thing, I would like to know what is the mix of Carbon Black in our total sales?

Rajiv Poddar: What is the mix of Carbon Black in our?

Chirag Maroo: Total sales?

Madhusudan Bajaj: Approximately 9%.

Chirag Maroo: And sir, will it be possible for you to provide volume numbers too?

Rajiv Poddar: No.

Chirag Maroo: Okay. Sir, second thing I would like to know is that -- as we are adding new product lines like PCR and related to commercial vehicle as well as the passenger vehicle, I wanted to understand your philosophy and thought process, what would be our right to win in this segment, as we were earlier completely focused into majorly Off-Highway tires?

Satish Sharma: So first, there is no dilution of our focus in Off-Highway tires. I'd like to make that statement very, very clearly. Then the second point is we are looking at the market keenly in finding the white spaces and the areas where to play. So we have a strategy which cannot be unfolded at this stage. But we are looking at the market keenly and devising our own strategy. And I think we will surprise the market positively.

Chirag Maroo: Fair enough. Sir, secondly, I wanted to know -- as you said that the product mix shift towards India has led to dilution of gross margins, could you just give us a ballpark to understand it better, what is the pricing differential in the international market compared to India?

Rajiv Poddar: It's marginally maybe about 0.5% to 1% lower. You're talking about margin, right?

Chirag Maroo: No, sir. I'm talking about realization. Like if we sell it for INR100 in India, what will be the selling price in the international market. So it would be easier for us to understand like if the mix shifts towards India, there can be dilution taking place in GPM level?

Rajiv Poddar: Around -- it fluctuates between different product mix, but you can take a range of 8% to 10% lower.

Chirag Maroo: Okay. And this effect?

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Rajiv Poddar: On the margin front, it would be between 0.5% and 1%.

Chirag Maroo: EBITDA level, it would be 0.5% to 1% only?

Rajiv Poddar: Yes.

Chirag Maroo: Okay. Fair. And sir, just wanted to understand, are we on track for the rubber track expansion by H2 '26?

Rajiv Poddar: Yes, yes.

Moderator: The next question is from the line of Hemang from Anvil. Please go ahead.

Hemang: Sir, I wanted to check that since we are doing 20% from India over the next 5 years, so you just

said the gross margins would be diluted. So there will be an impact on EBITDA margin because the staff cost is higher in India comparatively -- as in we don't have the labor arbitrage for Indian products ?

Rajiv Poddar: So as I mentioned in the last meeting that despite all of our new businesses and India market strategy, everything, we expect blended margins post full commercialization to be in the range of 23% to 25% and we will strive to maintain that.

Hemang: Sir, just thought how will we have an advantage in passenger cars and TBR, which we are planning because we have many other competitors in Indian market whose margins are in the range of 16%.

Rajiv Poddar: I made these announcements in my last quarterly when I announced our 5 -year plan. So if you've seen that we had mentioned that we will be entering into premium categories and radial categories, and there will be superior product mix, and we'll have some operational advantages put together, which will help us maintain these numbers.

Hemang: Sure. All the best, sir. And sir, in terms of near -term challenges, anything on the volume outlook, which we did around 300,015 tons this year?

Rajiv Poddar: As I mentioned earlier, it's too early to comment on vo

lume guidance.

Moderator: The next question is from the line of Raghunandhan from Nuvama Research.

Raghunandhan: Firstly, on the 30,000 capacity of advanced Carbon Black, has the revenues commenced from this business? How do you see the ramp -up in FY '26?

Madhusudan Bajaj: Not significantly, it is still in the trial stage. And end of the calendar year, we expect to ramp up this business.

Raghunandhan: Got it. And on the track side, how much would be the share of tracks in our revenue currently? And given that the new capacity will come up in H2, how do you see the ramp -up there?

Rajiv Poddar: So tracks is currently in trial stage and -- so it's very nominal.

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Raghunandhan: My question was to Satish, sir. How big would be the current BKT dealer network in India? And would you be using the current network for TBR, PCR? How do you look at the strategy on distribution of new products? Would you be leveraging it? Or would you be building it from the scratch, especially to target PCR segment?

Satish Sharma: Raghu, the approach and philosophy of distribution will, by and large, be the same. And that's where the leverage in terms of positive points will come, but the distribution per se largely will be newly made. So some part of it might overlap, a very little portion. But largely, it will be a fresh start.

Raghunandhan: Got it, sir. That would mean that there will be a gestation period for building a network and capturing that 5% market share? And would that be the reason why you're targeting 2030 for that market share target?

Satish Sharma: Yes. I mean, that amount of time will be required to go from 0% to 5%, whichever way you look at it. And our product, like we said in an earlier question, comes out in the middle part of next year. And this is a time gestation period, which we will be using to build the distribution.

Raghunandhan: Got it, sir. And just a clarification on how big would be the existing network of Balkrishna in India?

Rajiv Poddar: We will be having close to about 70 -odd distributors distributors.

Moderator: The next question is from the line of Chirag Maroo from Keynote Capital.

Chirag Maroo: Sir, will it be possible going forward to give some segmental numbers, as Carbon Black has already reached almost 9 percentage of the sales, so we can get some segmental bifurcation on sales and operating margins.

Rajiv Poddar: At this moment, we are not giving the breakup. So we'll see in the future if we decide to share it.

Chirag Maroo: No issues. Sir, secondly, will it be possible for you to give us what kind of market size the rubber track product would have at this moment, just to understand how big is the market?

Rajiv Poddar: So market is huge with our current capacity in the future one, which we have announced. Even if we get there, we will be looking at about 3% to 5% of the market share.

Chirag Maroo: Fair enough. Okay. Thank you, sir.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Rajiv Poddar for closing comments.

Rajiv Poddar: I would like to thank all of you once again for taking the time out and we'll see you again next quarter. Thank you. Stay safe till then.

Moderator: On behalf of Balkrishna Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

Balkrishna Industries Ltd.

CIN No.: L99999MH1961PLC012185

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BIL/SE/2025-26 5th November, 2025

To, BSE Limited, National Stock Exchange of India Ltd,

Phiroze Jeejeebhoy Towers, 5

th Floor, Exchange Plaza,

Dalal Street, Bandra Kurla Complex, Mumbai – 400 001. Bandra (E), Mumbai 400 051.

Scrip Code: 502355 (Equity)

Scrip Code : 973556 (Debt) Trading Symbol: BALKRISIND

Dear Sir/Madam,

Subject: Transcript of Conference call with Investors/Analysts conducted on 1st November, 2025 to discuss the Q2 & H1 FY26 Results.

In continuation of our letter dated 27th October, 2025 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/ Analysts related to Q2 & H1 FY26 Results of the Company held on 1st November, 2025. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/www/us/investors-desk>.

You are requested to kindly take the above information on record and disseminate.

Thanking you, Yours faithfully,

For Balkrishna Industries Limited

Vipul Shah Director & Company Secretary and Compliance Officer

DIN: 05199526

Encl: As Above

Page 1 of 13

"Balkrishna Industries Limited

Q2 & H1 FY '26 Earnings Conference Call "

November 01, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 1st November 2025 will prevail.

MANAGEMENT : MR. RAJIV PODDAR – JOINT MANAGING DIRECTOR –

BALKRISHNA INDUSTRIES LIMITED

MR. MADHUSUDAN BAJAJ – SENIOR PRESIDENT AND

DIRECTOR , COMMERCIAL AND CHIEF FINANCIAL

OFFICER – BALKRISHNA INDUSTRIES LIMITED

MR. RAVI JOSHI – DEPUTY CHIEF FINANCIAL OFFICER

– BALKRISHNA INDUSTRIES LIMITED

MR. SATISH SHARMA - SENIOR PRESIDENT AND

DIRECTOR , STRATEGY AND BUSINESS DEVELOPMENT –

BALKRISHNA INDUSTRIES LIMITED

MR. SUSHIL MISHRA – HEAD, ACCOUNTS –

BALKRISHNA INDUSTRIES LIMITED

SGA , INVESTOR RELATIONS ADVISORS

Balkrishna Industries Limited

November 01, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Balkrishna Industries Limited Q2 and H1 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajiv Poddar, Joint Managing Director of Balkrishna Industries Limited. Thank you, and over to you, sir.

Rajiv Poddar: Thank you, I qra. Good morning, everyone, and thank you for joining us today. Along with me, I have Mr. Bajaj, Senior President and Director, Commercial and our CFO; Mr. Satish Sharma, Senior President and Director of Strategy and Business Development; Mr. Ravi Joshi, o ur Deputy CFO; Mr. Sushil Mishra, our Head of Accounts; and SGA, our IR adviso rs.

Let me begin with performance updates. We continue to navigate through a period of significant challenges. During the quarter, tariff related headwinds intensified with the U.S. increasing import duties on India to 50%. This development has a severe impact on our U.S. sales, which accounted for approximately 10% of our last year sales volume. Consequently, the overall sales volume and sa les performance for this quarter reflects the decline in shipments to U.S. markets. We would also like to take this opportunity to express our gratitude to the Government of India for the reduction of GST rates, a measure that is expected to stimulate end consumer demand and positively influence the broader market sentiment.

Additionally, what we hear from the public domain, there is growing optimism regarding the early conclusions of the trade agreement between India and U.S., which once realized, is expected to ease the current tariff challenges and support our medium -term o utlook for the United States.

While the geopolitical and macro environment, particularly outside India continues to remain uncertain and warrants cautious optimism, we believe that such short -term headwinds will ultimately strengthen our foundations and create opportunities for sustain able g rowth in the mid and long term.

Our strategic focus remains to strengthening our market position in India and Europe, while driving incremental growth from rest of the world markets. We will keep endeavoring to increase our share in U.S., which should regain momentum once the tariff situ ation eases.

Our foresight in anticipating geographic and segment concentration risks has, however, mitigated part of this impact. The strategic initiatives undertaken such as enhancing our presence
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in the Indian market and expanding our carbon black business were key elements of our derisking framework. Building on the strong foundation, we remain cautiously optimistic in the near term, but are confide nt about the long -term outlook.

With continued expansion of our market reach, additional product lines and expectations of a more favorable macro environment and tariff environment, we are well positioned for a long -term growth momentum and move steadily towards our long -term vision of a chieving INR23,000 crores in revenue by 2030.

Let me now share some highlights of our business in the last quarter.

BKT received the Excellence level award from Caterpillar's Global Supplier Excellence recognition program

for outstanding performance in quality, delivery and customer support of mining tires. This is our fourth consecutive year of this recognition.

For our commercial vehicle and passenger vehicle, we inaugurated a dedicated vehicle dynamics and testing base at the NATRAX in Indore, Asia's second largest and longest test track facility. This will help us for our tire testing and further improving qual ity parameters in these tires for these vehicles.

It also gives me immense pleasure to share that BKT Bhuj plant achieved a 5 -star grading and a Sword of Honor Award for 2025 by the British Safety Council, reflecting best -in-class standards in workplace safety, health management and risk control systems.

BKT has been named the title sponsor for the Australia, India Men's ODI and T20s International Series . This is testimony of our commitment to continuously invest in our brand building.

We have further strengthened our leadership across regions and end segments. These appointments will create a sharper focus with an aim to increase market share across all segments across the globe.

With this, I now move on to operational highlights.

For the quarter, our volume stood at 70,252 MT, a decline of 4% year-on-year. For the first half of this year, our volumes stood at 150,916 MT, a decline of 4% year-on-year.

Our stand-alone revenue for the quarter stood at INR2,360 crore

This includes, a realized loss of foreign exchange pertaining to sales of INR68 crores. For the first half of this year, stand-alone revenue stood at INR5,079 crores, registering a marginal decline on a year-on-year basis. This includes realized loss on foreign exchange pertaining to the sales of INR70 crores.

The stand-alone EBITDA for the quarter was at INR500 crores with a margin of 21.5%. Like last quarter, we were impacted by lower American sales and higher India sales. Additionally, we

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created inventory of raw materials to comply with EUDR regulations, which will come into effect from 1st Jan '26.

For the first half of this year, the standalone EBITDA was at INR1,155 crores. The margin for this first half stood at 22.7%. Profit after tax stood for the quarter was recorded at INR256 crores (Please note INR256 crores was mentioned erroneously, it should be read as INR265 crores), while for H1, it was INR552 crores.

Our capex spend for the first half of this year was approximately INR1,737 crores. The announced projects are going as per schedule and are expected to be completed as per planned time lines.

As on 30th September '25, the gross debt and cash equivalents were at INR3,615 crores and INR3,159 crores, respectively. Accordingly, we have a net debt of INR456 crores.

The Board of Directors has declared a second interim dividend of INR4 per equity share in addition to the INR4 shares paid for the previous quarter.

With this, I conclude my opening remarks and leave the floor open for Q&A.

Moderator: Thank you very much. The first question is from the line of Siddhartha Bera from Nomura.

Please go ahead.

Siddhartha Bera: Okay. So sir, just wanted to understand first on the U.S. market. I mean, we have seen that impact of tariffs coming through. Assuming -- I mean, if it normalizes at some point, how soon can we sort of see the volumes coming back? How are the inventory levels as of now?

And how do you think that sort of quickly turns around going ahead? And second is on the Europe also, we have seen a bit of a softness there. What is happening in that market? Is it also related to the trade uncertainty or why demand is slow there? And when do you see that recovering as well?

Rajiv Poddar: So for the U.S., once the situation eases out, we should be able to, and we start seeing normalization, I think hopefully, within a couple of weeks, we should start seeing some turnaround. Also,

what we are anticipating is there may be some pent-up demand.

So in the short term it may kickstart some things. But we are ready for servicing that market.

We'll be ready in about a couple of weeks from once we start getting the orders. And regarding the EU market, there are challenges over there, which we are seeing in the overall market. So we are hopeful that things will ease out as we move forward.

Siddhartha Bera: Understood. And sir, on the capex side, I mean, we have already done about INR1,700 crores in the first half. And you had guided for close to maybe INR35 billion over the next 3 years earlier when we sort of started TBR, PCR plans. So where should we sort of think about the capex for this year? And how does the 3-year plan look now?

Rajiv Poddar: So we envisage the year-end to be close to - INR 2,000 crores to INR2,200 crores and the balance to be in the coming years.

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Siddhartha Bera: Okay. So this year, capex will be about INR2,200 crores. Is that you are saying?

Rajiv Poddar: Sorry, can you repeat your question?

Siddhartha Bera: No, I said that we have already done INR17 billion in the first half. So where do we see the capex for this year? And how should we look at the next 2 years given the plan of INR35 billion we had guided for?

Rajiv Poddar: So that's what I mentioned. This year, we see the year ending close to about INR2,000 crores to INR2,200 crores. The balance will come in the next year. And so in the next 2 years, we will see the whole money being utilized.

Siddhartha Bera: Okay. Okay. So this year, first half capex has been a lot higher. Second half, we will see some much lesser capex ?

Rajiv Poddar: Yes, as the plant and machines are getting ready, they will keep on deploying.

Siddhartha Bera: Okay. And will there be any maintenance capex on top of it or this is the total capex we are talking about?

Rajiv Poddar: This includes the maintenance capex .

Siddhartha Bera: Includes the maintenance capex . Okay. And sir, lastly, on the ASP and margin side also, we have seen a bit of a correction this quarter. If you can just highlight a couple of reasons for that.

Is it only the U.S. share reduction or anything else here which has impacted the financials?

Ravi Joshi Yes. So that is because of the geographic mix and the product mix, mainly contributed by these 2 factors.

Siddhartha Bera: Understood. Sir, lastly, on this plan of TBR and PCR, can you sort of highlight now like we are probably starting the pilot from Q4. So next year, how much do you think we can produce for the TBR sort of project?

Madhusudan Bajaj: It will be a slow start, and we will start somewhere in the second half of the next fiscal.

Moderator: The next question is from the line of Raghunandhan N.L. from Nuvama Research.

Raghunandhan N. L.: Congratulations on the Caterpillar recognition. On my questions for U.S.A. in Q2, the applicable tariff was 25% and in Q3, the applicable tariff will be 50%. Would that be right? Or 50% was already there in place for part of Q2?

Rajiv Poddar: For the second half of Q2, the 50% was already in place, sir.

Raghunandhan N. L.: Understood. And just to clarify, you are absorbing part of the impact in Q2?

Rajiv Poddar: No, at the moment, we are not selling. We are not absorbing anything, so not selling anything.

Raghunandhan N. L.: Understood, sir. And this is the tailwind of EURINR. How is the realization for Q2 versus Q1? And what is the hedge rate for remaining part of the year?

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Ravi Joshi So Q2 was almost at par with the Q1 and the numbers, I'm not handy, so I may not be able to comment for the rest of period .

Raghunandhan N. L.: Got it, sir. And can you share the freight cost as a percentage of sales in Q2?

Sushil Mishra : This is around 6% to 7% of total s

ales.

Raghunandhan N. L.: Got it. And that should remain at this level?

Sushil Mihra : Yes.

Raghunandhan N. L.: And just the last question, sir, on the input cost, how are you seeing the trend in terms of Q2 versus Q1? And what is the expectation for Q3? And also the EUDR regulation impact, what kind of a cost impact can it have?

Madhusudan Bajaj: So all the raw material prices are on softer side, but because of the EUDR, we expect a similar cost for the next quarter.

Raghunandhan N. L.: Okay. So Q3 should be flat Q -o-Q?

Madhusudan Bajaj: Yes.

Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.

Mumuksh Mandlesha Sir, just can you help us understand how the end market in U.S. is reacting due to differential tariff? So are some of the Indian players putting or are the -- I mean, some other players taking some market share temporarily, sir? And in the end market, has there been any price hike being taken, sir?

Rajiv Poddar: So at the moment, what we understand from our local team in U.S. is that they are consuming - - they're depleting their stock inventory from there. There is no fresh supplies coming in. And everybody is on a more of a wait and watch across the globe. So it is not that other players are from -- at least from India are able to eat in or anything to the best of our knowledge.

Mumuksh Mandlesha Okay. And has there been some price hikes within the end market by the distributors any -- around price hike, sir?

Rajiv Poddar: No, at the moment, because they are using old inventory, we don't have any update of any price hikes. But I mean, they will start feeling some pressure once the older stock is depleted. So that time, we'll have to see -- I mean, truly either the tariffs ea se out or then we'll have to -- we'll get a true color of it if it doesn't ease out in the coming quarters because the inventory would have depleted by then.

Mumuksh Mandlesha Got it, sir. And sir, on the new segment, sir, can you update how are the progress happening in terms of the new product development in terms of sizes, etcetera, and how is the channel building, sir?

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Satish Sharma : Yes, the progress is as per plan. I cannot share the plan in complete details on the call. But I can clearly state that the progress is to plan. There is no variation to the plan. And like I mentioned in the previous question, we are set to release our first production in the second half of the next fiscal.

Mumuksh Mandlesha Got it, sir. And sir, lastly, how is the carbon black sales for this quarter, sir?

Madhusudan Bajaj: It is around 55% of the total production. And if you are asking from the turnover point of view, it is less than 10%.

Moderator: The next question is from the line of Yash Agrawal from Nirmal Bang.

Yash Agrawal: I just wanted to understand from the demand side of Europe, like how it will pan out in H2, whether it will get better from current situation.

Rajiv Poddar: So we are -- from what we are hearing from the team that the headwinds are now easing out. Of course, it's too early to give a very rosy picture, but things seem to be easing out. So we are quite confident that the headwinds are easing out. That's what we can say.

Yash Agrawal: And also on the U.S. tariff position, like after the resolution and negotiation, how low we expect the tariff to go from current situation?

Rajiv Poddar: That I think nobody would be able to suggest advise if I mean, what -- how low it should go. I mean, as a manufacturer, we would like it to be as low as possible, but what is the number that is for anybody to give you a number. So I think that as far as it goes. I think our Indian government is also very positively pushing for it. So we believe we are in safe hands. And whatever the Indian government and concludes with the U.S. team, we

will abide by it.

Moderator: The next question is from the line of Joseph George from IIFL Capital.

Joseph George I have 3 questions. The first one is how much is the margin hit because of the EUDR provisions? Have you already started making it? Or will you start making it in the fourth quarter? Some color there.

Rajiv Poddar: So we have already started procuring material from last quarter and that you can see the impact of it. We will not be able to give you the exact breakup of -- I don't have the numbers for the exact breakup between the EUDR split and that, but it definitely has started kicking in, and we see it to be now fully in place in this last quarter.

Joseph George So would it be right to assume that this quarter's margins take into account the full impact of these provisions or these procurements? Or do you expect incremental impact going into the subsequent quarters?

Madhusudan Bajaj: So this quarter is not impacted fully. Next quarter, it will be fully impacted. But then whatever implication is there, that will be offset by the softening of the other raw materials.

Joseph George Okay, sir. The second question that I had was on carbon black revenues. So when do we expect to see a ramp-up in carbon black revenues with the specialty carbon black revenues kicking in?

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Madhusudan Bajaj: Next financial year, we should be able to see.

Joseph George Okay. The last question is, I think in the past, you had guided to a low single-digit kind of volume growth this year. Is there a revised number that you can give out based on the 1H numbers? Or are things too uncertain to maybe talk about

Rajiv Poddar: We have not given any guidance, but we've always maintained that there is too much volatility in the world to give any guidance. So we are not giving any guidance. And we've not given in the last 4 quarters.

Moderator: The next question is from the line of Pankaj Tibrewal from IKIGAI Asset Managers.

Pankaj Tibrewal: I know these are challenging times. But if one takes a slightly medium-term view on a 3-, 4-year basis, -- how do you see the shape and size of the company changing? I know these are times where both Europe, U.S., everywhere, there's been headwinds. You said that the headwinds are easing. But one takes a slightly medium-term view on a 3-, 5-year basis, how the shape and size of the company is likely to change? And with the current capacities coming on stream, how do you see things shaping up on the domestic side? These are the 2 questions, Rajiv.

Rajiv Poddar: So thank you, Pankajji for the question. I think as I mentioned that in the short term, there are headwinds and there is humongous volatility -- that said, we are not shying away from investment either in the terms of branding or in terms of infrastructure setup because we believe that these are the times where we have to make our foundation stronger. And the more the foundation becomes stronger, as these headwinds ease out, we will be ready to jump and take use of the opportunity.

As far as the midterm view is, we are quite positive, both from the export market because we believe Europe headwinds are going to ease out. And with the positive statements from our government and the push that they are making, we believe the U.S. scenario should also ease out. So we are getting ready for that. So that is there on the export market.

As far as Indian market is going, our strategy to enter that in 2016, '17 is paying good dividends now. Otherwise, that would have been a little bit more challenging. So with the Indian GST, as I mentioned, our government has taken -- reduced the GST, which will have an impact at the end user level.

So midterm, we are quite positive. And long term, I have always mentioned the company is working towards its vision of INR23,000 crores turnover by 2030. So mid - to long term, we see

the company being shaping up in a very strong way. As I mentioned, these are the times where we are investing in manpower.

As I mentioned in my speech, we are recruiting wherever we are seeing the gaps in resources. We are investing in plant and machinery with roughly about INR1,700 -odd crores already spent in the year and additional money being spent to upgrade and set up new capacities and also on branding.

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So all these activities are being done. We are also setting up testing facilities for our newer products. So all these are being done because we see positivity in the mid - to long term. So that is how we are seeing the company, and we are building it towards that with a full intent of capturing the market as and when it is ready. It is coming back.

Pankaj Tibrewal: Fantastic. And always being an old tracker of Balkrishna for last 2 decades, you have used challenges to overcome medium -term vision. And the case in point was the way you entered the domestic market and now you're at a 17%, 18% market share, which is quite commendable in the agri space. If we take the same thought process to the TBR and the PCR market, what will make the team happy?

I'm sure you have recruited Mr. Sharma is there, everybody, the entire team is there, and we have started to get fillers from the ground. But would love to hear your aspiration, what will make the team at Balkrishna satisfied over a 5 -year period on the TBR market?

Rajiv Poddar: So thank you for that. Thank you for the compliments on the domestic market. I'd just like to correct you, our agri market share is not 17%, but is over 20%. So that is what we have been able to do. As far as the consumer business is there, we are setting the foundations currently in terms of as Satishji mentioned earlier, the product development program is going as per plan. The manufacturing setup project is going as per plan. We are working towards building the strong foundation over that. As far as the end result is there, I think what we are aspiring for is in the next 5 years to get about INR5,000 crores revenue from this business by 2030, which would equate to roughly 7% to 8% of the market share in the midterm.

That would make us happy if we were able to achieve that. And doing that with a respectable bottom line and margins. So we will always be setting a position of a premium player. That's the view and aspiration.

Moderator: The next question is from the line of Basudeb Banerjee from CLSA.

Basudeb Banerjee: A couple of questions. So one, if we see that it's almost a prolonged period that overall annual volume is restricted around this 300,000 tons because of tariffs or macro issues. But in the meanwhile, India piece has moved up from 12% of revenue to 25%, 30 % of revenue, now GST cut, infra push, et cetera, as you highlighted. So can you see what kind of size of opportunity lies in India market and how further it can go up so that it can derisk you more for these global uncertainties? That's the first question, sir.

Rajiv Poddar: So for the Indian market, we believe the opportunity is yet quite large across all the off -highway sectors. And with this, when the brand is being created and all, even this will have an effect on the consumer business and will help us there. So we are quite upbeat about India, and we are very, very positive. So we see a huge opportunity here for us to capture.

Basudeb Banerjee: So broadly I was trying to understand that can you see like India being 50% of your revenue in next 5 years' time, do you aspire for such a situation? Or you want to keep limited...

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Rajiv Poddar: So we are hopeful that the European countries and the U.S. would also come back. That would further accelerate the sales. So I don't think it would be fair to say we want t

o keep it at 50 or 30

or anything. We are ready to tackle all the markets. So wherever there is an opportunity, we are going after that.

So it would be difficult for me to say I want to cap India at 30 or target India at 50 because, I mean, if the world also picks up, we are ready to service them and service India. So we are not making India at the cost of others or giving priority to one over the other. But we are saying we are ready to service whichever market is currently ready to accelerate our sales. So we are ready all over.

Basudeb Banerjee: Second question is, sir, like again, on the back of this prolonged headwinds in the global market, you have like BKT Tires cricket sponsorship in Australia. So if you can define what is the outcome of these initiatives in markets like Australia or new market initiatives you are taking to derisk the business? Because if we see India, Europe and U.S. in your pie chart, rest of the world revenue mix is not moving up despite headwinds in these developed markets. So how to look from that angle?

Rajiv Poddar: So I mean, if you look at it.. So if you look at it this way, I mean, earlier, India was also part of the rest of the world for us. It was Europe and America and then rest of the world. So slowly, we have created a niche. I mean, made our headwinds in India, and that has now become a stand-alone strength of the company.

So like this one rest of the world is also growing. If you see -- as you rightly mentioned, Australia is a big opportunity for us. Asia is a big opportunity. So we are focusing on all these markets. They may be small today, but everybody has to start from -- I mean, when you go to school, you start from kindergarten and then make your way to high school. So those blocks are starting small.

But whenever you start, you will have to start small. So we are putting in all the efforts to make each block strong to derisk the company from any particular geography. So today, they may be small, but there is a lot of hope that one day, they will also become a stand-alone block for us to mention in an individual capacity.

Also a lot of these markets would give us benefit in the mining sector because Australia, Asia are predominantly mining sector. So with the new setup of mining tires getting in place, these countries also become very important for us. So that's why the blocks are now being looked at as individual blocks.

Moderator: . The next question is from the line of Mihir Vora from Equirus.

Mihir Vora: So sir, my first question was on the U.S. market where currently we are seeing this 50% tariff. So just on quarter 3, do we expect to maintain that 14% share of U.S. business or it will drastically come down at the current tariff levels as such?

Rajiv Poddar: At the current tariff levels, it will definitely come down and be compensated by sales to other geographies. If tariffs ease then things would look positively on that.

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Mihir Vora: What tariff levels would we see it as a viable option in terms of where we start supplying? Any number to that?

Rajiv Poddar: No, I think we'll refrain from commenting on that.

Mihir Vora: All right. Sir, and secondly, on the Europe market. So basically, are we seeing some kind of competitor traction basically from, say, players from China, Thailand or say Europe itself, they are diverting their supplies from U.S. to Europe and due to which we are seeing some headwinds in the market? Any kind of traction that way?

Rajiv Poddar: No. Overall, the European market is facing headwinds. So we are not seeing any such traction from our competitors. If you see all the players in Europe have also mentioned that Europe is currently going through headwinds. So I think it is just overall volatility and headwinds being faced by them, which is creating this kind of a scenario.

Mihir Vora: So market

share remains intact, basically?

Rajiv Poddar: More or less, yes.

Mihir Vora: Sir, and lastly, just on the - circling back to the U.S. front. In terms of competitors, basically, do they have the domestic capacities that if import reduces, will they be able to cater to the market in terms of domestic capacities or they will have to rely on import in the shorter term?

Rajiv Poddar: I mean what we see from the numbers of imports, U.S. was and will remain a net importer country. So that's what we can comment on that.

Moderator: The next question is from the line of Jinesh Gandhi from Oaklane Cap.

Jinesh Gandhi: Rajiv, 2-part question. So obviously, what is happening in U.S. today is one could not have foreseen, but we obviously, a few years back had thought of putting up a capacity locally in U.S., which in hindsight would have been a great initiative. But given the importance of U.S. market and OHT market globally and our aspirations in the U.S., does it make sense to reevaluate that kind of initiative to actually be offensive in the U.S. market and aim for much larger market

share than what we would be getting organically through India supplies right now? How do you think about that?

Rajiv Poddar: So we yet see that any such move will come at the cost of economics, and that's why we have shelved the program, and we continue to hold the same stand at the moment.

Jinesh Gandhi: Okay. Okay. And second question pertains to, given the uncertainty longer it stays in the global market, one may see some of your weaker competitors or even bigger competitors defocusing on this segment. So are we open to M&A to strengthen either in areas of our weakness in terms of product or geography?

Rajiv Poddar: As I mentioned, we are -- at BKT, we are always open to opportunities, whichever come, we will evaluate it, evaluate them. And if we see positivity, we will grab them, whether this could be in terms of any of the options that you have mentioned or otherwise. And we will continue to

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do our work, which is of building the brand, building the product portfolio, building the infrastructure and waiting for an opportunity to come, which we are ready to grab.

Jinesh Gandhi: Got it. And lastly, just to understand what was the benefit of RM cost in this quarter? And how do we see that playing out at least for 3Q, given the trends in the spot prices?

Rajiv Poddar: So there is no benefit that we have got for RM, our cost is higher a little bit because of the EUDR. As Mr. Bajaj mentioned earlier that the EUDR impact would fully come in, but that would be offset by some of the other raw materials, which have softened. So overall impact should be stable.

Jinesh Gandhi: Okay. But forget the EUDR implications, but the natural rubber prices and synthetic rubber prices would see a reasonable decline in 3Q, which will get offset by EUDR impact. But gross basis, commodity should be a tailwind, right?

Rajiv Poddar: Yes, it will be the same.

Moderator: The next question is from the line of Rishi Vora from Kotak Securities.

Rishi Vora: Yes. Sir, just one question from my side. On this EUDR regulations, is there any impact which you could quantify for this quarter? I remember when a couple of quarters back, you had highlighted that the procurement cost of natural rubber will go up by 10%. So that's the ballpark number, which we should work with?

Rajiv Poddar: We don't have that readily available. We are working on it because the other commodities are also going down. So we're trying to see the impact. We don't have that exact number at the moment.

Rishi Vora: Okay. But the procurement cost would be around 10% higher than whatever the spot price is for the natural rubber or...

Rajiv Poddar: No, no, that is also reduced. So that is why it's a moving number every day. So it's difficult to give a fixed number

because every day. See, last time when the EUDR had come in, it was too new. So people were not ready. Now in the 1 year, a lot of people have got ready. So that's why the impact will be lower, but every day, there is a movement on that. So difficult to comment on a fixed number.

Rishi Vora: Understood. And sir, just secondly, on the EU market, at least we have seen that the agri replacement over the last couple of quarters have been not declining, but kind of have steadied at a low single-digit growth and still we are witnessing a decline over there. So it's just that we are doing some inventory destocking at retail level, things are okay? Or is there anything else? Because at least at an industry level, we are not seeing this much of a decline which other company is reporting, at least in first half.

Rajiv Poddar: Sorry, can you repeat the question? We missed the question.

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Moderator: Ladies and gentlemen, we have lost the line for the current participant. Due to time constraints, this would be the last question for today. I now hand the conference over to the management for closing comments.

Rajiv Poddar: Yes. So I thank everybody for taking the time out for coming up on this call, and we hope to see you all in the next year -- in the new year and wishing you best for the coming season. Thank you.

Moderator: Thank you very much. On behalf of Balkrishna Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Balkrishna Industries Ltd.

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BIL/SE/2025-26 3rd February, 2026

To , BSE Limited, National Stock Exchange of India Ltd,
Phiroze Jeejeebhoy Towers, 5
th Floor, Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001. Bandra (E), Mumbai 400 051.

Scrip Code : 502355 (Equity) Scrip Name/Code: BALKRISIND Scrip Code : 730703 (CP) Scrip Code : 730801 (CP)

Dear Sir/Madam, Subject: Transcript of Conference call with Investors/Analysts conducted on Thursday, 29th January 2026 at 11:00 AM, IST to discuss the Q3 & 9M FY26 Results.

In continuation of our letter dated 23rd January, 2026 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/Analysts related to Q3 & 9M FY26 Results of the Company held on Thursday, 29th January 2026. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/www/us/investors-desk>.

You are requested to kindly take the above information on record and disseminate.
Thanking you,
Yours faithfully, For Balkrishna Industries Limited

Vipul Shah Director & Company Secretary and Compliance Officer
DIN: 05199526
Encl: As Above
Page 1 of 10

"Balkrishna Industries Limited
Q3 & 9 Months FY26 Earnings Conference Call"
January 29, 2026

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 29th January 2026 will prevail.

MANAGEMENT : M R. RAJIV PODDAR – JOINT MANAGING DIRECTOR –
BALKRISHNA INDUSTRIES LIMITED
MR. MADHUSUDAN BAJAJ – SENIOR PRESIDENT AND
DIRECTOR COMMERCIAL AND CHIEF FINANCIAL
OFFICER –BALKRISHNA INDUSTRIES LIMITED
MR. SATISH SHARMA – SENIOR PRESIDENT AND
DIRECTOR STRATEGY AND BUSINESS DEVELOPMENT –
BALKRISHNA INDUSTRIES LIMITED
MR. RAVI JOSHI – DEPUTY CHIEF FINANCIAL OFFICER
– BALKRISHNA INDUSTRIES LIMITED
MR. SUSHIL MISHRA – HEAD OF ACCOUNTS –
BALKRISHNA INDUSTRIES LIMITED
SGA, INVESTOR RELATIONS ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to the Balkrishna Industries Limited Q3 and 9 Months FY26 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rajiv Poddar, Joint Managing Director. Thank you, and over to you, sir.

Rajiv Poddar: Thank you, Steve. Good morning, everyone and thank you for joining us today. I would firstly like to wish all of you a very Happy New Year. Along with me, I have Mr. Bajaj, Senior President and Director Commercial and our CFO; Mr. Satish Sharma, Senior President and Director, Strategy and Business Development; Mr. Ravi Joshi, our Deputy CFO; Mr. Sushil Mishra, Head of Accounts; and SGA, our IR Advisors.

Let me begin with performance updates. The geopolitical and macroeconomic environment continues to remain challenged and the situation with U.S. tariffs remain unchanged. Despite these headwinds, we delivered a strong sequential improvement during the quarter. Our overall sales volume increased by around 15% quarter-on-quarter.

In the U.S. market, despite the ongoing tariff situation, our strong product quality, brand positioning and by sharing the tariff impact with our channel partners, this has enabled us to regain some of the sales momentum.

India continues to outperform all markets. The positive momentum witnessed in Q2 post the GST reduction has sustained into Q3 as well. This has been supported by broad-based demand across channels and product segments in India.

For Europe, it is important to note that the EUDR norms, which were to get implemented from 1st January '26, the same has now been deferred by 1 year and is now likely to be implemented from 1st Jan '27.

I would like to take this opportunity to thank and congratulate the Government of India for their remarkable efforts on signing the landmark FTA with the EU. We believe this will allow for further seamless trade between the two geographies.

Let me now share some other key highlights.

Aligned with our core value of giving back to the society, we have dedicated a state-of-the-art sports injury and rehab center at KEM Hospital in Mumbai. This 15,000 square feet facility is amongst the largest of its kind in a government hospital in Western India.

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Further, BKT has featured on the wall of giving at Tata Memorial Hospital in Mumbai. This is in recognition of its long-standing commitment to supporting access to high quality by us. This is an evidence-based and affordable cancer care center.

In addition, as a testament to our comprehensiveness efforts on the ESG front, we have established an S&P Global Corporate Sustainability Assessment score of 58. This placed us amongst the leading tire manufacturers in terms of sustainability performance.

In the sports engagement, I'm happy to share that BKT Tires is the official partner with all the five women's IPL teams, franchises in a landmark multi-team deal for '26 season. This partnership will expand our cricket footprint via our association with every Women's Premier

League team of India, thereby strengthening -- further strengthening our brand visibility and reinforcing our commitment to sports and also to women's sport.

ort.

Let me update you on the capex front.

During the quarter, we have commissioned a new line of carbon black, taking the total capacity to 265,000 metric tons per annum. All remaining capex is progressing as per schedule.

With this, I now move on to operational highlights. For the quarter, our volumes stood at 80,620 metric tons, a growth of 6% year-on-year.

For 9 months, volumes stood at 231,536 metric tons, a minor de-growth of 1% year-on-year.

Our standalone revenue for the quarter stood at INR2,682 crores, registering a growth of 4% year-on-year. This includes realized loss of forex pertaining to the sales of INR47 crores. For 9 months, the stand-alone revenue stood at INR7,762 crores, registering flat performance on a year-on-year basis. This includes a realized loss on foreign exchange pertaining to sales of INR117 crores.

The standalone EBITDA for the quarter was at INR605 crores, a margin of 22.5%. For 9 months, the standalone EBITDA was at INR1,760 crores, registering a de-growth of 11% year-on-year. However, the margins for 9M stood at 22.7%.

Profit after tax for the quarter was recorded at INR375 crores, while for 9 months, we have recorded a PAT of INR927 crores.

Our capex spend for the 9 months of this financial year was approximately INR2,200 crores.

As on 31st December '25, the gross debt and cash and cash equivalents were INR3,649 crores and INR3,012 crores, respectively.

Accordingly, we have a net debt of about INR637 crores.

The Board of Directors has declared a third interim dividend of INR4 per equity share in addition to the INR8 already paid in the previous two quarters.

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With this, I now conclude my opening remarks and leave the floor open to Q&A.

Moderator: Thank you very much, sir. We will now begin with a question and answer session. The first question comes from the line of Mumuksh Mandlesha with Anand Rath. Please go ahead.

Mumuksh Mandlesha: Sir, firstly, we have seen Europe market turning positive this quarter expecting some good growth this quarter. And I think some of the markets like Germany seems to have done well. I just want to understand, you also mentioned about macro challenges, but still we have seen a very good growth in the Europe. What could be the factors that led to the rebound, sir?

Rajiv Poddar: So I think overall, there anticipating better season to begin from this year. So that could have been the course. And as I mentioned in my earlier comments during the last quarter that a lot of the destocking had levelled out. So it could be due to that.

Mumuksh Mandlesha: So going ahead, sir, I mean, considering macro challenges, should Europe be a flattish kind of demand, sir?

Rajiv Poddar: It's too early to make a call on the long-term basis.

Mumuksh Mandlesha: Got it, sir. Sir, on America volumes, sir, how much would be now, U.S., sir? And has the volume started there? And any impact of tariff on the margins, sir?

Ravi Joshi : Overall, Americas is being there in the investor presentation. The exact U.S. sales is down as compared to previous year, but the exact numbers are not handy.

Mumuksh Mandlesha: And any impact of tariff, sir, in our margin numbers, sir?

Ravi Joshi : Yes, obviously, because we have shared with distributors, but the large portion is being borne by them.

Mumuksh Mandlesha: Got it, sir. Sir, on the capex side, this year already, we have done INR2,200 crores, which was the guidance last year for the full year. Can you update what is the capex for the full year now?

And also any expectations for next year?

Rajiv Poddar: So maybe about INR300 crores, INR400 crores more in the current financial year, and the balance would be in the next year.

Mumuksh Mandlesha: Got it, sir. And sir, on the commodity side, sir, how do you see the trend there? And if you can share the Euro-INR rate for the Q3? And how do you see the hedges ahead?

Rajiv Poddar: So the euro rate for Q3 was at approximately INR97.

Mumuksh Mandlesha: And how do we see our rate?

Ravi Joshi : It should marginally improve from here.

Mumuksh Mandlesha: Got it. And on the commodity side, sir, how do you see the trend ahead?

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Madhusudan Bajaj : So oil is going up, and natural rubber is also moving up, but it is too early to say what will be the impact.

Moderator: The next question comes from the line of Siddhartha Bera with Nomura.

Siddhartha Bera: Sir, my first question is, again, on this Euro-INR rate. I mean, we had close to INR91 last year, and it has gone up to INR97 now. So can you talk about how the European realizations have been because it's a significant improvement on the hedge rates, but we have not seen much change in our ASPs or margins. So some thoughts there. And current rate is significantly higher.

So are there significant hedges, which leads to a lower rate for you for next year? Or why are you sort of indicating only modest increase for next year?

Rajiv Poddar: So firstly, the Europe share has gone down. So that has had an impact. Also, as we maintain that we always have a forward booking, forward hedge. So that is also playing out. And for next year also, the same hedge policy would be continuing.

Siddhartha Bera: Okay. But in terms of European realizations, have they remained stable? Or has there been any change in that also?

Rajiv Poddar: Yes, realizations are same. There has not been a significant movement on that.

Ravi Joshi : Siddhartha, having said that, the last quarter's realizations were around INR91, INR92. This quarter is INR97. And still, we are giving that it will improve from here. But because if you see in last 10 months, the euro have run up from IN R90 to INR110, even after December, for last 20, 25 days, it has run up by INR5. So because we are running forward positions, so we are saying that the entire gain will not be captured in the rates.

Siddhartha Bera: Okay. Got it. And sir, on the India business now, I mean, we have seen a pretty strong growth consistently now for the last few years. This quarter seems to be even stronger. So anything here which is driving this? I mean, apart from the industry growth, any customer additions or any market share gain, if you can talk about? And how do you think this plays out for the next year?

Rajiv Poddar: As I mentioned in my opening comments, the positive impact by the government's role in reducing GST has driven the sentiments, and that is what is driving in the entire auto sector, and we are getting the benefits of that.

Siddhartha Bera: Understood.

Rajiv Poddar: Also the good rains, which were there in the season, have led to better demand.

Siddhartha Bera: Okay. And does higher India share have a negative impact on the ASPs or margins? Or there is no much change, if you can just guide us?

Rajiv Poddar: Yes, it does have a slightly lower ASP. But if you see after all that also with the enhanced level of India, the EBITDA levels are at par with what they've been in the past. So it is nullifying the overall effect.

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Siddhartha Bera: Got it, sir. Sir, last question is on the CV foray. We had talked about that the pilot will start from this quarter. So any thoughts now, how should we think about the ramp-up to be next year? What percentage of our volumes can come from the CV segment?

Rajiv Poddar: So as we have mentioned in my opening comments, all the projects are going as per schedule. So the CV will also come up in this quarter. we'll make the announcements once we are ready. So we're not anticipating any delay on that. As far as the ramp-up goes, we have a plan which we are working to. It would be too early to sort of give any light on that at the moment. But we are quite confident of keeping our long-term vision

of 2030, and we are working towards that. It will be too early to comment on a quarterly basis what will be the impact, but we are quite confident of our long-term vision.

Moderator: The next question comes from the line of Raghunandhan with Nuvama.

Raghunandhan: Firstly, sir, with reference to the Europe trade deal, can you indicate what is the existing duty? And how much reduction in duty can be anticipated because of that deal?

Madhusudan Bajaj : Current duty is 4%, and it is not very clear what will be the duty after this treaty..

Raghunandhan: Got it, sir. And in the rest of the world regions, which markets are mainly facing decline, sir?

Rajiv Poddar: So I think Southern part of America would be there. And Asia also a little bit.

Raghunandhan: Got it, sir. And how much would be the freight cost as a percentage of revenue in Q3? And how do you see the outlook forward?

Rajiv Poddar: I think it's around 5%, and we look at it to be stable at the moment.

Raghunandhan: Got it, sir. Last quarter, I think it was over 6%. So there has been an improvement here. It is positively supported...

Rajiv Poddar: It fluctuates depending on which country has got more of the exports and where it has gone. But this is the range -- is going to be in this range only. There's not going to be significant movement upward or downward.

Raghunandhan: Understood, sir. And within our expenses, is there any cost which we are also factoring for the efforts towards the CV and PV foray? Is there any product development or other costs, which are part of our financials?

Rajiv Poddar: Nothing significant to note -- I mean, to highlight over here.

Raghunandhan: Understood, sir. And lastly, sir, on the capex, will FY '27 capex also be in a similar range to '26, around that INR2,600-odd crores?

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Rajiv Poddar: No, as we mentioned, we are not seeing an overrun. So out of the total amount that we had committed from the budget, about INR2,500 crores, INR2,600 crores would be done in this financial year and the balance would be done in that financial year.

Raghunandhan: Understood, sir. Thank you, sir. Thank you so much. Wishing all the best.

Moderator: Thank you. The next question comes from the line of Abhishek Jain with AlfAccurate Advisors.

Please go ahead.

Abhishek Jain: Thanks for opportunity. Sir, how much is the current inventory in the U.S. and European market? And how would be the outlook for the U.S. and Europe in the fourth quarter?

Rajiv Poddar: So we are seeing that the channel stock is at par at where it should be. And going forward, it is difficult to comment because of the volatility across the world with the geopolitical scenarios, how it plays out. So it will be very difficult to make a comment on how we see it. We hope that it plays out well, but too early to comment on that.

Abhishek Jain: Sir, I have heard that inventory is quite low in the U.S. and you have started to increase the numbers in the U.S. from this quarter. We have seen a strong growth on a quarter-on-quarter basis on U.S. But still, it has declined 30% Y-on-Y basis. So just wanted to understand what is your strategy for the U.S. market? Are you waiting for that the tariff issues to be resolved and then you can start to ramp up the volume or you will continue to see the gain in the market share in the U.S.?

Rajiv Poddar: So as I mentioned in my opening comments, because of our strong brand positioning and quality and some major chunk of the tariffs to be shared between us and our channel partners, we have been able to gain some of the momentum that we had lost in the Q2 has come back in Q3. And too early to comment on what would be the change or how the tariffs would play out because as of now, there is nothing changed in that scenario. So once things change, we will have to relook at our strategy. At the moment, we are trying to just regain some of the

lost momentum that we had in Q2.

Abhishek Jain: So how much impact on the margin on the U.S. business? Because of this, you are taking some hit on the -- absorbing some sort of the tariff by yourself. So how much impact on the overall margin because of that?

Rajiv Poddar: I'm not able to quantify it on a public call because these are business details.

Abhishek Jain: Okay. And sir, how much difference in the realization margin export versus domestic market now?

Rajiv Poddar: As I mentioned in my comments earlier, it is marginally lower. Again, I'm not going to quantify that.

Abhishek Jain: Okay. Sir, my last question on the carbon black plant. Sir, as you have increased your capacity to 265,000 tonnes, so just wanted to understand how much would be used for the captive use

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and how much for the commercialization? And what kind of the revenue and EBITDA margin we can see on this business?

Madhusudan Bajaj : So this entire incremental quantity is for the outside sale because whatever internal consumption is there that we were able to make from the earlier capacity. And margins wise, it will be as per industry average.

Moderator: The next question comes from the line of Yash Agrawal with Nirmal Bang Securities. Please go ahead.

Yash Agrawal: Sir, just wanted to understand on the U.S. tariff, like how much has been passed on to the dealers and how much we are bearing the impact of it?

Rajiv Poddar: Yash, I'm sorry. As I mentioned earlier, these things I'm not able to quantify on a public call, but we are sharing the cost where it is being borne between both of us. That's all what I can comment.

Moderator: The next question comes from the line of Aditya with Old Bridge Mutual Funds. Please go ahead.

Aditya: Yes. Thank you for the opportunity, sir. Sir, my first question would be on the India market. So I just needed some sense on how we should see this market? How we should see this volumes split between agriculture and construction equipment, if you can give us some sense there?

Rajiv Poddar: It's roughly about 60%-40% between industrial construction and agri, very rough approximation.

Aditya: Industrial construction?

Rajiv Poddar: Industrial construction side would be about 60% and 40% agri.

Aditya: Agri? Okay. That's super clear. And second question, sir, on the U.S. business, of course, we have done pretty well as compared to expectation in the U.S. business. So of course, we are witnessing lower volumes due to tariffs this year. But if you can give us some sense on the end consumer demand for these tires in U.S.? And how is the farm level activity as compared to last year or a year back today and where are we there in that cycle?

Rajiv Poddar: So as we are all aware that U.S. is a net importer, so that would continue. As far as -- for us, it's, of course, a challenge to -- with the tariff that we have been put up with. I mean, as a country, we've been put with. So we are trying to navigate through these scenarios. It's difficult to comment on how the momentum would be going forward because we don't have for certainty of how long this will continue for, whether it goes up, goes down. But whatever is enforced on the country and being law-abiding citizens, we will make the best of that scenario.

Aditya: Okay. I mean I wanted to like get some sense like how is the farmer level activity in terms of

crops? Is the output down or is the end level activity down or significantly down over last year, which is impacting the end consumer demand? Is that also a case -- a significant case going on there this year?

Rajiv Poddar: No, not that we are aware of. It seems to be normal.

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Aditya: Okay, sir. Thank you so much.

Moderator: Thank you. The next question comes from the line of Chirag with Keynote Capitals. Please go ahead.

Chirag: Yes.

Thank you for the opportunity. Sir, my first question is related to the carbon black sales.

What percentage of our revenue came from carbon black this quarter?

Madhusudan Bajaj : It is less than 10%.

Chirag: Secondly, could you update how has been the utilization of the advanced carbon black assets?

And what kind of volumes are coming from there?

Madhusudan Bajaj: Still not very significant, but yes, we are able to get the sample approvals from many places.

And in the coming quarters, it should improve.

Chirag: Got it. Sir, my second question is related to the Indian market itself that now in Indian market, could you just highlight what is the right to win for any new company which is getting into commercial vehicle and passenger vehicle as a segment? And what is the reason for Balkrishna would be that we would be able to significantly gain the initial 2 to 5 percentage of the passenger and commercial vehicle market? As in my understanding, it is a competitive industry where even low-priced players are not able to penetrate into the market the way the branded larger players have. So just wanted to understand your point of view on this?

Satish Sharma : Yes, Chirag, we have spoken about it in the past. I don't know whether you were on that call or not, but we hope to deliver a better value proposition to the market through the route of the product, channel, brand, end user value. So all these put together, I think we should be able to deliver a better value proposition than what the market is experiencing currently.

Chirag: Got it. Sir, just last question. If I am able to bifurcate the OHT industry to agriculture, mining, construction and industrial, I just wanted to understand, is Balkrishna present into the industrial tires as a segment?

Satish Sharma : Yes.

Chirag: Got it. That is it from my side. Thank you, sir.

Moderator: The next question comes from the line of Pramod Amthe with InCred Capital. Please go ahead.

Pramod Amthe: Yes. Hi, thanks for taking my question. Sir, two questions. One, with regard to U.S. market, with the duties and all, who are the competitors who are gaining at your cost? And do you feel once -- as and when the duties normalize, you should still have a right to regain it back, which countries or which manufacturers? How to see it?

Rajiv Poddar: So as per competitor activity, we generally don't comment and we'll refrain from doing so.

Regarding BKT's policy, we believe that we are building the foundations and keeping everything intact to when the scenario changes, we will be ready to regain the momentum that was there.

And actually, if you see our previous commentary, we have always mentioned that the North

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America is a driver of growth for us. So we are keeping everything ready to come back to that market when things improve there.

Pramod Amthe: And second question is with regards to the new projects. When we visited last time similar time to the plant, you had some conveyor type of tires, which you are planning as a new project and also specialty carbon. Any update in terms of client acceptance and orders on the same?

Rajiv Poddar: So regarding the carbon black, as Bajaj mentioned, that it is a work in progress. And as we had mentioned, the ramp-up would take time because of acceptance. But every day, we are getting newer acceptance. So in the coming quarters, that should work. Regarding the conveyor that you saw were actually what we call rubber tracks. So that is what was there. Rubber tracks is a work in progress again. And as we are moving ahead, we are trying -- I mean, our product is under validation at OEs and that is expected in the coming quarters. So that should then also ramp up.

Pramod Amthe: Thanks and all the best.

Moderator: Mr. Pramod, does that answer your questions?

Pramod Amthe: Yes. Thank you.

Moderator: Okay. Thank you. As there are no further

questions from the participants, I now hand the conference over to the management for closing comments.

Rajiv Poddar: We thank everyone for taking the time out and coming to hear us and looking forward to seeing you in the next quarter. Thank you everyone. Stay safe.

Moderator: Thank you. On behalf of Balkrishna Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2026

Balkrishna Industries Ltd.

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Registered Office: B-66, Waluj MIDC, Waluj Industrial Area, Chhatrapati Sambhaji Nagar– 431 136, Maharashtra, India

No. BIL/SE/2026-27 14th May, 2026

To,
BSE Limited National Stock Exchange of India Ltd
Phiroze Jeejeebhoy Towers 5th Floor, Exchange Plaza
Dalal Street Bandra Kurla Complex
Mumbai – 400 001 Bandra (E), Mumbai 400 051

Equity Scrip Code: 502355 (Equity) Trading Symbol: BALKRISIND
Scrip Code : 977667 (Debt) (INE787D 08047)
Scrip Code : 977668 (Debt) (INE787D 08039)
Scrip Code : 977669 (Debt) (INE787D 08054)

Dear Sir/Madam,

Subject: Transcript of Conference call with Investors/Analysts conducted on Saturday, 9th May 2026 at 11:00 AM, IST to discuss the Q4 & FY26 Results.

In continuation of our letter dated 2nd May, 2026 and 9th May, 2026 intimating about the earnings conference call and audio recording of conference call respectively with Investors/Analysts and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of conference call with Investors/Analysts related to Q4 & FY26 Results of the Company held on Saturday, 9th May 2026. This information will also be hosted on the Company's website at <https://www.bkt-tires.com/www/us/investors-desk>.

You are requested to kindly take the above information on record and disseminate.

Thanking you,

Yours faithfully,
For Balkrishna Industries Limited

Vipul Shah
Director & Company Secretary
and Compliance Officer
DIN: 05199526
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"Balkrishna Industries Limited
Q4 and FY26 Earnings Conference Call"
May 09, 2026

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 9th May 2026 will prevail.

MANAGEMENT : MR. RAJIV PODDAR – JOINT MANAGING DIRECTOR –
BALKRISHNA INDUSTRIES LIMITED
MR. MADHUSUDAN BAJAJ – SENIOR PRESIDENT ,
DIRECTOR, COMMERCIAL AND CHIEF FINANCIAL
OFFICER–BALKRISHNA INDUSTRIES LIMITED
MR. SATISH SHARMA – SENIOR PRESIDENT AND

DIRECTOR, STRATEGY AND BUSINESS DEVELOPMENT –
BALKRISHNA INDUSTRIES LIMITED
MR. RAVI JOSHI – DEPUTY CHIEF FINANCIAL OFFICER
– BALKRISHNA INDUSTRIES LIMITED
MR. SUSHIL MISHRA – HEAD, ACCOUNTS –
BALKRISHNA INDUSTRIES LIMITED
SGA, INVESTOR RELATIONS ADVISORS

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Moderator: Ladies and gentlemen, good day, and welcome to the Balkrishna Industries Limited Q4 and FY '26 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Rajiv Poddar, Joint Managing Director. Thank you and over to you, sir.

Rajiv Poddar: Thank you, Yousuf. Good morning, everyone, and thank you for joining us today. Along with me, I have Mr. Bajaj, Senior President and Director, Commercial, and our CFO; Mr. Satish Sharma, Senior President and Director of Strategy and Business Development; Mr. Ravi Joshi, our Deputy CFO; Mr. Sushil Mishra, Head of Accounts; and SGA, our IR Advisors.

At the onset, let me start by saying we have been resilient in a challenging external environment. While macroeconomic uncertainties continue to persist, at BKT, we remain confident in our ability to deliver sustainable and profitable growth over the medium to long term. Our financial performance has remained stable, reflecting the strength of our integrated business model and disciplined cost management. We are now witnessing raw material price upticks due to supply chain disruptions and are closely monitoring the situation, while maintaining a steady balance between superior product mix and price hikes to partially offset this impact.

I shall now discuss the performance updates of each of our businesses.

Let me first begin with our OHT business. We are pleased to report a quarter marked by continued sequential improvements in volumes, supported by gradual normalization across key markets. H2 performance was significantly better than H1. -Which resulted in a strong operational year for the company, where we delivered our highest ever quarterly volumes in Q4, and also the highest ever volumes annually in FY 2026.

From an end market perspective, in Europe, H2 showed good recovery over H1, driven by easing in channel inventories. Similarly, in the Americas market, we are witnessing improving traction supported by higher channel activity. We have created a sharper focus in our go-to-market strategy for Americas in order to realize the true potential of the BKT product range. -. India continues to outperform all markets and witnessed a sustained momentum. We are cautiously optimistic for this geography given the weather forecast of IMD for the upcoming monsoon season.

I shall now share some insights of our carbon black business.

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For the financial year '26, our carbon black business recorded marginal revenue growth on year-on-year basis with third-party sales at ~9% of overall business.

In December '25, we commissioned our new line for carbon black, taking the total capacity available to us at 265,000 MTPA. I'm pleased to share that we have witnessed full utilization levels for the new lines, supported by a mix of internal consumption and external third-party sales.

To ensure energy circularity model, company increased the captive power plant capacity at Bhuj to 64 MW during February '26. We are now targeting the balance part of carbon black capacity to come on stream in Q1 of financial year '27. In specialty carbon black, we have already secured approvals for select grades across plastics, pressure pi

pes, and power cables and inks.

Moving to our On-Highway business.

During the quarter, we continued to make progress on our long-term growth road map with a strong focus on product diversification and market expansion. We have entered the truck bus radial segment with the new product launches in February '26. This segment is aligned with infrastructure growth, increasing radialization trends, thereby helping us to tap in the replacement market opportunities -.

Further, we have re-launched the 2-wheeler tyres where we have introduced select products targeting domestic market.

The distribution network and channel infrastructure for the On-Highway segment is being built with products being placed in the market starting April '26, along with focused marketing campaigns with Ranveer Singh, our brand ambassador, to popularize our entry in these newer segments. The early response from the market has been encouraging, reflecting acceptance of our product quality and performance.

Building on this momentum, the company plans to introduce the passenger car radial or PCR tyres by the end of the current calendar year following a phased and calibrated approach. At BKT, we see our entry in these newer segments as a strategic adjacency that complements our existing strengths.

At overall level, while macroeconomic uncertainties persist, we remain focused on the following:

- a. volume growth with margin discipline
- b. leverage our carbon black capabilities to improve efficiency and quality and lastly
- c. To scale up progressively our On-Highway business.

Let me now share an update on the BKT brand.

During the year, we undertook a repositioning of the BKT brand architecture by differentiating the corporate and the regular lines by adding Tyres and Carbon to product branding aimed at making it more contemporary and emotional engaging while retaining its core attributes of Balkrishna Industries Limited

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performance and reliability. The same must have been noticed by all of you during the ongoing T20 League in India.

Integrated product and brand-building initiatives across major digital and print platforms under the campaign "Elevate Your Drive" with our brand ambassador, Ranveer Singh, has received strong engagement and positive customer response. These initiatives have enhanced brand recall, supported new product launches and strengthened BKT's positioning across domestic and international markets.

Now let me quickly share insights on sustainability as highlighted in our FY '25 report.

As part of our long-term strategy, sustainability continues to remain a core focus area at Balkrishna Industries. During the financial year '25, we have made steady progress across our ESG priorities. During the year, our S&P Global Corporate Sustainability Assessment or the CSA score improved to 58, reflecting the steady progress of sustainability initiatives taken by us and reinforcing BKT's position among the leading Indian tyre manufacturers on sustainability performance.

As a part of our CSR activities, we have entered into a partnership for establishing Narsee Monjee Skilltech University in Mumbai through a committed contribution of INR25 crores staggered over the next few years. As a part of this initiative, a dedicated "BKT School of Engineering and Technology" will be set up, reinforcing the company's focus on promoting skill-based higher education aligned with our industry needs.

Lastly, an important development. As a part of commitment to robust governance, transparency and global best practices, the Board has approved the appointment of Deloitte Haskins & Sells Chartered Accountants LLP as joint statutory auditor on the recommendation of the Audit Committee and subject to approval shareholders at the ensuing AGM.

Moving on to our ongoing and new capex programs.

As a part of our ongoing capex plans, we have completed the following:

1.

A new line of carbon black facility in Bhuj, taking our capacity to 265,000 MTPA,

2. Increased the power plant capacity in Bhuj from 40 megawatts to 64 megawatts.

3. In February '26, we completed Phase 1 of the commercial vehicle radial tyre project with a capex of INR750 crores, adding fungible capacity of 800 tyres per day for CVR and OHT.

We are now working on the completion of the balance carbon black project, which will take our overall capacity to 360,000 MTPA and Phase 2 of the commercial radial vehicle tyre project and also the PCR tyre project, which is scheduled to launch in FY '27. These projects are expected to be completed as per schedule.

The Board of Directors has approved an additional capex of INR2,000 crores, which will support

capacity expansion and infrastructure development across both OHT and on-Highway tyre categories. AI enabled automation across on-highway tyre category, and also the company's sustainability initiatives. This spend is intended to drive long-term cost efficiency, enhance
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operational resilience, improve sustainable performance and create scalable platform for future growth.

With this, I now move on to operational highlights.

For the quarter, our OHT sales volume stood at 85,820 metric tons, a growth of 5% year-on-year. For the financial year '26, our volumes stood at 317,356 metric tons.

Our stand-alone revenue for the quarter stood at INR2,894 crores, registering a growth of 2% year-on-year. This, however, includes a realized loss on foreign exchange pertaining to INR47 crores. For the financial year '26, stand-alone revenue stood at INR10,656 crores, registering flattish performance on a year-on-year basis. This, however, includes realized loss on foreign exchange pertaining to sales of INR164 crores.

The stand-alone EBITDA for the quarter was at INR663 crores with a margin of 22.9%. The margin was particularly impacted towards the end of the quarter on account of headwinds faced due to geopolitical scenario and its impact on supply chain. For the financial year '26, the stand-alone EBITDA was at INR2,423 crores, registering a degrowth of 10% on a year-on-year basis. The margin, however, stood at 22.7%.

Profit after tax for the quarter was recorded at INR295 crores, while for financial year, we have recorded a PAT of INR1,222 crores.

Our capex spend for the year was INR2,800 crores approximately.

As on 31st March, the gross debt and cash and cash equivalents were INR4,049 crores and INR3,154 crores, respectively. Accordingly, we have a net debt of INR895 crores.

The Board of Directors has recommended a final dividend of INR4 per equity share, subject to shareholder approval at the upcoming AGM. This is in addition to the INR12 that we have paid per share for the previous 3 quarters.

With this, I now conclude my opening remarks and leave the floor open to Q&A. Thank you.

Moderator: Thank you very much, sir. We will now begin the question and answer session. First question is from the line of Raghunandhan from Nuvama Research. Please go ahead.

Raghunandhan: Thank you very much for the opportunity. For FY '26, how much was the contribution of U.S. to volume? And considering that now the tariff is 10%, will we see U.S. going back to 10% of volume in FY '27?

Rajiv Poddar: That is our ambition, and that is what we are targeting for the year.

Raghunandhan: And how much was it in FY '26, sir, broad approximately, if you can indicate?

Rajiv Poddar: It was just short of 10%, but close to that number.

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Raghunandhan: Understood. On the commodity basket, how much was the impact in Q4 and the expectation for Q1? And if you can also indicate how much price hike has been taken so far?

Rajiv Poddar: So price hike, we have taken between 3% to 5% already across various geographies, and we are

targeting around 2% in this very month, towards the end of this month. And we'll continue to watch this, and maybe we may have to take further price hikes. Regarding the impact, I'll hand over to Mr. Bajaj.

Madhusudan Bajaj: Raw material prices has gone up by approximately 4%, 5% for the last quarter, the quarter which we ended.

Raghunandhan: And what would be the expectation for this quarter, sir, that is June quarter?

Madhusudan Bajaj: This quarter, approximately, it may go up around 7% to 8% more.

Raghunandhan: Understood, sir. And when you say 7% to 8%, it is as a percentage of revenue, or the raw material basket increasing by 7% to 8%?

Madhusudan Bajaj: This is on raw material prices.

Moderator: Sir, does that answer your question?

Raghunandhan: Yes. On the freight cost, how much was the freight cost in Q4 as a percentage of revenue given the geopolitics? And how do you see it for the future?

Rajiv Poddar: It was about 4.5% to 5%, and we expect it to go up marginally, the way things are, subject to no further disruption.

Raghunandhan: Got it, sir. One question...

Moderator: Sorry to interrupt Mr. Raghunandhan, may we please request you to rejoin the queue, sir, for the

follow-up question.

Raghunandhan: Sure.

Moderator: Next question is from the line of Siddhartha Bera from Nuvama. Please go ahead.

Siddhartha Bera: Thanks for the opportunity. Sir, first question is on this outlook. You said that in the second half, you have seen a pickup in Europe, as well as North America is also improving. Given this backdrop for the next year, would it be possible to give some volume guidance, how much are we expecting for the OHT business? And on that, I mean, given that we have now started CV radial tyres also, some color there, how much are we expecting to sort of sell in FY '27?

Rajiv Poddar: So we stopped giving guidance due to the geopolitical scenarios and uncertainties. But we are, of course, expecting growth, but we don't give guidance on that.

Siddhartha Bera: And about the CV radial tyres?

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Rajiv Poddar: The business has just begun, and we are hopeful to reach our stated vision by 2030, and we are working towards that.

Siddhartha Bera: Understood. Sir, on the capex side, so you said additional INR2,000 crores capex, which has been announced now. So with that, how much are we expecting the total capex for FY '27?

Rajiv Poddar: In this financial year, between INR1,500 crores to INR1,800 crores.

Siddhartha Bera: Okay, understood. I will come back in the queue.

Moderator: Next question is from the line of Pramod Amthe from InCred Capital. Please go ahead.

Pramod Amthe: Thanks for taking my question. So if I have to look at your presentation, Slide 16, you are talking about overall capex till FY '29 of INR6,800 crores. This includes the recent announcement of INR2,000 crores?

Rajiv Poddar: Yes.

Pramod Amthe: And where is this incremental INR2,000 crores going into? Because your vision was anyway put out for FY '30. Is it going into existing capex cost, or you are adding more molds? What is that revision of almost 30% in capex?

Rajiv Poddar: I'll read my commentary again, the Board has approved additional capex of INR2,000 crores, which will create capacity expansion and infrastructure development across both OHT and on-highway tyre categories, AI-enabled automation across on-highway tyre categories, and the company's sustainability initiatives. This spend is intended to drive long-term cost efficiency, enhance operational resilience, improve sustainability performance across the company, and also create a scalable platform for the future growth.

Pramod Amthe: So it's a combination of both capex and the productivity improvement, if I heard you right?

Rajiv Poddar: Yes. Yes, sir.

Pramod Amthe: Okay. And second one, since the capacity is coming on stream now for CV almost ready and car

should be end of the year, what is your current distribution network? How much you plan to increase by end of the year? Can you give some sense?

Satish Sharma: I'm Satish Sharma this side. The primary distribution in the form of distributors is nearly complete for both the categories, and the number of dealerships will be added as per the ramp-up of sales.

Pramod Amthe: But it needs to be significant, if I'm not wrong?

Satish Sharma: It will be in line with the sales ramp-up.

Pramod Amthe: Okay. Sure. Thanks and all the best.

Moderator: Next question is from the line of Arjun Khanna from Kotak Mutual Fund. Please go ahead.

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Arjun Khanna: Thank you for taking my question. Sir, the first question is on the American piece. So there is a refund of the reciprocal tariffs. Just want to understand, have we filed for the refund? Will we get part of it or will the importer distributor get? If you could throw some color on this matter, sir?

Ravi Joshi: So in U.S., we are importer on record. So whatever process is required, we have already filed. But as of now, we have not received anything.

Arjun Khanna: Fair. And what is the quantum that we would have filed, sir?

Ravi Joshi: Quantum, as of now, I'm not handy with the number.

Arjun Khanna: Sure. And since you're importer of the record, ideally it should come back to us. That's the fair understanding? Or do we need to pass part of it to our dealer distribution?

Ravi Joshi: So as a fair practice, obviously, we are supposed to pass back part of it, what was recovered from the customers.

Arjun Khanna: The second query is regarding the 2-wheeler tyres segment, which we have done a lot of marketing also on. What would our capacities be at this point in time?

Satish Sharma : Presently, we are having a capacity of about 100,000 tyres a month. And again, it will go up as per the market response.

Arjun Khanna: Sure. And in terms of our outsourcing arrangements, what is the peak scale-up that we can do on this front?

Rajiv Poddar : At the moment, we don't see it as a limiting factor.

Arjun Khanna: Okay. Perfect. Sir, just the last query is on the PCR side, which we have endeavored to launch by the end of this calendar year, as mentioned in the opening remarks. In the presentation, you've talked of premium positioning. Could you help us understand what does this mean? Are we planning only on certain inch rim sizes? Are we looking at a premium to the market leader, which I understand is Bridgestone? Or if you could just explain a little bit on the product positioning?

Satish Sharma : Yes. What it implies is that we are not discounting our products. We'll be in line with the market leaders. That's what it means.

Moderator: Next question is from the line of Sagar Parekh from Renaissance Investment Managers.

Sagar Parekh: My question is on the on-highway tyre strategy. So just wanted to make some sense. Could you firstly give us a qualitative aspect of how you are planning to scale up your on-highway overall? What would be the peak revenue between TBR, PCR and 2-wheelers? And currently, how many distributors are on board? If something on the qualitative side would be helpful.

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Satish Sharma: So our stated vision is INR5,000 crores revenue by 2030. We are holding on to that position. The distribution, like I said, the primary distributors are all complete. We are about 90 in all for these categories. And the dealerships will be expanded as per the sales ramp.

Sagar Parekh: Right. And how would be the margins in this versus our off-highway?

Rajiv Poddar : As we have mentioned in the past, we are, as a company, looking to keep sustained EBITDA levels, which we will continue to do.

Sagar Parekh: So 23% to 25% is sustainable in your view, in spite of the on-highway scale up?

Rajiv Poddar :

That is, the company as a whole, yes, it is. That is we are yet maintaining our position.

Sagar Parekh: Right. And in terms of like near term, if I have to look at FY '27, because of the raw material cost pressures, is it fair to say that near term, there could be some margin pressure? Or do you think that the price increases would fully mitigate the impact of the RM pressure?

Rajiv Poddar : So at this moment, we are seeing the pressure to come. We are evaluating the situation and see how much we can pass on. But at this moment, we may have some price pressures, margin pressures.

Sagar Parekh: Thanks for taking my question. That's it.

Moderator: Next question is from the line of Vijay Kumar Pandey from Axis Capital. Please go ahead.

Vijay Pandey: So sir, I wanted to check on the TBR tyres, so do you expect this segment to start generating revenue from this quarter? Or will it be only in the later part of this year or later part of FY '27? If you can just let us know this.

Satish Sharma: The impact will be very insignificant in the first quarter, but thereafter, it will start gaining in prominence.

Vijay Pandey: Okay. And secondly, sir, in terms of the export demands of Europe. In Europe, certain overseas players, they are guiding for flattish to mid-single-digit growth. So is our expectation also around that level to grow for FY '27? Or will it be lower? Because I just want to understand the dynamics in play there.

Rajiv Poddar: So Vijay ji, as I mentioned earlier, it's too volatile to give any guidance, and we'll continue to monitor. All we can say is that we are geared up to support the market as and when required.

We are doing everything that we need to do to make sure we are in the best position to get market share whenever the market is there. And this was firmly demonstrated in H2 of this last financial year.

Vijay Pandey: And sir, this INR2,000 crores capex, which we plan to do, this will be entirely for FY '27, or it will be segregated between next two years?

Rajiv Poddar : It will be staggered over the next few years.

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Moderator: Next question is from the line of Joseph George from IIFL Capital. Please go ahead.

Joseph George: Yes. So my question is in relation to the capex guidance that you have put out, INR6,800 crores.

So two questions on that. One is, does this amount, INR6,800 crores, include anything that you have already spent? Or is that the number that we should think of from FY '27 to '29? That is the first question.

Rajiv Poddar: So to answer the first question first, yes, this is including what we have already spent.

Joseph George: So how much of the INR6,800 crores have you already spent?

Rajiv Poddar: Around INR3,000 crores.

Joseph George: Okay. So only INR3,800 crores is left for the remaining three years, which is '27, '28, '29?

Rajiv Poddar: Yes.

Joseph George: Okay. And the second part of the question is, this is entirely project capex? Or does it include maintenance as well? And if it doesn't include maintenance, how much should we think of maintenance per year?

Rajiv Poddar: This is only project. And maintenance is about INR200-odd crores every year, which will be extra, which is also in the past has been always mentioned extra.

Joseph George: Understood, sir. Thank you.

Moderator: Next question is from the line of Yash Agarwal from Nirmal Bang Securities. Please proceed.

Yash Agarwal: I just wanted to understand in the carbon black business, if you could share the split between captive consumption and the external sales. Additionally, what are the expected revenue contribution and EBITDA margin for this business?

Madhusudan Bajaj: 30% we are consuming locally from the current capacity, around 70% is sold in the market, and margins are as per industry average.

Yash Agarwal: And also, the second on your revenue growth guidance by 2030. As we have mentioned

in the

PPT, like the five-year CAGR is 17%. And since in FY '26 versus last year sales was flat. So can you assume that the four-year CAGR would be above 20% to reach our revenue growth expectation?

Rajiv Poddar: As the projects and capacities come on board, you'll see the jumps coming up. So that is why it would be closer to the second part of the stated five-year vision.

Yash Agarwal: Okay, sir. Thank you. That's all from my side.

Moderator: Next question is from the line of Sidharth from ithought Wealth Analytics LLP. Please proceed.

Sidharth: My first question is, like what is the company's thought on the on-highway tyres segment, like long-term thought process behind entering this segment?

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Satish Sharma : Long-term thought is that -- I mean, we are entering into an adjacent business, which we see as a growth intensive, which provides sufficient growth levers to the company.

Sidharth: Okay. So like you will be able to make the same kind of return on capital in the off-highway and on-road...

Rajiv Poddar: As we have mentioned, we look at it as a company as a whole, and we have maintained we will be able to keep our sustained levels of EBITDA between 23% and 25%. That is our endeavor.

Sidharth: Okay. My second question is, like what is BKT's positioning in U.S. and Europe in the VF tyre category?

Rajiv Poddar: In what ways are you asking?

Sidharth: Like what is BKT's market position? Who is the number 1? Who is the number 2, like that?

Where does BKT stand there?

Rajiv Poddar: We have positioned ourselves as a premium player in that category. That's what we can answer for that.

Moderator: Next follow-up question is from the line of Raghunandhan from Nuvama Research. Please go ahead.

Raghunandhan: Sir, on the EUR/INR, what was the realization for Q4? And what is the hedge rate for FY '27?

Madhusudan Bajaj: ~INR99 for this quarter for euro.

Raghunandhan: And how do you see the hedge rate for FY '27, given that current price is about INR111?

Madhusudan Bajaj: It will be higher than this year, but it is not full year, so we are unable to comment.

Raghunandhan: But we should get a better realization compared to INR99. Hopefully, that will act as a support.

Madhusudan Bajaj: Definitely better.

Raghunandhan: Understood, sir. And just a clarification. The TBR capacity you mentioned was 800 tyres per day. Would that be right, sir?

Rajiv Poddar: That is for the Phase 1.

Raghunandhan: How much will it increase to?

Rajiv Poddar : To about 3,800.

Raghunandhan: So 800 tyres per day now, and it will increase to 3,800 tyres per day. Is that understanding, correct?

Rajiv Poddar: Yes, yes.

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Raghunandhan: Got it. And on the PCR tyres, how much capacity you will be starting with in this year?

Satish Sharma: So we will start around the end of the year, calendar year, as Rajiv mentioned. And in the first phase, we should be getting to 6,700 tyres.

Raghunandhan: 6,700 tyres per day capacity, correct?

Satish Sharma: Yes.

Raghunandhan: Thank you, sir. On the channel inventory, would the channel inventory be at normal levels currently? Or do you see that there was destocking which happened in FY '26 and that would be an opportunity to do some restocking this year?

Rajiv Poddar: No, we see it at normal levels.

Raghunandhan: Last question. In your opening remarks, you alluded to improving product mix and price hikes as your efforts to support the margins. If you can elaborate on that, how is the product mix improving for us?

Rajiv Poddar: So we are moving more towards the high-end radialized products, the specialized products like IF/VF technology products. So we are working on those as a product mix.

Raghunandhan: And what would be the share, sir, of radial tyres in our mix?

Rajiv Poddar: I don't have that handy with me.

Raghunandhan: Okay, sir. Thank you for all the inputs. Very helpful.

Moderator: Next question is from the line of Hardik Sharda from Mavira AMC. Please go ahead.

Hardik Sharda: Yes. So my question is from a recycle point of view. So as a total raw material cost or content, how much is the percentage of recycled content?

Rajiv Poddar: We are as per industry norms.

Hardik Sharda: So from a government policy point of view, is it stringent? Or how is the on-ground replication of the policy?

Ravi Joshi : See, government doesn't mandate anything on the recycled product to be used in the tyres.

Whatever mandate is there related to, it is EPR when the producer is supposed to buy the

certificate from the recycler, which is we are buying as per the norms. Hope that helps.

Hardik Sharda: Okay. Yes, yes. And does it affect the performance of the tyres?

Rajiv Poddar: No.

Satish Sharma : Why should it? Otherwise, why would we use it?

Hardik Sharda: Yes. No, I thought from a circular economy point of view. So that clears my question.

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Ravi Joshi : Sorry to interject. Again, I'm repeating, government doesn't mandate any recycled product to be used in the tyre. Hope I'm clear. Government only mandate to buy certificate, not the material.

And those certificates are being bought as per the norms. If I'm not using any recycled product

or there is no mandate, then how it will affect the performance, right?

Hardik Sharda: Okay. Got it. Understood. Sir, you just have to buy the credits and not the recycled product.

Understood. That was my question.

Moderator: Next question is from the line of Sriram R. from Sampada Capital. Please go ahead.

Sriram R: Thank you for the opportunity. So what will be the value proposition for us in the on-highway business? Like in terms of retail pricing, what will be the average cost advantage versus the other players?

Satish Sharma: I mean, it will be at par with the industry. What do you expect me to tell you on this?

Sriram R: No, no. In terms of retail pricing, whether we will be like 15% cheaper than the market leader, something on those lines. I mean, what are your thoughts on that?

Satish Sharma: Our price positioning is at par with the market leaders.

Sriram R: On par with the market leaders. Okay. So then how do you expect to gain market share over there? What is your route to entry?

Satish Sharma: We have faith on our product quality and the value proposition that the product and the other operations excellence points, which are embedded in our strategy. I mean, in this earnings call, possibly we can't be explaining all those points to you.

Sriram R: Okay. And you did mention that we need to incur about INR3,800 crores of capex. So what will be the source of funding for the same, sir?

Rajiv Poddar: It will be a mix of both. We are yet working on it.

Sriram R: Okay. So then in that case, like we have about INR4,000 crores of debt in the books. So can we assume that its peak debt that we have in the books today?

Rajiv Poddar: Sorry?

Sriram R: Can we assume that INR4,000 crores is our peak level of debt? Or will it go...

Rajiv Poddar: We can't assume anything. It's a volatile world. It's a moving world. Projects are being

announced. So we can't assume anything. We'll keep on making announcements as and when we make changes to it.

Sriram R: Thank you.

Moderator: Next question is from the line of Vijay Kumar Pandey from Axis Capital. Please go ahead.

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Vijay Pandey: Sir, just a follow-up. I wanted to understand about the other expenses. So the other expenses have moved significantly in this quarter and also for full year. So if you can just highlight what is driving that? And how do you see that going forward?

Rajiv Poddar: So as I mentioned in my opening remarks, this was our highest ever quarte

r and best number.

So it is in line with that increased production, the other expenses to make those conversion costs, etcetera, which has been accounted for. So there is no theoretical jump. It is just the increased numbers because of the increased production.

Moderator: Next question is from the line of Sidharth from ithought Wealth Analytics LLP. Please go ahead.

Sidharth: My question is answered.

Moderator: Thank you, sir. Ladies and gentlemen, we will take this as the last question for the day. I now hand the conference over to the management for the closing comments.

Rajiv Poddar: Thank you, everyone, for taking time out and joining us. We look forward to meeting you next quarter. Thank you.

Moderator: Thank you so much, sir. On behalf of Balkrishna Industries Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines. Thank you.